# OECD ECONOMIC SURVEYS

# TURKEY

1997

**SPECIAL FEATURE**

• PROGRESS IN STRUCTURAL REFORM

# OECD ECONOMIC SURVEYS

## 1996-1997

TURKEY

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

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# BASIC STATISTICS OF TURKEY

## THE LAND

| | |
|---|---|
| Area (thousand sq.km) | 779 |
| Agricultural area (thousand sq.km) | 275 |
| Forests (thousand sq.km) | 202 |

| | |
|---|---|
| Major cities, 1990 (thousand inhabitants): | |
| Istanbul | 7 309 |
| Ankara | 3 237 |
| Izmir | 2 695 |

## THE PEOPLE

| | |
|---|---|
| Population, 1996 (million) | 63.9 |
| Per sq.km, 1996 | 82 |
| Annual rate of change of population, 1996 | 2.2 |

| | |
|---|---|
| Civilian labour force, 1996 (million) | 21.6 |
| Civilian employment | 20.2 |
| Agriculture, forestry, fishing | 9.3 |
| Industry | 3.1 |
| Construction | 1.3 |
| Services | 6.5 |

## PRODUCTION

| | |
|---|---|
| GDP, 1995 (TL billion) | 7 765 501 |
| Per head (US$) | 2 715 |
| Gross fixed investment, 1995 (TL billion) | 1 786 276 |
| Per cent of GDP | 23.0 |
| Per head (US$) | 627 |

| | |
|---|---|
| Origin of GDP, 1996 (per cent): | |
| Agriculture, forestry, fishing | 15.0 |
| Industry | 28.4 |
| Construction | 7.8 |
| Services | 48.8 |

## THE GOVERNMENT

| | |
|---|---|
| Public consumption, 1995 (per cent of GDP) | 10.8 |
| Central government current revenue, 1995 (per cent of GDP) | 18.0 |

| | |
|---|---|
| Public debt, end-1995 (per cent of GDP) | 48.3 |
| Domestic | 18.0 |
| Foreign | 30.2 |

## FOREIGN TRADE

| | |
|---|---|
| Commodity exports, 1995, f.o.b. (per cent of GDP) | 13.1 |
| Main exports (per cent of total exports): | |
| Agriculture | 10.7 |
| Mining | 1.9 |
| Industry | 87.4 |

| | |
|---|---|
| Commodity imports, 1995, c.i.f. (per cent of GDP) | 21.6 |
| Main imports (per cent of total imports): | |
| Investment goods | 29.4 |
| Consumption goods | 12.4 |
| Intermediate goods | 50.0 |
| Crude oil | 8.2 |

## THE CURRENCY

Monetary unit: Turkish lira

| | |
|---|---|
| Currency unit per US$, average of daily figures: | |
| 1994 | 29 778 |
| 1995 | 45 738 |
| 1996 | 81 281 |

*Note:* An international comparison of certain basic statistics is given in an annex table.

*This Survey is based on the Secretariat's study prepared for the annual review of Turkey by the Economic and Development Review Committee on 1 April 1997.*

•

*After revisions in the light of discussions during the review, final approval of the Survey for publication was given by the Committee on 13 May 1997.*

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*The previous Survey of Turkey was issued in September 1996.*

# Assessment and recommendations

***Fiscal slippage started again in late 1995 due to political uncertainty***

The publication of the OECD's *Economic Survey of Turkey* in September 1996 coincided with a period of intense uncertainty. Turkey's stabilisation efforts had stopped barely eighteen months after the early 1994 financial crisis. Its fiscal position and inflation performance slipped subsequently, owing to the absence of effective governance which followed the September 1995 call for early elections. The suspension of specific nominal limits on exchange rate movements and other macroeconomic performance criteria under the 1994 IMF Stand-by Agreement added to uncertainty. By Spring 1996 the Treasury was able to fund its borrowing only at real rates close to 40 per cent and at average maturities of four months. The minority (Motherland/True Path) coalition government entering power in April 1996 faced tough economic realities: interest payments on the public debt were rising quickly, the government's estimate for the 1996 public sector borrowing requirement (PSBR) had been raised to almost 10 per cent of GDP and inflation drifted up to almost 80 per cent. Private sector and some international analysts feared substantially worse outcomes. This coalition collapsed in June having accomplished very little. The new (Welfare/True Path) coalition government coming into power in July took measures to boost spending as well as to finance it. In the event, the PSBR rose to just over 9 per cent of GDP in 1996 and inflation was just over 80 per cent, 15 per cent above the initial target.

***And monetary policy has remained a hostage to fiscal profligacy***

A decade of fiscal mismanagement has left monetary policy impotent and chronic inflation has virtually destroyed trust in the Turkish lira (TL) as a store of value. In 1983 around 225 TL sufficed to buy one US dollar; in March 1997 it required 125 000 TL, and one-half of the money stock is now held in foreign currency. Against this background, since the call for early elections in September 1995, the Central Bank's paramount concerns have been to ensure stability in money and foreign exchange markets and to manage liquidity. However, this has left the Central Bank with no scope for an effective anti-inflationary monetary programme. The Central Bank's apparent goal has been to hold the ''real exchange rate'' by ensuring that the Turkish lira depreciates no more rapidly than inflation differentials against the Deutschemark and US dollar. The Central Bank did not announce an official monetary plan for 1996 (as it had only limited control over its balance sheet). But it outlined a minimum plan for the first half of 1997, in which it planned to increase reserve money growth consistent with a 70 per cent inflation rate by mid-year, which, even if achieved, remains extremely high.

***The private sector has nonetheless boomed, the external accounts have been manageable, and run-away inflation avoided***

Unstable political conditions, extreme inflation and punitive interest rates are usually synonymous with crises and recession. But the Turkish economy has so far proved the exception to this rule. Non-farm output rebounded sharply from the second quarter of 1995 and the recovery gathered pace until mid-1996, easing modestly thereafter. Real GDP growth averaged some 7 to 7½ per cent in calendar years 1995 and 1996, supported by strong private consumption and a surge in private investment. As both the corporate and household sectors are net lenders, high real interest rates had a weak impact on spending, as their negative substitution effects were offset by income effects, and the shortening of average maturity of new debt from late 1995

to mid-1996 further boosted cash flow. And spiralling debt levels and hyper-inflation have been avoided owing to small primary budget surpluses and high inflation inertia (reflecting contract lags and extensive dollarisation of business activities).

The current account deficit widened to some 3 per cent of GDP in 1996, following a surge in imports related to the Customs Union with the EU. But financing the external accounts, which played an ancillary role in the 1994 financial crisis, has since been realised with no difficulty. Servicing Turkey's official debt obligations was not a problem, although there was a further downgrading of Turkey's sovereign credit rating in late 1996 and early 1997. Strong capital inflows steadily raised official reserves (except for a period prior to the December 1995 elections) to an end-1996 record level of $18 billion, some five months of merchandise imports; however, foreign direct investment accounted for only a disappointingly small proportion of these flows.

Turkey's strong growth and manageable external position have largely reflected a dynamic, resilient and adaptable private sector. Business may have earned up to a half of its profits by holding government paper. And the unrecorded economy has also played a role: ''suitcase exports'' to the Black Sea area and other non-recorded activities have helped to balance the external accounts.

***But the costs of inflation are high and weaker elements of society have suffered***

However, Turkey's poor inflation record remains the outlier; persistent failure to reduce inflation is in stark contrast with other OECD countries, most of which have practically achieved price stability. No market economy can function indefinitely with extreme inflation and punitive interest rates. The costs of extreme inflation are substantial and severely distort the level and composition of national saving and investment which undermines the economy's

otherwise favourable growth prospects. The consequences of high real interest rates have been very short planning horizons, a volatile economy, the emergence of an urban rentier economy, and a very skewed income distribution. In 1994, urban interest and rental incomes rose to the equivalent of three-quarters of wages and salaries; the top and bottom quintiles received respectively 54.9 and 4.9 per cent of national income; and Turkey had the second most widely skewed income distribution among OECD countries, with implications for social cohesion and economic performance.

***Early 1997 saw a wave of optimism and a favourable financial environment which should be exploited to advance reform***

At the turn of the year, greater political stability, improved debt management, and a sea change in the outlook for expediting privatisation sparked a wave of optimism and financial market confidence. Nominal interest rates dropped by about 30 percentage points to around 90 per cent (excluding withholding tax) in the first quarter of 1997. It is essential that this more favourable environment be used to pursue fundamental reform of the social security and tax systems – thereby laying the ground for a sustainable fiscal position, and transforming Turkey's human and physical resource base into one capable of supporting a modern, more market-oriented economy.

***The government's balanced budget for 1997 is thus a highly desirable, though ambitious, target***

The government's zero PSBR budget programme for calendar 1997 is a bold and highly desirable target. Its main feature is a leap in overall privatisation revenue to almost 5 per cent of GDP. Tax revenue is also projected to rise sharply, by some 2.3 percentage points of GDP. At the same time public sector wages will be indexed to targeted inflation, and public investment will rise by almost a third, following several years of severe cuts. Interest on the public debt is projected to fall by over 2 per cent of GDP, with a lengthening in the average maturity of debt from seven to

ten months – and the terms of recent new debt issues would, if maintained, justify an even more optimistic outcome. However, in early 1997 public sector wages were further increased above the budget estimates.

Notwithstanding a big improvement in the outlook for speeding privatisation, the government's ambitious $6.5 billion 1997 programme (and zero PSBR target) will be difficult to achieve. And on pure efficiency grounds, its realisation in a single year may not necessarily be desirable. Indeed, the timing of actual sales will depend on financial market conditions, and in some cases on adequate regulatory framework being in place in areas (Telekom, petroleum refining, electricity generation) which had been public sector monopolies.

***Provided that progress on reducing fiscal deficits is made, near-term prospects are for reduced macroeconomic imbalances***

Assessments of the macroeconomic outlook are heavily conditional on assumed fiscal outcomes, given their pivotal role in determining inflation and interest on the public debt. The OECD Secretariat's projections assume that the primary budget surplus (excluding privatisation) will rise by almost 1 percentage point to 2½ per cent of GDP in 1997, but that the 1997 privatisation target will take several years to be achieved. Excluding privatisation receipts, the budget deficit is thus projected to average 8¼ and 7 per cent of GDP in calendar 1997 and 1998, respectively, with the PSBR dropping to 6¼ and 5½ per cent of GDP over the same period. On these assumptions, GDP growth is projected to slow from an unsustainable 7¼ per cent in 1996 towards its estimated growth potential of around 5 per cent in the next two years. With steady fiscal consolidation, inflation could decline to 65 per cent in 1998, six to twelve months later than in official projections. The current account deficit might stabilise at around 3 per cent of GDP through 1998, as import growth moderates from a surge in 1996.

The risks and uncertainties attached to these projections are large, and late 1996 saw an unusually wide range of forecasts. This reflected *inter alia* the difficulty in assessing confidence in a fast changing environment. Confidence is key, given the weight of risk premia in nominal interest rates, and hence in PSBR and inflation outcomes. The OECD Secretariat's Financial Market Stress (FMS) index (based on inflation deviations, real interest rates and currency substitution) is an attempt to measure confidence; it also provides a gauge of the importance of economic policy in seeking to affect it. The OECD's short and medium-term projections (based on a lengthening of the maturity of new debt, and steady fiscal consolidation) are not inconsistent with gradual further declines in the FMS index, following sharp drops in January 1997. By contrast, if fiscal deficits are not quickly redressed by accelerating fundamental tax and spending reforms, financial market confidence would deteriorate, with negative consequences for inflation and growth.

***But dealing with endemic high inflation requires strong policy commitments in a medium-term policy framework***

After decades of endemic high inflation, however, establishing policy credibility and building a constituency for lower inflation are formidable challenges for policy makers. The adoption of a Currency Board has sometimes been suggested as a solution, albeit an extreme one. While the simplicity and transparency of this option has a certain appeal, it can entail severe financial difficulties and large output losses, and would appear ill adapted to Turkey's existing institutional framework. Indeed, the same benefits might well be achieved with significantly lower adjustment costs through a credible Medium-term Financial Strategy (MTFS) which remains a key element missing in Turkey's policy framework. A MTFS would help the implementation of sensible tax and spending measures, and especially structural reforms which have important inter-generational

effects. Medium-term goals are presented in Turkey's Five Year Plans, but such plans have lacked a coherent framework and transparent operational guidelines. As recommended in the OECD's *Economic Survey of Turkey 1996*, a MTFS in a Turkish context also needs to be supplemented by pre-announced contingency plans in the event of unforeseen deviations. Such a framework could also establish the conditions for the progressive phasing-in of a nominal anchor.

The 1994 Bank of Turkey Act is a step forward towards the prior announcement of binding predetermined policy parameters as it steadily reduces the legal limit of Central Bank financing of the increase in government appropriations from 10 to 6 per cent between 1996 and 1997 (and to 3 per cent thereafter). But the government needs to be even more ambitious, by eliminating this source of Treasury financing. This should allow the Central Bank to have full control of its balance sheet and be accountable for inflation outcomes.

The Turkish authorities are planning the introduction of 3-year macroeconomic and fiscal benchmarks, with specific goals for tax revenue, government spending and social security deficits. These would be welcome steps towards establishing a MTFS. But the government's determination to achieve such targets must be demonstrated.

***Greater transparency and social cohesion are needed to advance structural reform***

Structural reform remains a necessary condition for further cuts in the PSBR, as well as implementing key aspects of the OECD's Jobs Strategy. Yet support for reform (and another stabilisation programme) is by no means assured, after a decade of unfulfilled promises due in large part to the short lifespan of governments. Support for reform might be built by clearly exposing the costs and benefits of government intervention by an independent body, such as

Australia's Industry Commission, which would improve government accountability as well.

Earmarking the benefits of reform towards improving Turkey's basic health and education (H&E) standards could also help to strengthen social cohesion and raise the quality and level of Turkey's human capital: a key recommendation in last year's Survey. Such a reorientation of spending priorities would pay big dividends. H&E expenditure in 1996 was just over 50 per cent of the interest on the public debt. Indeed, were the recent 30 point drop in interest rates to stick, earmarking one-third of the benefit could raise H&E spending by 1 per cent of GDP; and this would be consistent over time with a 40 per cent cut in Turkey's extreme infant mortality rate (49.3 per 1 000 live births in 1989-93, versus 4.6 in Japan).

***The list of required reforms is long***

Such a reform programme was recommended in last year's Survey (in a special chapter devoted to the follow-up of the Jobs Strategy). High priority needs to be placed on more effective tax administration and establishing a more equitable tax system. This would encourage the integration of the unrecorded economy by providing clearer penalties, coherent incentives, and access to better government services. It would also speed the reorientation of agricultural subsidies towards direct income support and cut low priority spending *via* tighter discipline on SEEs, as well as further speeding privatisation and encouraging private pension schemes. These initiatives would be balanced by higher investment in human capital and public infrastructure with high social rates of return (such as the South Eastern Anatolian Project (GAP) which is already delivering significant output gains, job creation and smaller regional income differentials). To be sure, Turkey's fiscal problems could also be resolved in the short term by raising tax rates; but this would be a

distinctly sub-optimal solution relative to improving tax equity and efficiency, and better spending priorities.

***Social security reform is a must***

Rapid action to halt growing social security deficits and to make it a fairer system is an urgent priority. Legislation to improve Turkey's deficit-ridden State pension system awaits Parliamentary approval; and this will help to modestly reduce projected deficits. But much more will need to be done to put the system on to a viable financial basis (by introducing realistic minimum retirement ages and linking benefits to actual premiums paid). This opportunity could also be used to prepare the ground for a more fundamental reform such as the introduction of pension schemes with individual entitlements modelled after the highly successful Chilean experience; this could also raise national savings, promote the development of financial markets, and create incentives for unrecorded economic activities to be registered.

***SEEs have raised their efficiency, but more needs to be done***

The efficiency of State Economic Enterprises (SEEs) has improved sharply and they are now being run on closer commercial lines. Since 1993 SEEs' wage bill as a share of sales has been more than halved. However, progress has been limited in restructuring large, chronic loss makers, such as the railways, the post-office and the coal mines. Experience in many OECD countries is that such functions can be run as public corporations or privatised, with substantial efficiency gains. Even if such radical reform is not adopted, at a minimum SEEs need to be allowed to set their prices more closely in line with market conditions.

***Privatisation has moved into the limelight***

Faster privatisation has long been regarded as a litmus test of the government's ability to deliver reform. By November 1996, the value of privatisation since 1985 was only $3.1 billion, of which $287 million was realised in the first

eleven months of 1996. But the pace has picked up dramatically. Tenders worth $900 million were accepted in the two months to January 1997, and are under way for a dozen other companies, including large, high-profile firms. There are now good prospects for rapid sale of the first tranche of Turkish Telekom [as well as licenses for the lucrative mobile telephone market (GSM)] following the rejection of a constitutional challenge in January 1997. But financial details of the sale have yet to be approved, and a number of complex decisions need to be made before a public sale is ready. And while the government's determination to pursue its programme is welcome, the difficulties in making such sales should not be underestimated.

***Summing up***

To sum up, the past eighteen months were one of the most unsettled periods in contemporary Turkish economic history. Economic growth was amazingly strong, despite the prolonged absence of effective government and growing macroeconomic imbalances. This situation was clearly unsustainable. Chronic fiscal deficits, extreme inflation and an increasingly skewed income distribution were undermining the potential to boost sustainable growth. Heavy interest costs on the public debt had mortgaged the economy's fortunes to external shocks, policy accidents and the self-interests of rentiers. The present majority coalition government has introduced a welcome element of stability into the political environment. It has made significant strides in speeding the long delayed privatisation programme and proposed an ambitious zero PSBR target for 1997, with a major reorientation of spending priorities. These goals are welcome and deserve support from the international community, and every possible effort should be made to realise them.

Even though some slippage from the ambitious 1997 budget targets appears inevitable, the determination to

achieve a sustainable medium-term fiscal position is more important than meeting an overly optimistic quantitative goal in a given year. Indeed, recent tangible progress towards this goal has lowered the extreme risk premium on interest rates and, if sustained, could free the resources needed to raise basic education and health standards. Early realisation of key parts of the government's structural agenda could underpin sustained improvements in the fiscal situation. Such developments would further ease the heavy burden on Turkey's dynamic private sector, help the economy to realise its undoubtedly bright medium-term potential, and provide the basis for greater social cohesion and a less volatile, more efficient and equitable society. But financial market confidence is notoriously unstable: any decisions which might undermine the achievement of medium-term fiscal goals must be avoided, and Turkey's fundamental economic problems must be attacked with vigour and determination.

# I. Recent economic developments and prospects

## Introduction

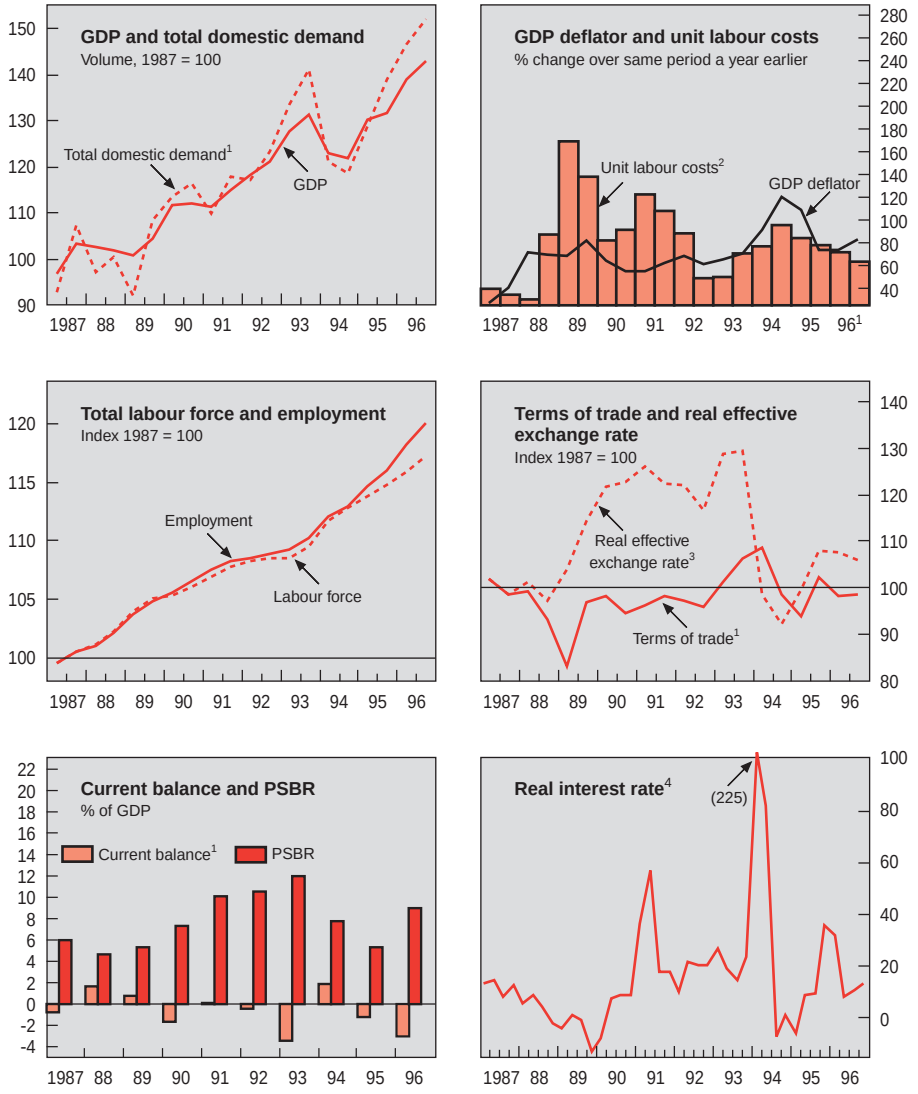
The Turkish economy recovered remarkably quickly from its early 1994 financial crisis. Growth has been vigorous, with no difficulties encountered with financing the current account deficit. But inflation and the public deficit remain stubbornly high. The underlying causes of high inflation – which displays an alarming tendency to ratchet up – are large fiscal imbalances and slow progress in structural reform.

## Demand and output

Domestic demand and output rebounded sharply from the second quarter of 1995 and the recovery gathered pace through mid-1996, easing modestly thereafter. Total domestic demand has grown consistently at double digit rates since early 1995, while real GDP growth averaged some 7 to 7½ per cent in 1995 and 1996, with a negative growth contribution of net exports (Figure 1). The source of growth has been the private sector. Private consumption rose by 7.6 per cent in 1995 and probably by even more in 1996.[1] Gross fixed investment rose by 8.3 per cent in 1995, as business investment (notably in machinery and equipment) increased by 14.9 per cent, while public investment fell by 16.9 per cent. A broad recovery in investment appears to have occurred in 1996; surging capital goods imports suggest a 25 to 30 per cent jump in private investment, together with a rise in public investment.

Industry and services have been the sectors driving the recovery. Industrial output led the recovery until mid-1996, and growth slowed thereafter, albeit remaining sustained (Figure 2). Industry capacity utilisation rates peaked in September 1995 and subsequently eased as capacity expanded with a surge in

Figure 1. **KEY ASPECTS OF ECONOMIC ACTIVITY**

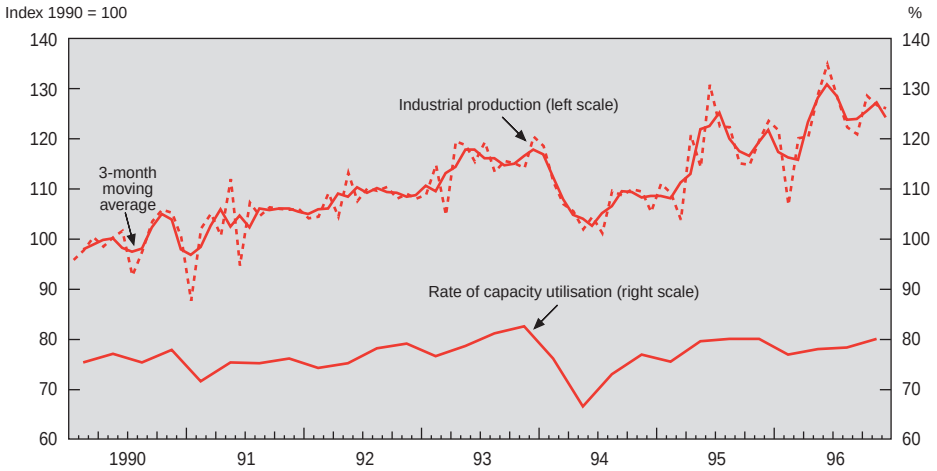



1. Estimates for last period.
2. Total economy.
3. Calculated using consumer price inflation relative to Turkey's trading partners.
4. Interbank rate deflated by the consumer price index.

*Source:* OECD, *National Accounts, Main Economic Indicators,* and estimates.

Figure 2. **INDUSTRIAL TRENDS**

Seasonally adjusted




*Source:* OECD, *Main Economic Indicators.*

business investment (partly in response to Customs Union with the EU). Output of services, which typically lags that of industry, picked up to double digit rates during the first nine months of 1996 (Table 1). In contrast, agricultural output and government services continued to lag, reflecting longer-term sectoral shifts. Agricultural output rose only about 2 per cent in 1995 (close to its medium-term trend) and recorded a similar rise in the first nine months of 1996. Government services rose 2.5 per cent in 1995, but growth eased somewhat in the first three quarters of 1996.

## *Forces acting on the economy*

The vigour of the 1995-96 recovery despite very high real interest rates significantly exceeded business consensus and official forecasts. The reasons for this strength in private spending are unclear. Unanticipated strength in 1995 may have reflected the wealth effects of falling inflation, despite fiscal retrenchment, and fiscal expansion in 1996 may have boosted demand temporarily.[2] Similarly, the net lending position of the household and corporate sectors coupled with high

Table 1. **Supply and use of resources**

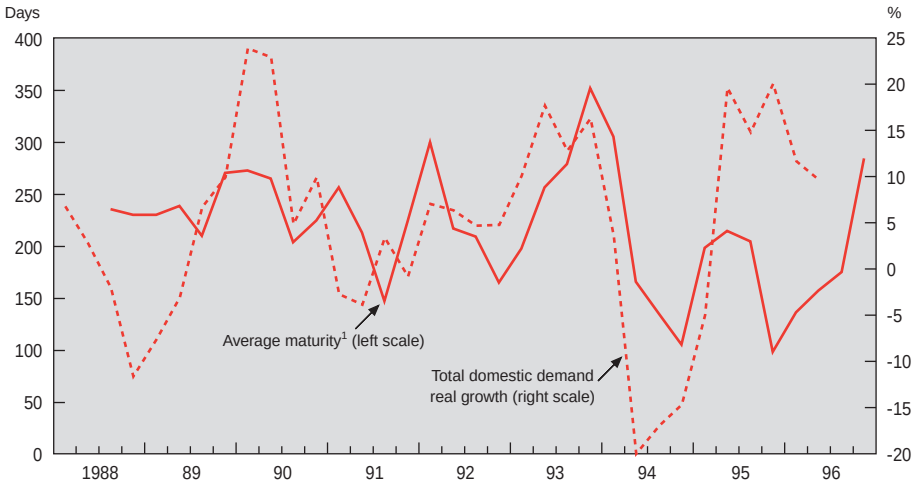
| | 1991 Share of GDP in current prices | 1992 | 1993 | 1994 | 1995 | 1996 |
|---|---|---|---|---|---|---|
| | | Percentage volume changes | | | | |
| **Supply** | | | | | | |
| Agriculture | 15.2 | 4.3 | –1.3 | –0.7 | 2.0 | 5.2 |
| Industry | 25.9 | 5.9 | 8.2 | –5.7 | 12.1 | 7.1 |
| Construction | 7.0 | 6.2 | 7.9 | –2.0 | –4.7 | 4.8 |
| Services | 51.9 | 6.6 | 11.0 | –7.2 | 7.8 | 8.1 |
| GDP | 100.0 | 6.0 | 8.0 | –5.5 | 7.2 | 7.2 |
| **Demand** [1] | | | | | | |
| Private consumption | 70.6 | 3.2 | 8.6 | –5.4 | 5.8 | 9.5 |
| Public consumption | 12.4 | 3.6 | 8.6 | –5.5 | 6.8 | 4.7 |
| Investment | 23.5 | 6.6 | 26.1 | –16.7 | 9.1 | 17.9 |
| Final domestic demand | 106.5 | 4.1 | 13.0 | –8.6 | 6.7 | 11.2 |
| Stockbuilding [2] | –1.1 | 1.6 | 1.2 | –4.6 | 4.7 | –0.6 |
| Total domestic demand | 105.4 | 5.7 | 14.1 | –12.7 | 11.7 | 10.7 |
| Exports of goods and services | 13.8 | 11.0 | 7.7 | 15.2 | 8.0 | 18.0 |
| Imports of goods and services | 16.6 | 10.9 | 35.8 | –21.9 | 29.6 | 26.2 |
| Foreign balance [2] | –2.8 | –0.3 | –6.2 | 8.6 | –4.7 | –2.4 |
| Statistical discrepancy [2] | –2.6 | 0.5 | –0.2 | –0.3 | 0.3 | –0.3 |
| GDP | 100.0 | 6.0 | 8.0 | –5.5 | 7.2 | 8.0 |

1. First semester of 1996 over first semester of 1995.
2. Contribution to growth.
*Source:* State Institute of Statistics, *Turkish Economy, Statistics and Analysis*, and State Planning Organisation.

real interest rates may have had a weak (or indeed perverse) impact, as the negative substitution effects of higher rates were largely offset by their effects on incomes.

The timing of private spending is also responsive to changes in interest rates and the maturity of new issues, reflecting the large private sector stock of government securities, at very high real rates. Although maturity *per se* does not influence income, cash flow developments can delay or bring forward spending, as most debt consists of Treasury bills that provide a return on maturity. This is important in Turkey because secondary financial markets are undeveloped. From 1993 to 1995 the government debt stock was rolled over every twelve months. If average maturity lengthens, cash flow is also postponed. But the ability of the authorities to issue longer maturity debt typically reflects stronger confidence and lower prevailing interest rates, making it difficult to identify separately income

Figure 3. **DEBT MATURITY AND ACTIVITY**




1. Average maturities refer to new debt issues.
*Source:* State Planning Organisation, *Main Economic Indicators*.

and cash flow effects on domestic activity. Nonetheless, Figure 3 suggests that the lag between slower domestic demand growth and longer new debt maturity has recently been around three quarters.[3] This implies that the extension of new debt maturity to 399 days in the first quarter of 1997, compared with 200 days in September 1996 will put downward pressure on domestic demand in 1997. Indeed, growth in industrial production and capacity utilisation rates in manufacturing have eased since mid-1996 in line with such developments.

In short, assessing the forces acting on the Turkish economy is always difficult due to the lack of timely data. It is further complicated by a large unrecorded economy[4] and a volatile political climate which make the income and confidence effects that dominate short-run behaviour hard to gauge.

## Labour market trends

Labour market analysis is similarly constrained by data availability, notwithstanding considerable improvements in the quality and frequency of

Household Labour Force surveys. The latest October 1996 Survey showed unemployment at 5.8 per cent of the labour force, and under-employment at 6.2 per cent. Urban and rural unemployment rates were estimated at 9.3 and 2.9 per cent, respectively. Compared with year-earlier estimates, the unemployment and the under-employment rates dropped by 0.8 and 0.1 percentage points respectively (Table 2).

Employment and labour force participation trends remain difficult to assess, owing to rapid urbanisation and sectoral output shifts. Compared with their year-earlier levels, total employment in October 1996 was up 1.5 per cent, while the rise to April 1996 was 2.6 per cent. These data confirm sustained job creation and high growth in labour productivity. Nonetheless, against a background of strong growth in the working-age population and high urban unemployment, especially among youths and educated workers (where unemployment rates are around

Table 2. **Labour market indicators**

| | 1991 | 1992 | 1993 | 1994 | 1995 | 1996 |
|---|---|---|---|---|---|---|
| | October | | | | | |
| Population 12 and over | | | | | | |
| Participation ratio, per cent | 52 | 52 | 50 | 50 | 51 | 50 |
| Civilian labour force, thousand | 21 238 | 21 703 | 21 628 | 22 136 | 22 900 | 23 030 |
| Civilian employment, thousand | 19 452 | 19 959 | 19 906 | 20 397 | 21 378 | 21 698 |
| Unemployment, thousand | 1 787 | 1 745 | 1 722 | 1 740 | 1 522 | 1 332 |
| Unemployment rate | 8.4 | 8.0 | 8.0 | 7.9 | 6.6 | 5.8 |
| Civilian employment | | | | | | |
| As a share of total | 100.0 | 100.0 | 100.0 | 100.0 | 100.0 | 100.0 |
| Agriculture | 47.6 | 44.7 | 43.4 | 44.2 | 47.8 | 45.9 |
| Mining | 1.1 | 1.0 | 0.8 | 0.8 | 0.6 | 0.7 |
| Manufacturing | 14.0 | 16.5 | 15.1 | 14.6 | 13.8 | 14.4 |
| Construction | 5.6 | 5.4 | 5.9 | 6.0 | 5.7 | 6.2 |
| Trade | 11.6 | 12.5 | 12.8 | 13.0 | 12.2 | 12.5 |
| Transport | 4.1 | 4.2 | 4.8 | 4.5 | 4.0 | 4.2 |
| Other | 16.0 | 15.7 | 17.2 | 16.9 | 15.9 | 16.1 |
| Population 15-64 | | | | | | |
| Participation ratio | 58 | 58 | 57 | 57 | 57 | 56 |
| Civilian labour force | 19 728 | 20 284 | 20 496 | 20 758 | 21 694 | 21 425 |
| Civilian employment | 18 049 | 18 629 | 18 828 | 19 085 | 20 212 | 20 137 |
| Unemployment, thousand | 1 678 | 1 665 | 1 669 | 1 673 | 1 447 | 1 238 |
| Unemployment rate | 8.5 | 8.2 | 8.1 | 8.1 | 6.7 | 6.0 |

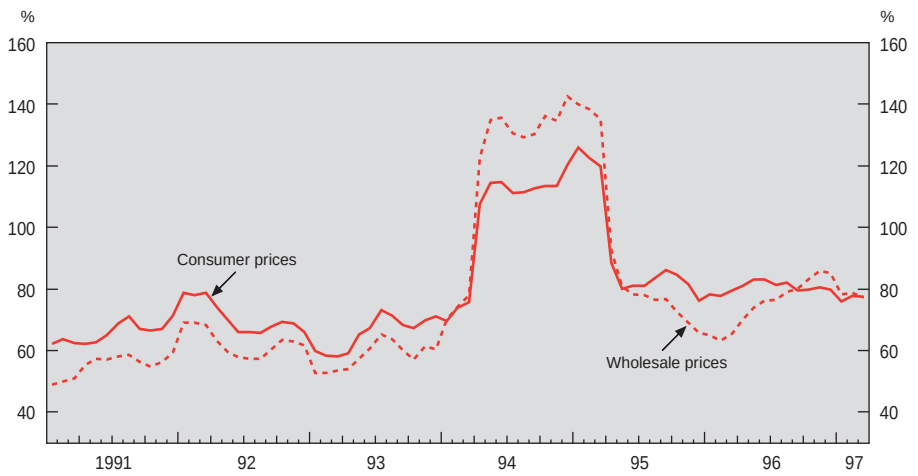
*Source:* State Institute of Statistics, *Household Labour Force Surveys.*

28 per cent) – promoting adequate job creation remains a challenge – as does raising Turkey's comparatively low level of human resource development (see Chapter III).

## Costs and prices

Inflation in 1996 again proved much stronger than projected. The provisional January-April 1996 budget (approved in December 1995) assumed inflation of 65 per cent for calendar 1996, about half the level recorded through most of 1994 and early 1995 when the impact of the stabilisation package and earlier depreciation were passed on. In the event, the 12-month change in consumer prices rose to over 80 per cent by Summer 1996 but edged back to below 80 per cent by December, averaging just over 80 per cent for 1996 as a whole (see Figure 4). Year-on-year CPI inflation fell further in the first quarter of 1997, but this largely reflected exceptionally large increases a year earlier due to delayed hikes in public charges held up prior to the December 1995 election.

Figure 4. **INFLATION DEVELOPMENTS**
Change over twelve months




*Source:* OECD, *Main Economic Indicators.*

Such high inflation was a clear setback. But in the extraordinary context of prolonged political instability and uncertainty concerning the new government and its policy agenda, it is remarkable that a further acceleration of inflation, which was widely predicted by domestic and international analysts in 1996, was prevented. To be sure, in many countries once inflation rises to such levels, subsequent rates tend to be much higher, sometimes resulting in hyperinflation. Turkey has avoided this situation, partly because of its high degree of inflation inertia.[5]

Inflation in Turkey is closely related to fast growth in the monetary aggregates.[6] Annex I formalises this relationship and demonstrates that in the long run, money growth is the principal factor driving inflation. Also relevant in the short run is the rate of Turkish lira depreciation. This channel is becoming more important, as the economy is opened to international competition and the share of imports in domestic output rises.[7]

The fundamental reason for rapid money growth and inflation in Turkey is the excessive level of the PSBR and its partial monetisation, although over the past year capital inflows and reverse currency substitution have also been factors tending to increase liquidity. Preliminary estimates are that almost 17 per cent of the PSBR in 1996 was money financed. Although still too high to rein in inflation, it was lower than in 1995, when about one-quarter of the PSBR was monetised (see Chapter II). Inflation expectations could therefore ease, but chronic fiscal deficits have hardened price expectations. Indeed, price inertia seems to have increased along with the steady ratcheting-up of inflation since the 1970s (*cf.* Annex I).

## External developments

Turkey has had no problem servicing its foreign debt since the 1994 financial crisis. Since its re-entry into international debt markets in early 1995, the Bank of Turkey has accumulated record levels of reserves ($18 billion at end-1996, equivalent to five months of imports) reflecting a pick-up in foreign (especially portfolio) capital inflows. Even so, the external position continues to attract scrutiny, owing to the short-term and volatile nature of some of these inflows.

Table 3. **Balance of payments**

$ million

| | 1993 | 1994 | 1995 | 1996 S1 | 1996 Estimates |
|---|---|---|---|---|---|
| **Current account** | | | | | |
| Exports (f.o.b.) | 15 611 | 18 390 | 21 975 | 11 041 | 24 900 |
| Imports (f.o.b.) | 29 771 | 22 606 | 35 187 | 19 605 | 44 250 |
| **Trade balance** | –14 160 | –4 216 | –13 212 | –8 564 | –19 350 |
| Services, credit | 11 788 | 11 691 | 16 094 | 9 130 | 19 250 |
| *of which:* Tourism | 3 959 | 4 321 | 4 957 | 2 000 | 6 000 |
| Services, debit | 7 829 | 7 936 | 9 717 | 4 978 | 11 000 |
| Private transfers, net | 3 035 | 2 709 | 3 425 | 1 785 | 3 600 |
| *of which:* Workers' remittances | 2 919 | 2 627 | 3 327 | 1 673 | 3 400 |
| Official transfers, net | 733 | 383 | 1 071 | 313 | 650 |
| **Current balance** | –6 433 | 2 631 | –2 339 | –2 314 | –6 850 [1] |
| **Capital account** | | | | | |
| Long-term capital | 5 909 | 933 | 2 417 | 1 621 | 3 550 |
| Direct investment | 622 | 559 | 772 | 267 | 650 |
| Portfolio investment | 3 917 | 1 158 | 1 724 | 1 640 | 2 100 |
| Other | 1 370 | –784 | –79 | –286 | 800 |
| Short-term capital | 3 054 | –5 127 | 2 305 | 3 851 | 6 470 |
| Errors and omissions | –2 222 | 1 769 | 2 275 | 798 | 2 130 |
| **Overall balance** | 308 | 206 | 4 658 | 3 956 | 5 300 |

1. Recently revised to $5.6 billion.

*Source:* Central Bank of Turkey, *Quarterly Bulletin*, and State Planning Organisation.

Assessing Turkey's external position has also been complicated by delays in publishing trade data due to its entry into Customs Union with the EU. Data up to July 1996 indicate that exports were up 8.4 per cent (in US dollars) from the same period a year earlier, while the comparable increase in imports was 30.3 per cent (Table 3). Turkey may have made a small gain in export market share in 1996, and the real effective exchange rate (using relative consumer prices) is still some 20 per cent below its pre-1994 crisis level (Figure 5). At the same time, however, the trade deficit widened sharply owing to soaring imports. A sharp rise in the level of imports usually follows large reductions in border protection, and some moderation is typical as their initial effects fade.

A serious statistical problem is that the level of merchandise exports is significantly understated owing to its omission of rapidly growing ''suitcase'' trade with neighbouring countries (especially with the former FIS countries), as

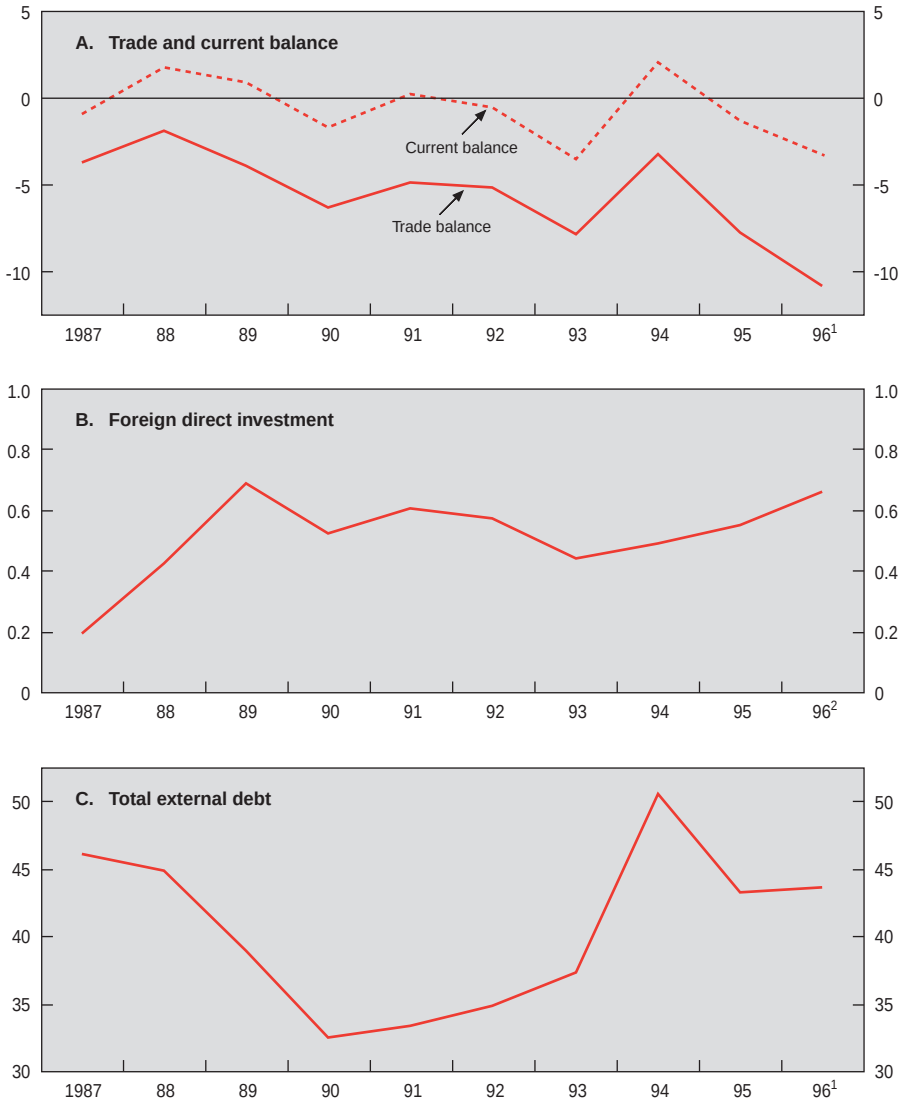
Figure 5. **EXCHANGE RATE DEVELOPMENTS**

1. Trade-weighted index.
2. Calculated using consumer price inflation relative to Turkey's trading partners.

*Source:* OECD.

Figure 6. **CURRENT ACCOUNT, DIRECT INVESTMENT AND EXTERNAL DEBT**

As per cent of GDP




1. Estimates.
2. First semester.

*Source:* Central Bank of Turkey and OECD.

well as a large volume of ''unregistered'' activities. These activities are recorded in the ''other items'' category of invisibles earnings, when foreign exchange receipts are deposited with commercial banks.[8] Taking these elements together, the current account deficit is officially estimated at around $5.6 billion in 1996 or 3.0 per cent of GDP. This estimate could, however, exaggerate the size of the deficit as persisting short-term capital inflows may to some extent reflect unregistered activities or systematic under-reporting.

The substantial capital inflows explain the relative ease in financing the current account deficit and repaying official debt obligations in 1996 (Figure 6). Turkey repaid around $10 billion to foreign creditors in 1996, of which $5.1 billion was principal and $4.6 billion interest payments. (Of this total, scheduled public sector amortisation payments in 1996 were $5.7 billion, of which just over one-half was in principal.) Turkey regained access to international debt markets in the second quarter of 1995 and borrowed $2.5 billion over the rest of the year, and around $3 billion in 1996. This brought the level of total external debt to some $78 billion by September 1996 (some 43 per cent of GDP), of which some 50 per cent represented debt of general government and State Economic Enterprises (Table 4). Debt measured in US dollars may have fallen from September to December 1996, owing to a rising dollar.[9]

Foreign direct investment (FDI) inflows in 1996 were a relatively modest $1 billion, little changed from 1995, despite expectations of stronger inflows following Customs Union. However, there was a sharp pick-up in foreign capital permits issued at end-1996, and measures are being considered to expedite the entry of foreign capital through waiving minimum capital requirements and by extending domestic investment incentives to FDI related to modernisation.

In mid-1996, some international rating agencies placed Turkey on credit watch. Turkey's sovereign credit rating was subsequently downgraded by several agencies towards end-1996 (similar action in 1993 had already lowered its credit rating to below investment grade paper). These recent actions appear to have had little effect on Turkey's access to international debt markets, and their rationale may have been weakened by events at the turn of the year: the outlook for expediting privatisation has improved significantly; the consolidated budget deficit in 1996 was slightly lower than expected; and nominal interest rates have declined significantly.

Table 4. **External debt of Turkey**
Disbursed debt – end of period
$ million

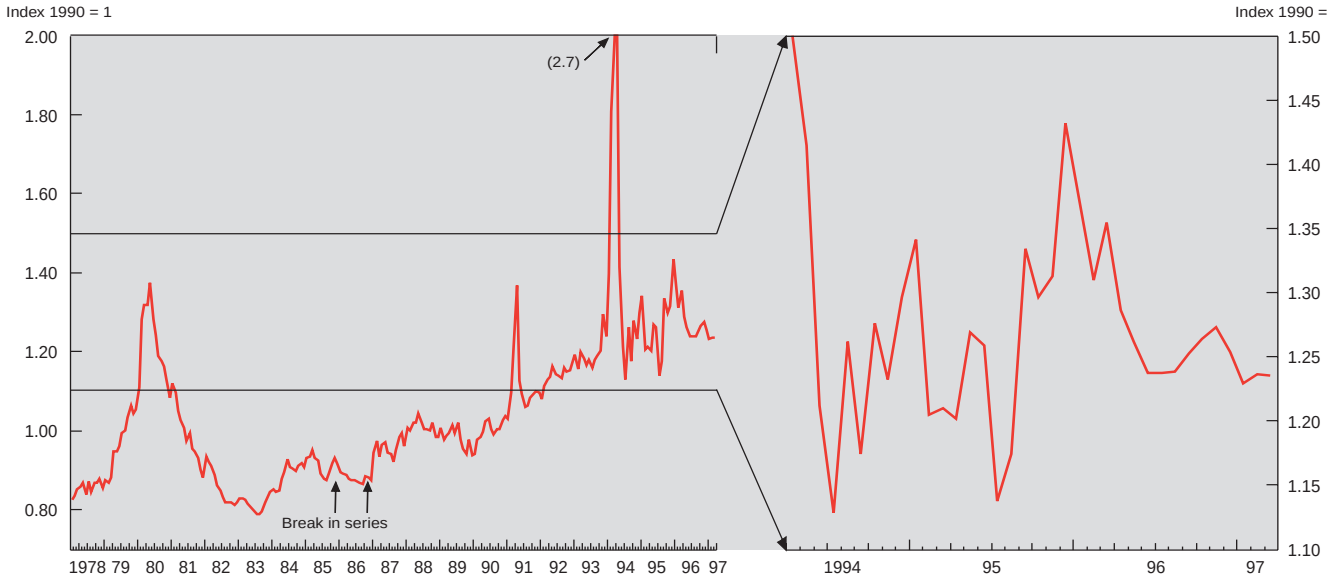
| | 1991 | 1992 | 1993 | 1994 | 1995 | 1996 September |
|---|---|---|---|---|---|---|
| **Medium and long-term debt** | 41 372 | 42 932 | 48 823 | 54 291 | 57 577 | 58 808 |
| Multilateral creditors | 10 069 | 9 160 | 8 674 | 9 183 | 9 081 | 8 293 |
| Bilateral creditors | 14 587 | 15 035 | 18 153 | 20 678 | 21 558 | 22 564 |
| Commercial banks | 10 992 | 12 956 | 15 706 | 16 113 | 16 532 | 17 134 |
| Private lenders | 5 724 | 5 781 | 6 290 | 8 317 | 10 406 | 10 817 |
| **Short-term debt** | 9 117 | 12 660 | 18 533 | 11 310 | 15 701 | 19 234 |
| Credits | 6 134 | 10 065 | 15 436 | 8 044 | 11 230 | 14 001 |
| Deposits | 2 983 | 2 595 | 3 097 | 3 266 | 4 471 | 5 233 |
| **Total debt** | 50 489 | 55 592 | 67 356 | 65 601 | 73 278 | 78 042 |
| *Memorandum items (per cent):* | | | | | | |
| Total debt/GDP | 33.4 | 34.9 | 37.3 | 50.5 | 43.2 | – |
| Medium- and long-term debt/GDP | 27.4 | 26.9 | 27.0 | 41.8 | 33.9 | – |
| Short-term debt/GDP | 6.0 | 7.9 | 10.3 | 8.7 | 9.3 | – |
| Short-term/total debt | 18.1 | 22.8 | 27.5 | 17.2 | 21.4 | 24.6 |
| Total debt/foreign exchange revenue [1] | 195.2 | 195.1 | 221.3 | 200.1 | 176.6 | – |
| Medium- and long-term debt by borrower as per cent of total debt | | | | | | |
| General government | 54.3 | 51.2 | 45.7 | 51.9 | 47.3 | 44.2 |
| SEE's | 10.3 | 9.2 | 8.1 | 8.4 | 6.6 | 5.7 |
| Central bank | 12.9 | 11.1 | 9.8 | 13.1 | 14.3 | 13.9 |
| Private sector | 4.5 | 5.7 | 8.9 | 9.4 | 10.4 | 11.6 |
| Debt service/GDP | 5.0 | 5.3 | 4.6 | 7.7 | 7.0 | – |
| Debt service/foreign exchange revenue [1] | 29.2 | 29.9 | 27.0 | 30.5 | 28.7 | – |
| Average maturity (years) | 14.8 | 13.9 | 12.5 | 12.5 | 12.7 | 11.4 |

1. Foreign exchange revenue is the sum of exports, other goods and services and unrequitted transfers (private).
*Source:* Central Bank of Turkey, *Quarterly Bulletin*; State Planning Organisation, *Main Economic Indicators*.

## Short-term economic prospects

The range of economic forecasts for Turkey is typically very wide, reflecting the inherently volatile nature of the economy and erratic movements in data.[10] The difficulty in assessing economic prospects is compounded by large uncertainty about policies. The OECD Secretariat's projections over the coming two years are based on specific fiscal policy assumptions. The government's 1997 privatisation target of 5 per cent of GDP is assumed to be realised, but over a

Figure 7. **FINANCIAL MARKET STRESS INDEX**[1]




1. Higher levels of the index correspond to greater stress. The index consists of an equally weighted average of up to three components. These are:
   I. deviations of annual CPI inflation rates from their three year moving average;
   II. a measure of foreign currency substitution defined as the share of local and foreign currency deposits to local currency deposits; and
   III. the real interbank interest rate.
   The sub-indices have been normalised over the four year period 1988-92 when the output gap was close to zero. Due to data limitations, index construction only uses the measure of CPI deviations up to 1986; data on foreign currency substitution are only available from 1986 and the real interest rate from 1987. This means that, although the 1980 crisis is measured as having been less accute than in 1994, a part of the "stress" was "repressed" due to the absence of data on foreign currency substitution and the real interbank rate.

*Source:* OECD.

longer period of time. And revenue and expenditure trends relative to GDP are such that the primary budget surplus averages slightly less than 2¾ per cent of GDP in 1997 and 1998, compared with the official projection of 7.4 per cent in 1997.[11] In addition, the following technical assumptions are made:

- Growth of the money supply is consistent with a modest fall in inflation in 1997 and 1998 and the real exchange rate unchanged from its level prevailing on 4 February 1997;
- oil prices average $20 a barrel in the first half of 1997 and remain unchanged in real terms thereafter;
- growth of Turkish export markets are in the 7 to 8 per cent range over the coming two years, reflecting a pick-up in European import growth.

The OECD Secretariat projects output growth in Turkey to slow gradually in response to a modest fiscal tightening and some lengthening in the average maturity of debt. GDP growth is projected to average 5¼ per cent in 1997 and 4¾ per cent in 1998 (Table 5). (The official forecast for GDP growth in 1997 is 4 per cent.) Capital spending is expected to rise at almost double the pace of GDP, partly because of stronger direct investment flows, linked to reduced political instability. But since capital goods are mostly produced overseas, strong import growth, albeit easing somewhat, is also expected. At the same time, strong growth in invisibles earnings is projected to continue. All in all, the current account deficit is projected to stabilise at around 3 to 3½ per cent of GDP.

The assumed improvement in the primary budget surplus to 2.7 per cent of GDP in 1998 and higher privatisation revenue should sustain lower interest rates and lengthen average debt maturity, resulting in a PSBR-to-GDP ratio of 6.3 per cent in 1997 and 5.5 per cent in 1998. Similarly, the net government borrowing requirement (which excludes privatisation) is projected to improve by some 2 percentage points of GDP from its current level of around 9 per cent, provided the fiscal assumptions are vindicated. With progress in fiscal consolidation, inflation is projected to decline to some 65 per cent in 1998.

A useful approach for assessing the balance of short-term risks and confidence is a summary measure of financial market stress (FMS) (Figure 7). Annex II explains how this index is constructed. High levels and volatile movements of ‘‘stress’’ correspond with a high degree of uncertainty. This was the case in early 1994 and again in the first half of 1996; the latter coincided with

Table 5. **Projections for 1997 and 1998**

Percentage changes, volume (1987 prices)

| | 1995 | | 1996 Estimate | Projections | |
|---|---|---|---|---|---|
| | Current prices TL trillion | Per cent of GDP | | 1997 | 1998 |
| Private consumption | 5 485.2 | 70.7 | 9.1 | 6.1 | 5.0 |
| Public consumption | 837.2 | 10.8 | 7.7 | 4.4 | 4.6 |
| Gross fixed investment | 1 812.3 | 23.4 | 18.3 | 8.1 | 7.3 |
| Final domestic demand | 8 134.8 | 104.8 | 11.4 | 6.6 | 5.6 |
| Stockbuilding[1] | 98.1 | 1.3 | 0.1 | 0.0 | 0.1 |
| Total domestic demand | 8 232.9 | 106.1 | 11.4 | 6.5 | 5.7 |
| Exports of goods and services | 1 544.1 | 19.9 | 15.0 | 12.0 | 11.0 |
| Imports of goods and services | 1 890.2 | 24.4 | 29.6 | 14.4 | 12.0 |
| Statistical discrepancy[1] | –124.3 | –1.6 | –0.1 | 0.0 | 0.0 |
| GDP at market prices | 7 762.5 | 100.0 | 7.2 | 5.2 | 4.7 |
| GDP implicit price deflator | | | 78.6 | 75.0 | 65.0 |
| *Memorandum items:* | | | | | |
| Consumer prices | | | 74.1 | 75.0 | 65.0 |
| Unemployment rate | | | 6.5 | 6.6 | 6.5 |
| Current balance ($ billion) | | | –5.6 | –5.5 | –5.7 |
| Current balance (% of GDP) | | | –3.1 | –3.0 | –2.9 |

1. Change as a percentage of GDP in previous period.
*Source:* OECD.

some predictions of imminent financial crisis, which did not occur. In January 1997 the FMS fell to close to its average level, in response to reduced political instability and greater confidence in the government's privatisation programme, but rose again in March in the face of renewed political instability. Thus, while the risks and uncertainties attached to these projections are large, near-term prospects have improved. But unless this opportunity is taken to implement basic structural improvements, notably through fundamental reform of the social security and tax systems, such short-run improvements are unlikely to be sustained.

# II. Macroeconomic policies

## Introduction

Unsustainable fiscal policies have typically driven periods of macroeconomic instability in Turkey.[12] The financial crisis in early 1994 coincided with a PSBR consistently over 10 per cent of GDP during the previous three years. In 1996 the PSBR probably stabilised at just over 9 per cent of GDP, compared with a programmed 7.5 per cent (necessitating another supplementary budget), and poses substantial risks if left unchecked. This chapter first discusses the design and objectives of current fiscal and debt management policies. Recent monetary and exchange rate developments are then analysed, followed by a discussion of a possible medium-term macroeconomic policy framework for achieving sustainable growth and lower inflation.

## Fiscal policy

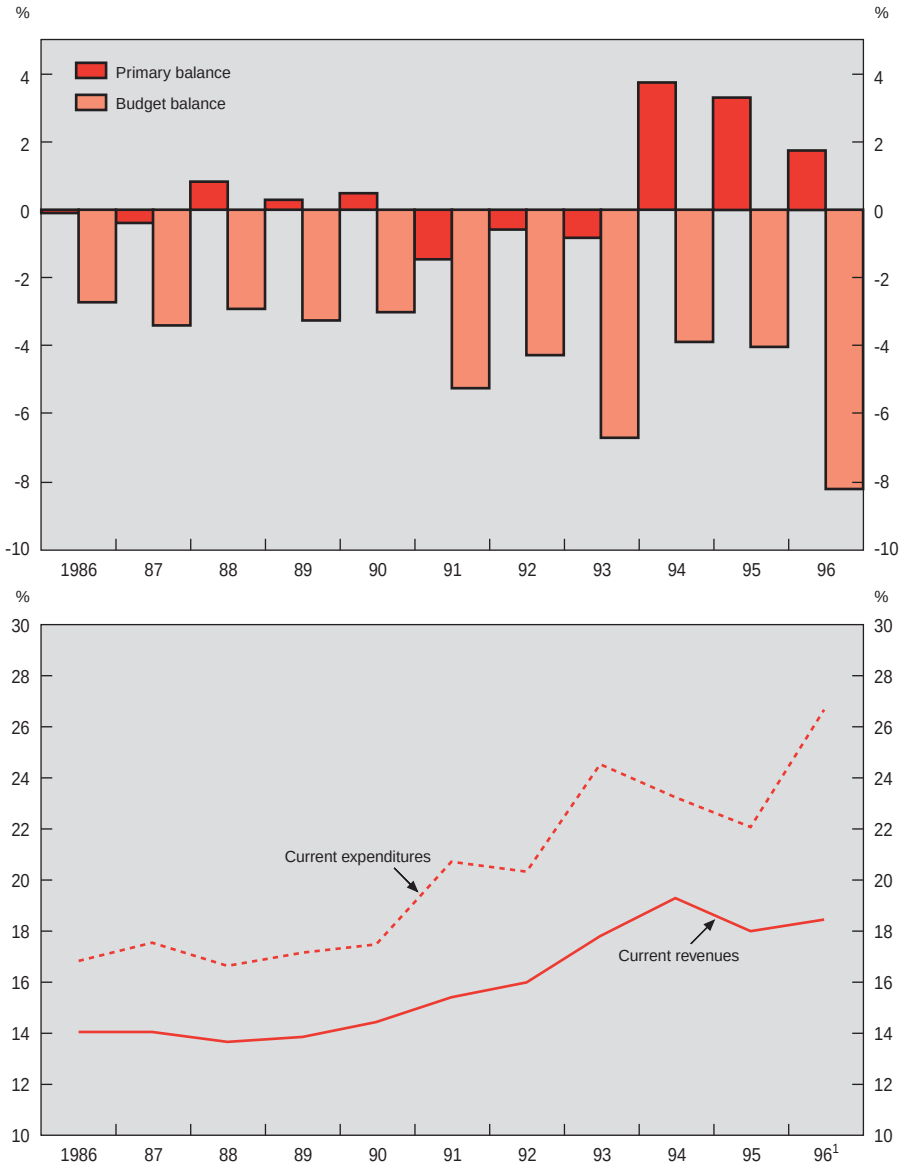
Notwithstanding a large PSBR, there has been a modest turnaround in Turkey's underlying budget position since early 1994, with the attainment and maintenance of primary budget surpluses. The consolidated primary budget surplus was 4 per cent of GDP in 1994, but has since fallen steadily[13] (Figure 8). Since the 1994 stabilisation plan included a number of one-off tax surcharges and/or spending freezes, and subsequent budgets did little to address the causes of persistent imbalances, it is not surprising that the improved primary budget position has not endured.

### *The 1996 budget outcome in perspective*

In 1996 the primary public sector surplus is likely to have narrowed to around 0.9 per cent of GDP. This further decline was partly due to an unstable

Figure 8. **CONSOLIDATED BUDGET AND PRIMARY BUDGET BALANCES**

As per cent of GDP




1. Treasury estimates.

*Source:* Undersecretariat of Treasury.

political situation. Indeed, the 1996 budget involved the participation of three coalition governments, of which the first two had no effective parliamentary majority. But the deterioration also reflected the current government's decisions in July 1996 to increase civil servants' pay and pensions by 50 per cent [against a budgeted 30 per cent increase (adding some 1.25 per cent of GDP to the PSBR)]: to double the minimum wage; and increase agricultural subsidies. These extra spending measures were financed through borrowing, rather than new revenue measures.

The consolidated budget deficit probably increased by nearly 4¼ percentage points of GDP to reach a record high of 8.2 per cent in 1996, more than reversing the improvement achieved between 1993 and 1995 (*cf.* Figure 8). Salient features of the 1996 consolidated budget outcome were:

- revenues were constant at around 18 to 19 per cent of GDP, despite substantial reductions in trade levies following Turkey's adhesion to the EU Customs Union;
- the trend towards greater reliance on indirect taxation continued, albeit at a slower pace; indirect taxes accounted for some 60 per cent of total tax revenue in 1996, compared with 57 per cent in 1994 and 59 per cent in 1995;
- non-tax revenue, notably from the sale of State property, also improved;
- higher expenditure accounted for nearly all of the increase in the deficit, of which interest payments accounted for most of the rise;[14]
- social security transfers (predominantly to cover pension fund deficits as the health care fund is roughly in equilibrium) were the fastest growing non-interest expenditure item, reaching almost 2.5 per cent of GDP;
- transfers to State Economic Enterprises (SEEs) were the only expenditure category not to rise relative to GDP.[15]

### *Off-budget developments*

Approximately 10 per cent of the PSBR in 1996 was due to ''off-budget'' items.[16] Relative to GDP, the size of these items has declined substantially from the early 1990s. Up to 1994, off-budget items represented approximately one-half of the PSBR, but since then the bulk of extra-budgetary funds has been transferred to the consolidated budget and subject to the usual budgetary vetting processes. Nonetheless, off-budget transfers are still the principal source for

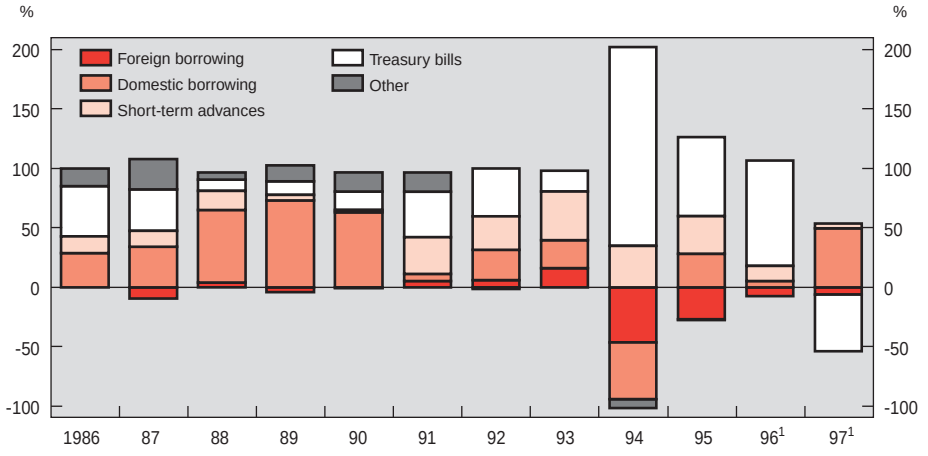
channelling agricultural subsidies, and compensation to State-owned banks that are obliged to extend credit at below cost. These expenditures lack transparency, are badly targeted and are not an effective way of delivering income support to low income groups.

### *Debt management patterns*

Primary budget surpluses since 1994 have helped to prevent total public sector debt as a share of GDP from accelerating to higher levels. Foreign currency debt accounts for about two-thirds of the total, although it varies significantly between years in response to exchange rate movements. Overall, the debt-to-GDP ratio over the past four years has risen slightly. And over the same period, major changes in the financing pattern of budget deficits have occurred (Figure 9 and Table 6).

Following the 1994 financial crisis, the government was unable to sell Treasury bonds. In their place, issues of short-maturity Treasury bills were almost exclusively relied upon, leading to a drastic shortening in average debt

Figure 9. **FINANCING THE CONSOLIDATED BUDGET DEFICIT**
As per cent of cash deficit




1. Treasury estimates.
*Source:* Undersecretariat of Treasury.

Table 6. **Public sector finances**

| | 1992 | 1993 | 1994 | 1995 | 1996 Estimates | 1997 Programme |
|---|---|---|---|---|---|---|
| **Budget balances** (TL trillion) | | | | | | |
| Public sector | –116.6 | –239.8 | –305.7 | –425.6 | –1 338.0 | –104.9 |
| Consolidated budget | –47.4 | –133.9 | –152.2 | –316.6 | –1 217.7 | 0.0 |
| **Budget balances** (% of GDP) | | | | | | |
| Public sector | –10.7 | –12.1 | –7.9 | –5.5 | –9.1 | –0.4 |
| Consolidated budget | –4.3 | –6.8 | –3.9 | –4.1 | –8.2 | 0.0 |
| State economic enterprises | –4.0 | –3.2 | –2.1 | 0.4 | –0.3 | –0.2 |
| Local administrations | –0.8 | –0.7 | –0.4 | –0.5 | –0.3 | –0.3 |
| Social security institutions | –0.2 | –0.6 | –0.6 | –0.6 | –0.2 | –0.2 |
| Extra-budgetary funds | –1.3 | –0.9 | –0.9 | –0.6 | –0.1 | 0.2 |
| **Financing of PSBR** (% of GDP) | | | | | | |
| Central Bank | 1.6 | 2.7 | 1.3 | 1.2 | 1.5 | 0.5 |
| Foreign borrowing, net | 1.6 | 1.1 | –1.8 | –0.9 | –1.4 | –0.8 |
| Domestic borrowing, net | 7.5 | 8.4 | 8.3 | 5.1 | 8.9 | 0.6 |
| **Public sector debt stocks** (% of GDP) | | | | | | |
| Bonds and Treasury bills | 12 | 13 | 14 | 15 | . . | . . |
| Other Turkish lira debt [1] | 6 | 5 | 7 | 3 | . . | . . |
| Foreign currency debt | 25 | 24 | 37 | 29 | . . | . . |
| Total public sector debt | 43 | 42 | 58 | 47 | . . | . . |

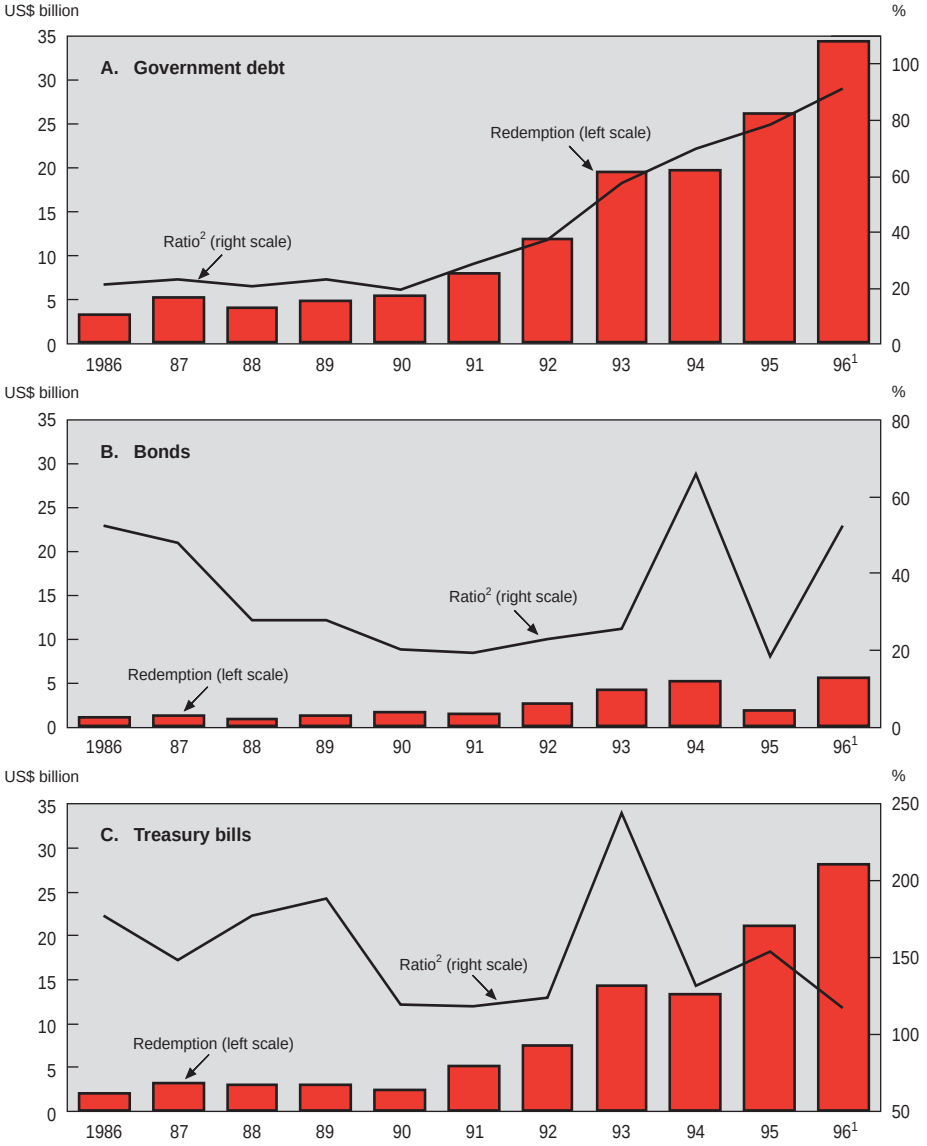
1. Central Bank advances and consolidated debt.
*Source:* State Planning Organisation.

maturity. This resulted in a big increase in debt redemptions, equivalent to around 100 per cent of the stock in 1996, creating severe problems for debt management (Figure 10) and monetary policy (see below). By contrast, net foreign borrowing has been negative since 1994. Advances from the Central Bank have been falling in line with current legislation, but remain excessive relative to the small size of the domestic money base (*cf.* Figure 9).

## *The 1997 budget: a radical break from the past*

The 1997 budget proposed a radical shift from the expansionary policies of the past. The budget's target is a zero PSBR for 1997, to be achieved through significant fiscal consolidation, a massive privatisation programme and a large drop in debt interest costs (Table 7). This is a very ambitious target and there is widespread scepticism whether such a big change is feasible in one year. These targets are also conditional on optimistic macroeconomic assumptions, as well as favourable interest rate, debt maturity and tax collection developments.

Figure 10. **DEBT REDEMPTIONS AND REDEMPTION RATIOS**




1. As end of October.
2. Defined as principal repayment as a proportion of the corresponding debt stock. For government debt, the total includes central bank advances and consolidated debt.

*Source:* State Planning Organisation, *Main Economic Indicators,* and Undersecretariat of Treasury, *Treasury Monthly Statistics.*

Table 7. **1996 and 1997 budgets**

TL trillion

| | 1996 Budget revised | 1996 Outcome | 1997 Budget |
|---|---|---|---|
| **Consolidated budget** | | | |
| Revenue | 2 647 | 2 731 | 6 255 |
| Non-interest spending | 2 440 | 2 462 | 4 391 |
| Primary balance | 207 | 269 | 1 864 |
| Interest payments | 1 507 | 1 497 | 1 864 |
| Budget balance | –1 300 | –1 218 | 0 |
| **Total public sector** | | | |
| Non-consolidated budget balance | –120.3 | –120 | –104.9 |
| Total public sector budget balance | –1 420.3 | –1 338 | –104.9 |
| *Memorandum items:* | | | |
| Consolidated budget primary balance (% of GDP) | 1.4 | 1.8 | 7.4 |
| Public sector primary balance (% of GDP) | 0.6 | 1.1 | 7.0 |
| Consolidated budget balance (% of GDP) | –8.9 | –8.2 | 0.0 |
| Public sector balance (% of GDP) | –9.7 | –9.1 | –0.4 |

*Source:* State Planning Organisation.

Officially, economic growth is projected to average 4 per cent in 1997, despite fiscal consolidation, and inflation is assumed to average 65 per cent, the same assumption as adopted for the 1996 budget. The sensitivity of fiscal outcomes to different assumptions is analysed in Annexes III and IV.

Most of the planned reduction in the 1997 PSBR will come from higher government receipts. Consolidated budget revenue is expected to increase in real terms by 43 per cent, reflecting real increases in tax revenues and a jump in privatisation receipts (from the partial sale of Turkish Telekom and mobile telephone licensing fees). Tax revenue is programmed to rise by 15.6 per cent in real terms (an implicit tax elasticity of 1.3), entailing a 2.3 percentage point increase in the tax/GDP ratio to 17.2 per cent. This partly reflects new tax measures, including the imposition of a withholding tax on interest income, higher petroleum taxes and prepaid stamp taxes on alcohol and cigarettes. But the bulk of extra revenue is to come from improved tax administration and tighter enforcement building on substantial progress in the last three years.

### *Privatisation will play a crucial role*

Privatisation receipts subject to specific acts of Parliament (*i.e.* Telekom and GSM licensing) will enter directly into consolidated budget revenue. Other receipts will accrue to the Privatisation Agency and will continue to be returned to the Treasury, after charges for restructuring, retraining, severance pay and administrative costs. All together, the government expects to raise $6.5 billion from its overall 1997 privatisation programme (equivalent to some 5 per cent of GDP) of which Telekom constitutes just over one-half. The government intends to maintain a high rate of privatisation, including the sale of power stations and dams, in the future.

### *Spending will be reoriented*

Non-interest expenditure is programmed to increase as a share of GDP to 17.3 per cent in 1997, from about 16.5 per cent the previous year. A large part of this increase is accounted for by public investment, projected to rise by 40 per cent in real terms following substantial cuts over the previous two years. The public sector wage bill, the second-largest category of government expenditure, is to remain constant in real terms. Wage rates will be indexed to targeted inflation and include a small real rise, following large losses over the previous two years. The number of government employees is expected to fall. In early 1997 wages were further increased to compensate for losses over the past two years. Tobacco support prices were also raised, in line with export prices. The cost of these additional spending measures will add about ¾ of a per cent of GDP to total spending.

Interest costs are projected to decline from 10.1 per cent of GDP in 1996 to 7.4 per cent in 1997. Part of this decrease is due to the programmed zero PSBR, but an assumed lengthening of average debt maturity by some two months, from approximately the present eight months, and lower interest rates will also contribute.[17] Lowering Turkey's very high real interest rates is central to establishing a sustainable medium-term fiscal position and a better income distribution. Ultimately, this will depend on proof of the government's resolve and a proven track record in delivering lower fiscal deficits and inflation. Financial markets were initially little impressed by the announcement of the government's budget, underscoring the need for a credible, medium-term macroeconomic strategy (see below).

Parallel to the budget, the new government also introduced three ''Resources Packages'' in 1996, aimed altogether at raising $30 billion. It remains unclear why the government proposed these packages, including one just after finalising the budget. Measures included a withholding tax on interest income, accelerated collection of excise duty and an imposition of a 6 per cent levy on foreign financing of imports, as well as steps to improve enforcement of the tax system and broaden its base. The likely impact of these measures on total revenue is relatively small and has been factored into estimated budget revenue. The packages also included a number of financing initiatives.[18] The most important was the decision to issue foreign currency-denominated government bonds. But in terms of reducing fiscal imbalances, the packages *per se* are unlikely to make a major contribution, except *via* some efficiency and cost savings.

If the government's budget plans are fully realised, the consolidated primary budget surplus, excluding privatisation revenue, could average 2.5 per cent of GDP. Combined with considerable privatisation revenue and lower interest costs, the debt to GDP ratio would also fall, leaving the PSBR close to zero. All in all, the budget plans are based on a number of excessively optimistic assumptions and leave no margin for error or delay. A significant reduction in the PSBR is nonetheless likely, and this would represent an important improvement over the performance in 1996.

## Monetary and exchange rate policy

The Central Bank has been reticent to announce monetary plans since the suspension of its policy of setting nominal limits on exchange rate movements in September 1995. Monetary policy in Turkey is stymied by the short average maturity of domestic government debt and extensive foreign currency substitution. The large share of private sector interest income also hinders monetary policy, as the income effects of higher interest rates damp the price effects. Although an inflation target of 70 per cent was announced for the first six months of 1997, the Bank's only apparent official goal is to hold the ''real exchange rate'' stable by ensuring that the Turkish lira depreciates no more rapidly than inflation differentials against Germany and the United States.

The Central Bank's main priorities are to ensure stability in money and foreign exchange markets. These priorities place a premium on liquidity manage-

ment which in 1996 was complicated by uncertainty and the need to control reserve money growth consistent with containing inflation at 80 per cent. Growth in the Central Bank balance sheet in 1996 was more than accounted for by net foreign assets.[19] In the absence of a nominal anchor, these aims are consistent with a neutral or accommodating monetary policy, as the Central Bank has difficulties controlling its own balance sheet. The Central Bank is also unique among OECD countries in providing a significant, but diminishing, element of money financing of the Treasury's borrowing requirement.[20] By 1998, Treasury access to Central Bank advances will be capped at 3 per cent of the increase in total budget appropriations. But if fully used, this would still be incompatible with low inflation, given Turkey's relatively small money base.

### *Monetary and exchange rate trends*

Most quantity-based monetary and financial market indicators suggest that monetary conditions over the past twelve months have generally been accommodating or neutral (Table 8). The broader monetary and credit aggregates have grown at a somewhat faster rate than nominal GDP. By contrast, growth in the narrow monetary aggregates, M1 and reserve money, especially in the first half of 1996, was well below inflation. But trends over the second half of 1996

Table 8. **Monetary conditions**

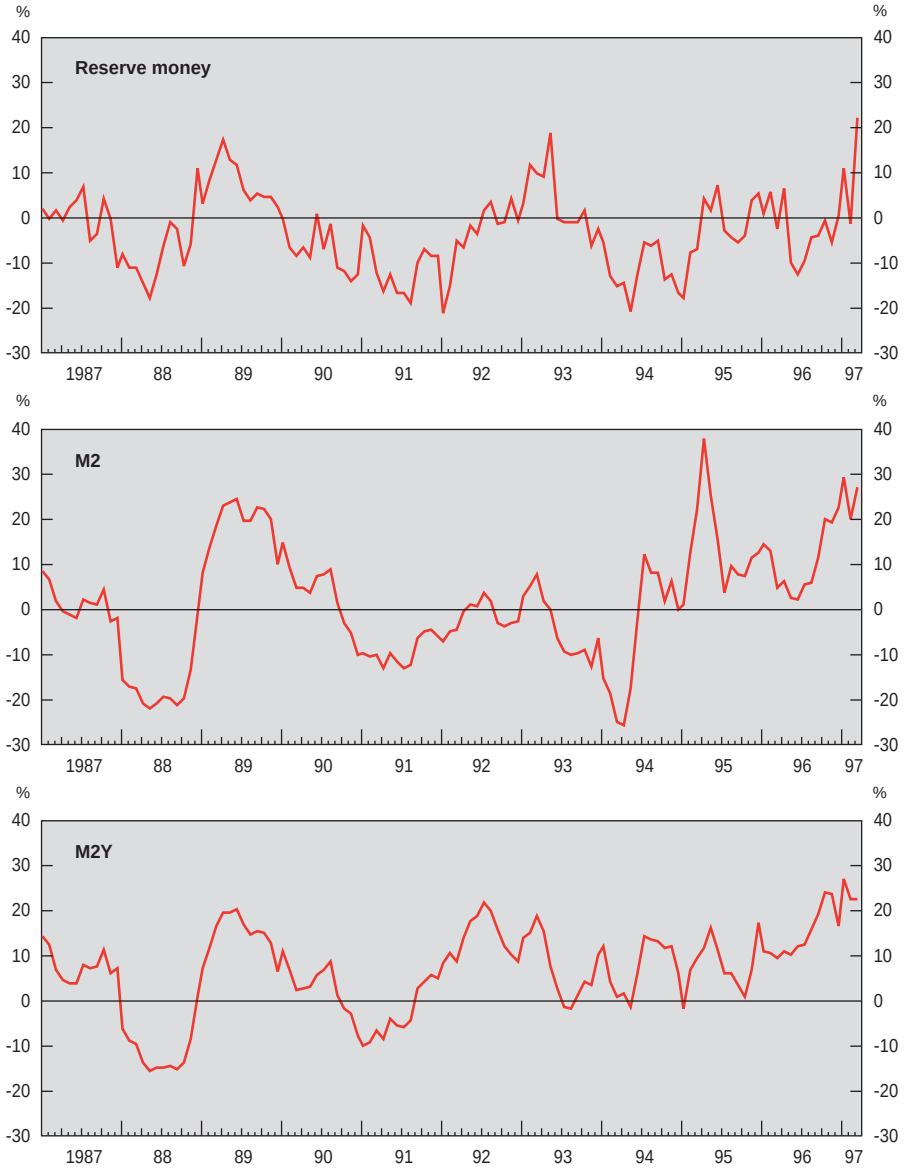
End of period data

| | 1992 | 1993 | 1994 | 1995 | 1996 |
|---|---|---|---|---|---|
| | Annualised growth rates from previous period | | | | |
| **Monetary aggregates** | | | | | |
| M2 | 61.1 | 59.6 | 120.1 | 97.7 | 120.5 |
| M2Y | 80.5 | 88.2 | 133.3 | 106.5 | 109.7 |
| M3 | 65.0 | 47.4 | 123.1 | 100.0 | 125.6 |
| **Central Bank balance sheet items** | | | | | |
| Reserve money | | | | | |
| Average for last quarter of period | 68.8 | 64.8 | 84.1 | 83.2 | 76.1 |
| End of period | 64.3 | 66.2 | 82.6 | 84.9 | 80.0 |
| Total assets (liabilities) of Central Bank | 85.3 | 59.7 | 142.5 | 105.1 | 88.5 |
| Total domestic credit | 170.9 | 88.4 | 51.5 | 143.7 | 35.9 |
| Foreign exchange reserves | 16.1 | –1.4 | 8.6 | 52.5 | 28.6 |

*Source:* Central Bank of Turkey, *Monthly Statistical Bulletin*; State Planning Organisation, *Main Economic Indicators.*

Figure 11. **REAL MONEY GROWTH**[1]

Year-on-year growth rates




1. Deflated by the consumer price index.

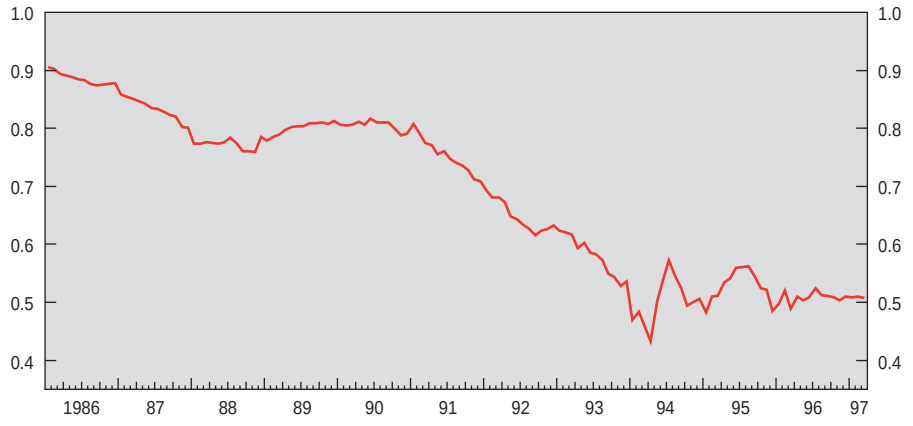
*Source:* Central Bank of Turkey and OECD, *Main Economic Indicators.*

revealed a marked acceleration in growth of the narrow aggregates, reflecting a sharp increase in sight deposits related to the introduction of a centralised cash management system of government bank accounts (Figure 11).

Limited confidence can be attached to quantity-based monetary policy indicators, since they are distorted by high and volatile levels of near money asset substitution, and do not show a stable measure of transaction demand. For instance, the proportion of foreign currency deposits in broad money (M2Y) ranged between 48 and 54 per cent over the past twelve months (Figure 12). This is well down from its recent peak of 60 per cent in early 1994, when the government attempted to cap interest rates and restrict Treasury bill sales, but still at a stubbornly high level. In fact, the level of currency substitution has proven to be a timely and simple barometer of confidence in the Turkish economy.[21]

Price-based indicators, such as real interest rates, present a different assessment, implying very tight monetary conditions. The political vacuum following the inconclusive elections in late 1995 resulted in yields rising by some 40 percentage points between late 1995 and early 1996 and the maturity of new issues

Figure 12. **CURRENCY SUBSTITUTION**
M2/M2Y[1]




1. M2Y is M2 plus foreign currency deposits.
*Source:* Central Bank of Turkey.

dropping to only four months. By December 1996, the average maturity on new Treasury bill issues had lengthened to around thirteen months and interest rates had fallen to about 125 per cent, notwithstanding the introduction of a 10 per cent withholding tax on interest earnings in November (subsequently raised to 12 per cent) and Standard and Poor's downgrading of Turkish sovereign debt in December. Rates fell further to around 80 to 85 per cent in late January 1997, following the Constitutional court's rejection of a challenge against privatisation of Telekom, but rose again in March in the face of renewed political instability. Real *ex post* interest rates have thus fallen from 1996 levels, but interpreting these data is difficult because there is no independent measure of price expectations.

Exchange rate developments since September 1995 have been guided by the Central Bank's apparent goal of maintaining a stable real exchange rate. The real exchange rate (based on relative CPIs) was broadly constant throughout 1996, and was still down some 20 per cent from its pre-financial crisis level in late 1993.[22] Over the same period, the terms of trade have deteriorated by some 10 per cent.

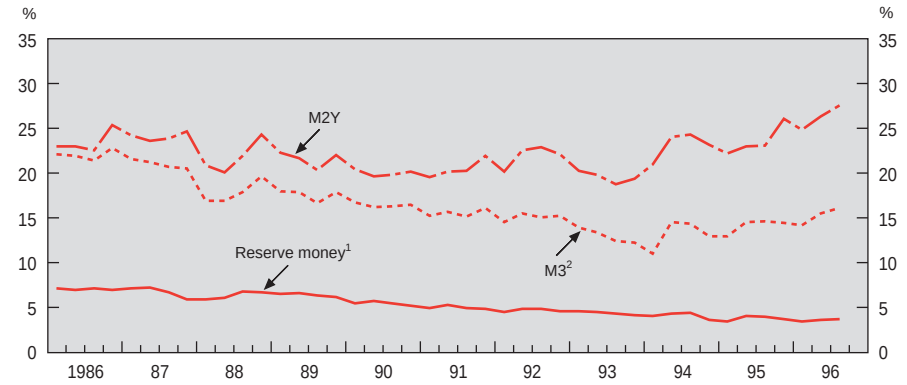
## The costs of inflation

Persistent and high inflation is sapping the strength of the Turkish economy through its damping effect on investment, and hence future output potential. This seems difficult to appreciate when economic growth is buoyant and empirical studies identify relatively small costs. But the costs of inflation are insidious, even if hard to measure.[23] A major distortion is the tax system which makes little adjustment for inflation. Although public sector wages and social security payments are indexed, the tax system is only partially indexed, implying higher real tax burdens, even if real earnings or profits are unchanged. High inflation also creates incentives to delay tax payments, encourages evasion and impacts adversely on the distribution of income (see Chapter III). This hinders fiscal management by eroding the tax base and complicates planning budgetary expenditures. The difficulty of conducting monetary policy is another manifestation of high inflation.

Other sectors of the economy are also disrupted by high inflation. Financial markets, which play an important role as intermediaries between lenders and borrowers, work less effectively. And intermediation is lower because banks have

Figure 13. **FINANCIAL DEEPENING**

As a percentage of GDP




1. Reserve money is equal to the sum of currency issued, reserve balance of the banking sector, banking sector deposits and other items.
2. M3 is equal to M2Y minus foreign exchange deposits plus public sector deposits with banks plus other deposits with the Central Bank.

*Source:* Central Bank of Turkey.

Figure 14. **BANK CREDIT**

As a ratio of M2Y

*Source:* OECD, *Main Economic Indicators.*

fewer deposits to compete for, and lending for investment projects is less attractive, compared with holding government paper. Figure 13 shows the small scale of financial intermediation in Turkey.[24]

One manifestation of financial disintermediation (or ''crowding-out'') is the low level of bank lending. Figure 14 shows the proportion of bank loans for investment purposes to the size of M2Y or total bank deposits. This ratio has dropped from around 75 per cent ten years ago when inflation averaged about 40 per cent, to some 50 per cent in 1996. Hence, one-half of bank deposits are used for purposes other than providing private credit, typically holding Treasury paper.

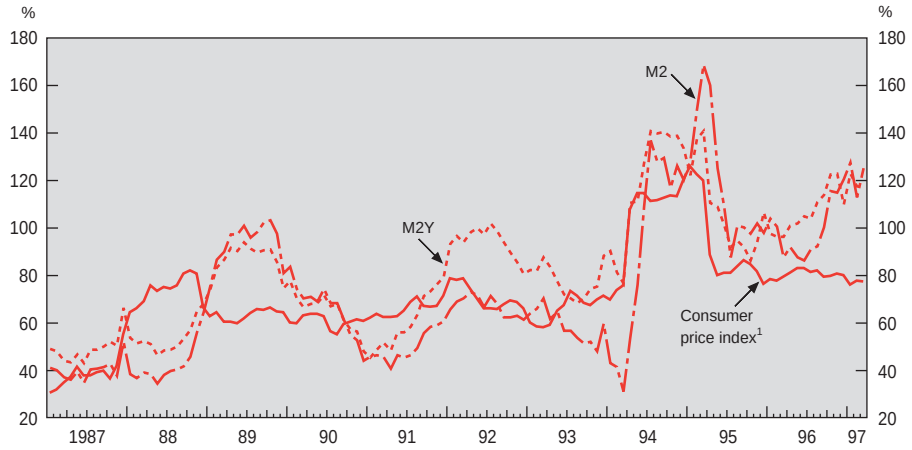
Recently, bank profits from holding government paper amounted to half of the interest income from bank loans, and the asset base of some banks comprises almost entirely of Treasury bills. Such rentier activities would become substantially less attractive if fiscal consolidation was actively pursued and real interest rates sharply reduced. This is an important consideration when evaluating policy options for lowering inflation (see below).

Chronically high inflation has also led to a progressive switch from domestic to foreign currencies as a store of value. Indeed, many Turkish enterprises, especially those with export sales, operate their businesses almost entirely in foreign exchange to simplify planning and minimise the consequences of unanticipated inflation. But when currency substitution is widespread and volatile, the relationship between nominal GDP and domestic-currency monetary aggregates is no longer a useful indicator of the stance of monetary policy, because of shifts in asset choice (Figure 15).

Currency substitution and the short average maturity of domestic debt complicates interpreting monetary conditions and impedes effective monetary policy operation. Normally monetary conditions can be changed via open market operations (OMO); selling government securities soaks up excess liquidity and tightens policy (and vice versa when the Central Bank buys back securities). But in Turkey, government securities are not held exclusively for investment purposes. Rather, their short maturity and high liquidity endow them with characteristics similar to money deposits (or near money) for transaction purposes. This makes it difficult to tighten or loosen monetary conditions through OMO, except at the short end of the market, since system-wide liquidity (*i.e.* M2 or M2Y) does not change.

Figure 15. **INFLATION AND MONEY GROWTH**

Year-on-year growth rates




1. All items, urban population.

*Source:* Central Bank of Turkey and OECD, *Main Economic Indicators.*

## A medium-term macroeconomic policy framework

As argued in the 1996 Survey, one way of increasing policy credibility is to set macroeconomic policy within a clear and transparent medium-term framework. Indeed, a remarkable event in 1996 was the initial failure of financial markets to react to the government's announcement of its intentions to ''balance the budget in 1997''. Even though there were legitimate concerns about the feasibility of achieving such an ambitious target, prospects for speeding privatisation and structural reform had already improved, in large part owing to reduced political instability. Typically, financial markets would have responded quickly to such an announcement through lower yields on government debt, reflecting improved fiscal prospects and reduced inflation expectations. The fact that interest rates initially remained broadly unchanged, suggests a considerable credibility gap.

Such low policy credibility has imposed heavy costs on the budget, since interest rates include a sizeable risk premium. In December 1996, real interest

rates on Treasury bills were of the order of 25 per cent (although they fell sharply in January 1997). For comparison, recent foreign currency denominated 3-year Treasury bonds commanded real rates some 20 percentage points lower, with the risk of unanticipated inflation being effectively transferred to the government. This yield gap is a rough proxy for the risk premium on Turkish lira debt.

As interest payments account for some 60 per cent of government primary spending, changes in average interest rates have substantial consequences. The 30 percentage point drop in interest rates in the first quarter of 1997, if maintained, could reduce debt interest payments by over 3 percentage points of GDP.[25] This demonstrates how large the potential savings can be from building confidence in sustainable fiscal policies.

### *Establishing fiscal rules or benchmarks*

Turkey has made some limited progress towards restoring fiscal rectitude, but public sector primary surpluses at about 1.0 per cent of GDP are insufficient to make inroads into the level of outstanding public debt, but nonetheless suffice to prevent the domestic debt-to-GDP ratio from rising. This is because monetisation has eroded the value of the debt, leaving Turkey with a severe inflation rather than a debt problem. As illustrated in Annexes III and IV, if the government programme of doubling the primary surplus to 2 per cent of GDP (excluding privatisation) over the next three years (a relatively unambitious fiscal target) is achieved, it would reduce the PSBR by 1½ percentage points of GDP by the turn of the century and lay the ground for lower inflation. Conversely, even a small deterioration in the current primary budget surplus would perpetuate the legacy of high inflation and lead to a trend rise in the debt-to-GDP ratio.

The Turkish authorities are currently planning the introduction of 3-year macroeconomic and fiscal benchmarks, backed up with specific privatisation, tax revenue and structural goals. The proposed programme includes increasing tax revenues by 2 to 2½ per cent of GNP, raising at least US$15 billion in privatisation receipts and avoiding any further deterioraton in the deficits of social security funds. If these goals are to be realised, it will be necessary, at a minimum, to increase the savings from proposed pension reform measures; existing initiatives are far from adequate to prevent a widening deficit (see Chapter III). Nonetheless, these are encouraging, albeit modest, steps towards establishing prior commitments to fiscal consolidation.

Earning credibility requires tangible evidence of the government's commitment to reform and a proven record in delivering lower fiscal deficits. Measures can be taken to reinforce and speed this process. For instance, rules which bind authorities to react in predetermined ways could be written into legislation.[26] A system of binding fiscal policy rules, however, could in some circumstances prove excessively rigid.[27] But after a decade of chronic deficits, it is evident that a rules-based system erring towards restraint is appropriate.

Fiscal rules are complex to design, requiring a transparent measurement framework and effective sanctions. Indeed, few countries have experimented or successfully implemented fiscal rules. The United States has a Budget Enforcement Act, but its impact is limited and leaves considerable discretion over the budget cycle. New Zealand's 1994 Fiscal Responsibility Act is the most advanced initiative of this type to date.[28] This requires the government to set out its long-term and short-term objectives, and to publish an array of fiscal indicators through the year, to permit public monitoring. Such an approach, if adopted in Turkey, would mark a sea change in providing private sector agents with a consistent and transparent set of policy signals, and would no doubt help to build credibility. But a prerequisite for this type of approach is a strong political resolve to pursue such an agenda.

Because the economic outlook in Turkey is so unpredictable and prone to ''boom and bust'' cycles, agents' ''medium-term'' horizons rarely extend beyond twelve months. Excessive short-termism makes the implementation of sensible tax, spending and debt management policies very difficult and consensus for reform even more so. In these circumstances introducing a rules-based system would provide the basis for establishing a more stable planning horizon. And once the benefits of fiscal consolidation were evident, expectations could adjust more quickly. Such an approach would also enhance prospects for structural reform, by relieving pressures for finding ''quick fixes'' which often do longer-term damage.

An alternative, but even more radical, solution to policy myopia is to adopt a currency board (CB).[29] For a general analysis of how currency boards operate, see Annex V. Under a CB system, the Turkish lira would be irrevocably fixed against a reserve currency (probably the US dollar or the Deutschemark) and backed 100 per cent by foreign exchange reserves. A currency board, as with fiscal rules, by removing discretion, signals a credible commitment towards

attaining and maintaining low inflation. Both approaches impose a medium-term discipline on policy choices. But the currency board option would appear inappropriate in the Turkish context, due to the high degree of inflation inertia (see Annex I). Inflation inertia is a serious constraint, as most contracts in Turkey are based on the premise of on-going high inflation. Hence, the transition to low inflation could inflict large real output losses and could provoke numerous business and bank failures, which would either have to adjust or close. And the power of the Central Bank to act as a lender of last resort is removed under a CB option (although a separate institution funded through the budget could serve a similar function). Hence, a medium-term approach based on pre-announced fiscal benchmarks and rules would probably provide for a smoother transition. And once fiscal imbalances are repaired, many of the other economic management problems facing Turkey would become more tractable.

# III. Building a consensus for structural reform

Turkey's transformation to a more liberal, competitive free-market economy has been a difficult process. Despite a promising start in the early 1980s, centred on unilateral cuts in border protection and deregulation of financial markets, the reform process lost momentum in the mid-1980s. Slow reform, as elsewhere, has largely reflected the ability of special interest groups to block change in a highly competitive and fragmented political system, as well as the comparative lack of programmes aimed at easing the adjustment costs of structural reform. Even though Turkey was among the pioneers to unilaterally liberalise foreign trade, by the mid-1990s it had dropped behind many of its Latin American and Asian counterparts in the restructuring of State Economic Enterprises (SEEs), privatisation, and reform of its deficit-ridden social security system. Entry into Customs Union with the EU in January 1996 is expected to provide a fillip to Turkey's integration into the world economy and therefore to structural reform. To date, private capital inflows into Turkey have been relatively disappointing, although showing signs of picking up in late 1996 as political instability was reduced.[30] But much more needs to be done to implement key recommendations made in last year's Survey in the context of the follow-up to the OECD Jobs Strategy.

Slow structural reform is the main underlying reason why Turkey's fiscal and inflation record (and perhaps its international credit rating and its attraction to foreign investors) has slipped relative to other middle-income countries. To be sure, Turkey's GDP growth averaged almost 5 per cent over the past fifteen years, well above the growth rates achieved in many Latin American countries with better structural records (*e.g.* Argentina, Brazil, Mexico and Peru). But Turkey's growth performance would no doubt have been far better without the burden of an inefficient and often ineffective public sector.

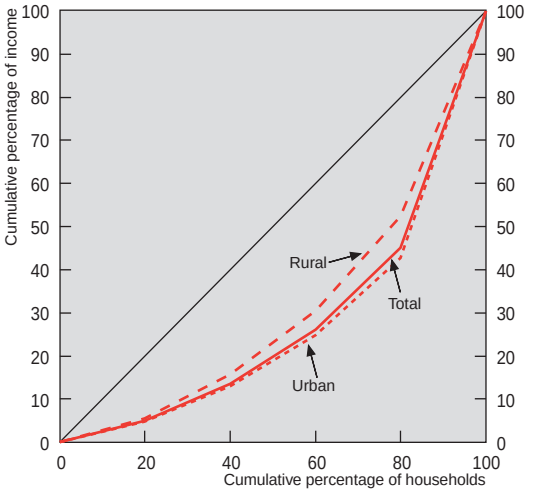
The dynamics of successful structural reform are complex and badly understood, but there is growing evidence that social cohesion is the key. Experience

in the high-performing Asian economies underlines the importance of persevering with reform, while using the resources released to raise basic education and health standards. Such a policy approach has helped to build social cohesion by maintaining a ''reasonable'' degree of income equality,[31] while fostering rapid economic growth and attracting substantial amounts of foreign capital and technical know-how. With a view to identifying the most appropriate policy strategy for Turkey, this chapter discusses income distribution, human resource development, as well as recent progress in structural reform.

## Income distribution in Turkey is highly skewed

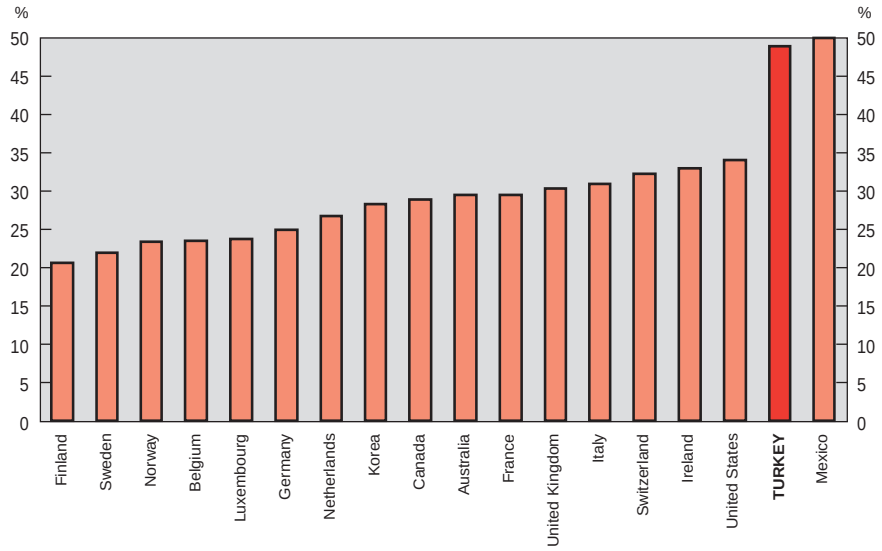
Survey data for Turkey indicate that income distribution is highly skewed. Wealth distribution (as elsewhere) is probably even more concentrated, but almost no data exist. Surveys are infrequent, with the most recent estimates being the Turkish 1987 and 1994 Household Income Surveys.[32] Lorenz curves and Gini coefficients[33] for 1994 show that despite some narrowing since the 1960s, income

Figure 16. **LORENZ CURVES FOR TURKEY**
Annual disposable income of households by quintiles, 1994




*Source:* State Institute of Statistics, *Statistical Yearbook of Turkey 1994.*

Figure 17. **THE GINI MEASURE OF INCOME INEQUALITY**[1, 2]




1. The Gini coefficient is the area between the Lorenz curve and the line of absolute equality as a proportion of the total area under the line of absolute equality.
2. The date for country Gini coefficient estimates ranges from between 1982 and 1988. Estimate for Korea is for 1995.

*Source:* OECD, *Economies at a Glance, Structural Indicators;* State Institute of Statistics, Turkey; and Korean National Statistical Office.

distribution widened significantly compared with 1987 (Figures 16 and 17).[34] Inequality was also more pronounced in urban than in rural areas. Compared with OECD countries, Turkey had the second-widest income dispersion. Comparisons with non-OECD countries are hazardous. But the Gini coefficient for Turkey (0.49) is not unusual compared with many Latin American and African countries (where income distribution is known to be very highly skewed) but much higher than in several fast growing East Asian countries.[35] For example, Gini estimates for urban workers in Korea were 0.31 in 1985 and narrowed steadily to 0.28 by 1995.[36]

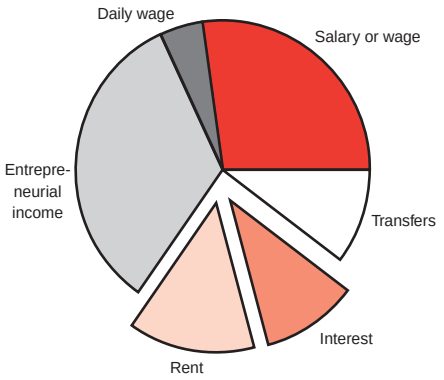
Salient features of income distribution in Turkey are the marked differences in factor shares compared with most OECD countries and large differences between urban and rural households. Wages, salaries and daily wages made up

Figure 18. **FACTOR INCOME SHARES**

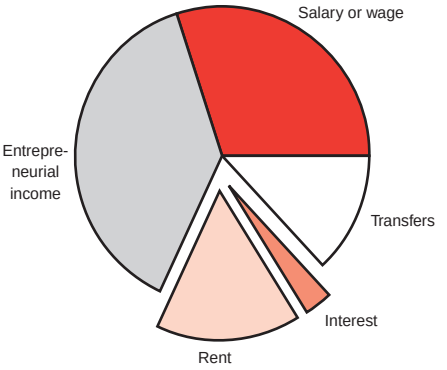
Household income by type

**A. Urban**

**1994**

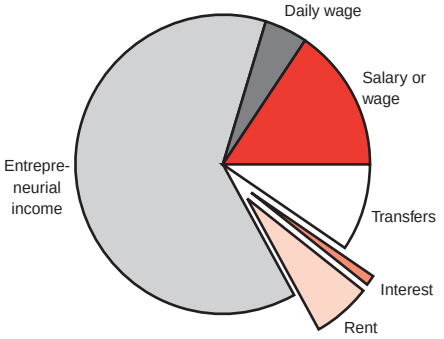



**1987**

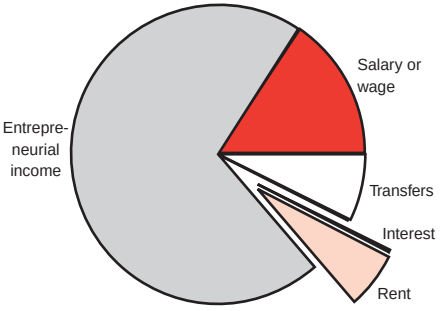



**B. Rural**

**1994**




**1987**




*Source:* State Insitute of Statistics, *Statistical Yearbook of Turkey 1993, 1994.*

32.0 and 20.4 per cent of urban and rural income respectively in 1994 (compared with 60 to 70 per cent in OECD countries). By contrast, entrepreneurial income (including the self-employed) represented 33.2 and 62.5 per cent of the same categories. These patterns suggest *ceteris paribus*, that rapid urbanisation may ''explain'' a part of the widening distribution over time.[37]

What is striking in Turkey is the very large relative role of interest income and rents (including a small element of dividends, giving what is usually termed rentier income). In urban areas, ''rentier income'' in 1994 accounted for 24.5 per cent of income versus 7.7 per cent in rural areas (in 1987 these shares were 18.7 and 6.3 per cent, respectively) – providing *prima facie* evidence of the emergence of an urban rentier economy, with implications for social cohesion and economic development (Figure 18).

## Human resource development

There is no simple or comprehensive measure of human resource development. A useful, albeit simple measure is the UN Human Development Index (HDI) based on literacy, combined gross school enrolment rates, life expectancy at birth and real per capita GDP.[38] Turkey was among the top ten countries in terms of improving its HDI reading over the period 1960-92, leaving the ranks of the low and entering those of the medium development countries. By 1993, Turkey's HDI ranked 84th (at 0.711)[39] putting it in a group of countries such as Paraguay, Jamaica and the Dominican Republic. But this average masks wide regional and urban/rural variances.[40]

To put these HDI indicators into perspective, at the beginning of the 1990s Turkey's infant mortality rate was around 50 per 1 000 live births, versus 4.6 in Japan (and 43 in Mexico). Within Turkey, the lowest urban figure was 49.6 (in 1989) and the highest rural figure 84.9. Similarly, life expectancy in Turkey is below the OECD average by some five to eight years. Hence, a highly effective way of improving human resources would be to ''earmark'' the efficiency savings from structural reform to raising health and education standards, especially for the poorest elements of society.

Expenditure on public health care and education (H&E) in Turkey is currently some 3 per cent and 2.7 per cent of GDP, respectively (relatively low

figures compared with some middle income countries). Put another way, combined spending on H&E represents just over 50 per cent of the interest on the public debt. Cross-country econometric estimates suggest that a percentage point increase in the H&E share of spending in GDP could reduce the life expectancy shortfall by perhaps a year, and the child mortality rate by 24 percentage points.[41] Such large potential gains are compelling reasons for attacking the root causes of chronic fiscal deficits and reorienting spending priorities.

## Recent progress in structural reform

Structural reform is proceeding in Turkey across a broad front (Table 9). But its pace has been slow relative to the urgent need to cut the PSBR and raise health and education standards.

Table 9. **Summary of recent progress in Turkish structural reform**

| Area | Initiative | Status |
|---|---|---|
| Product markets | Customs Union with EU | As of 1 January 1996 |
| | Competition Law | Competition board began operation in February 1997 |
| | Automatic pricing mechanism for petroleum products | Approved in January 1997 |
| Tax reform | Individual tax numbers | 5.7 million by end 1996 |
| | Withholding tax on interest income 12% | Introduced November 1996 |
| | Inclusion of interest in tax base | Postponed until 1998 |
| | Special consumption tax | Act pending parliamentary approval |
| Social security | Unemployment insurance system | Bill presented to previous Parliament before dissolution; awaits new legislation |
| | Pension reform | Draft law awaits Parliamentary approval |
| Privatisation | Telekom Act (August 1996) | Challenge to Telekom Act rejected by Constitutional Court 22 January 1997; $900 million in tenders accepted in December 1996 and January 1997 |
| Financial markets | Limited open foreign exchange positions of banks to 50 per cent of capital base in 1996 | |
| | Privatisation of some state owned banks | Two banks sold in 1996; tenders accepted for two others |
| | Tighter regulations on money laundering | Introduced in January 1997 |

*Source:* OECD.

## *Agricultural support*

Agricultural support is a key economic (and political) instrument in many economies; it can play a role facilitating structural adjustment, providing income security for poor farmers and promoting environmental public goods. But support needs to be well targetted to achieve these objectives at minimum cost. Direct payments, when carefully implemented, can serve this purpose. Mixed progress has been made in reducing the level of government assistance and shifting away from price supports over the past five years. Producer subsidy equivalents in US dollar terms have fallen by about 13 per cent since 1991, to almost $3.6 billion in 1996, reflecting higher world market prices as well as lower levels of support and a smaller number of products eligible for price supports.[42] This is around 30 per cent of the value of output (Figure 19), some 10 percentage points below the OECD average. These positive trends were partly reversed in early 1997 when the government announced plans to raise the real level of tobacco support prices.

But over the period 1991-96, assistance provided through reductions in input costs increased (Figure 20). Farmers pay only half the real cost of fertiliser

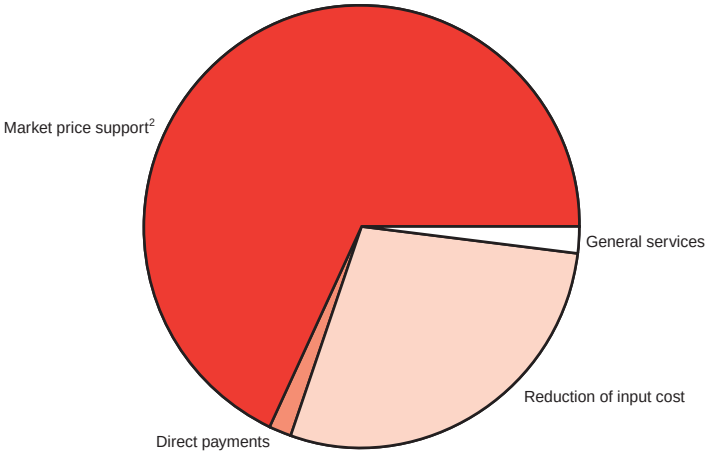
Figure 19. **PRODUCER SUBSIDY EQUIVALENTS**
As per cent of adjusted value of production

1. Estimate.
2. Provisional.

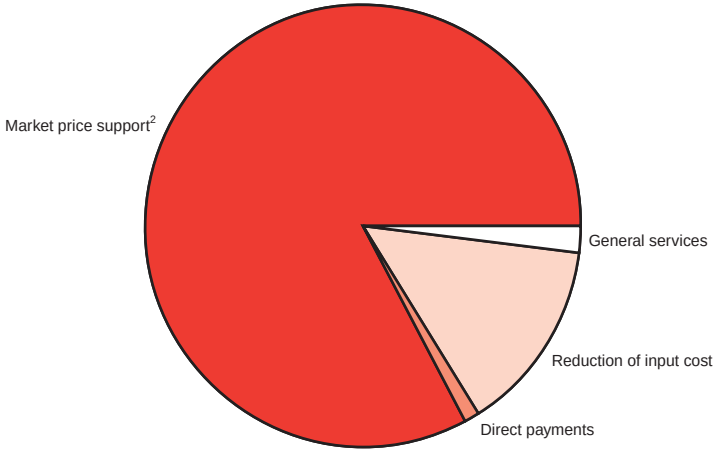
*Source:* OECD.

Figure 20. **COMPOSITION OF FARM ASSISTANCE**

**A. 1996**[1]




**B. 1991**




1. Provisional.
2. Net of levies and of feed adjustment.

*Source:* OECD.

and benefit from large concessions on bank loans. Input subsidies have a more pernicious impact on resource allocation, compared with other forms of support; the choice of input mix and products produced is distorted. Moreover, the effectiveness of such intervention in lifting farm income is not guaranteed. Support depends directly on the level of input use and not farm income. Larger and more efficient farms receive the bulk of the support distributed; farm incomes among small holdings do not necessarily improve.

The least distortionary and most effective way of providing agricultural support is through direct income payments. Such payments are small and almost exclusively used for disaster relief in Turkey. In 1996, only 2 per cent of the value of assistance was channelled through direct payments, compared with 25 per cent, on average, among OECD countries. Ideally, price support assistance should be abolished. At a minimum, more emphasis should be given to minimising its distortionary effects through boosting direct payments.

It is important to note that large-scale infrastructure projects such as the $32 billion South Eastern Anatolian Project (GAP) will soon be having big effects on agricultural output and regional income disparities. When completed, it will provide 19 per cent of Turkey's irrigated land[43] and 22 per cent of the country's hydro power potential.[44]

The GAP will also have important externalities: it will provide better flood control, and will raise output and incomes directly and indirectly through large spillover effects onto adjacent downstream industries, in one of Turkey's poorest agricultural regions. Urbanisation will also be reoriented away from Turkey's three largest cities (Istanbul, Ankara and Izmir) towards small and medium-sized towns, thereby helping to relieve overburdened social infrastructure in large cities. The implementation of the GAP has been stalled by a lack of funding due to the central government's chronic budgetary problems.

### *Tax administration*

The tax and transfer system appears to make little direct contribution to damping dispersion in Turkish primary income distribution,[45] and probably impedes economic efficiency through its interaction with high inflation. Nonetheless, significant progress has been made in improving tax administration over the past several years, with the help of technical and financial aid from the World Bank.[46] These efforts are being reflected in a rising tax-to-GDP ratio (to close to

18 per cent in 1996). A higher tax-to-GDP ratio is a sign of progress. Given Turkey's level of economic and social spending, revenue needs could be met with a relatively small increase in the ratio. However, much more needs to be done to establish a fair and effective tax system.

Turkey's existing tax effort largely reflects slow progress in expanding its small tax base;[47] tax rates are indeed very high by OECD standards. A top priority is to widen the tax base by capturing the unrecorded economy and correcting systematic under-reporting of activity. Resources devoted to administration are inadequate (some 50 000 persons) and tax office personnel poorly trained. Its technological base is weak and the tax code is excessively complicated with a plethora of small levies, stamp or excise taxes.[48]

More important, the tax code provides few incentives for reducing under-reporting or indeed for registering normal business activities with the authorities. Tax allowances, tax brackets and depreciation are already adjusted for inflation, but inventories and interest income are not fully adjusted.[49] Hence, individuals and companies are systematically taxed at higher effective rates. Penalties for late payment have been raised and now exceed the rate of inflation, but are far from dissuasive owing to the low probability of being assessed for tax evasion and a legacy of frequent tax amnesties[50] (with consequences for moral hazard). In short, the tax system does not discourage tax engineering or under-reporting, and the government could be losing anywhere from a tenth to a quarter of its real tax revenue owing to late payment or tax avoidance.

### *State Economic Enterprises*

As in many countries, raising the efficiency of SEEs to world class standards remains a challenge. Reform has been slow, owing to the legacy of the import substitution, central planning mentality which dominated from the 1950s to the 1970s. To be sure, this strategy established an industrial base and a rapid transition to a medium-income economy. But by the late 1970s, its limits had been reached. SEEs were trapped in a downward spiral. Turkish SEEs could not compete in an environment of rapid technological change and growing world competition, owing to over-staffing,[51] obsolete capital equipment and excessive debt. Also, as pay and benefits in SEEs (and in many government activities) were higher than in the private sector, SEEs became bastions against reform, exacerbating their competitiveness problems in the absence of hard budget constraints.

The year 1994 may well have marked a watershed. Since then, SEEs have been subject to commercial law and expected to operate according to market principles. The ban on the attachment and liquidation of SEEs' (and municipalities') assets in response to tax or commercial arrears were also lifted. And the deficits of the seven largest loss-making SEEs were closely monitored as part of the performance criteria of the IMF stand-by arrangement. As well, entry into Customs Union with the EU in 1996 also exposed SEEs to a greater degree of world competition.

Tighter discipline has had a salutary effect on efficiency. Employment levels have been reduced by 20 per cent and real wages by a third, resulting in a halving of the real wage bill. Notwithstanding such startling progress, productivity levels may still be a third below those in the private sector.[52] Restructuring in some SEEs has been slow, despite the elimination of tariffs after Customs Union with the EU in January 1996. Nonetheless, Treasury transfers to SEEs have been cut by three-fourths to around 0.3 per cent of GDP.

Notwithstanding this progress, much remains to be done. In particular, restructuring of the three largest loss-making SEEs (the railways, the post-office and the coal mines) remains an area of unfinished business. As in many OECD countries, these industries appear to pose severe social and regional problems. But experience in a number of countries shows that these activities can either be restructured, corporatised or shifted to the private sector and important efficiency gains realised. Success in restructuring such chronic money losers requires establishing positive incentive structures and rational pricing practices.[53] Hence at a minimum, even if reform cannot be expedited, SEEs should be allowed to set their prices more closely in line with market conditions.[54]

### *Privatisation*

Privatisation is often seen as a logical conclusion to the reform of SEEs. It may also be the litmus test of a government's resolve in implementing economic reform and, together with foreign investment and access to modern technology, a catalyst to higher productivity. Until quite recently, the government's decade-old privatisation programme had advanced at a frustratingly slow pace. By October 1996, cumulated gross revenues totalled just over $3 billion,[55] of which $290.8 million was realised in 1996 (against budget plans of $2 billion). Slow progress has reflected *inter alia* social and political resistance, confusion over the

goals of privatisation,[56] mixed signals to economic agents,[57] as well as delays in setting up an adequate legal (and administrative) framework and a minimum social safety net.[58]

The government has set an ambitious target of $6.5 billion in asset sales in the 1997 budget, of which one-half will come from the partial sale of Telekom and mobile telephone licenses (*cf.* Chapter II). By late 1996, signs had emerged of stronger political support and a faster pace of future asset sales. Revised Telekom legislation, following previous cancellations on constitutional grounds, was passed by the new coalition government in a day; a challenge against it was rejected by the constitutional court in late January, clearing the way for a sale of 49 per cent of its assets. Tenders have been completed for a number of firms ($900 million in tenders were accepted in the two months ending January 1997) and another dozen are under preparation, including some large, high profile companies.[59] Privatisation procedures have also been started for TEKEL (the State tobacco and alcohol monopoly),[60] and a further group of companies will be transferred to the Privatisation Agency's portfolio in the near future.

Nonetheless, the ambitious 1997 privatisation target will be difficult to achieve, and indeed its full realisation within one year is not necessarily desirable on pure efficiency grounds. In practice, the timing of actual sales will depend on foreign and domestic financial market conditions; and for Telekom and electricity generation, the creation of adequate regulatory controls. Moreover, decisions have yet to be made on the market valuation of Telekom, foreign participation, redundancies and restructuring requirements in some industries. Finally, Turkey's renewed privatisation initiative will be faced with stiff competition from a growing list of countries with a similar agenda. Such practical considerations could delay the actual date of sale.

### *Social security*

Social security reform is another area of top priority. In 1996, transfers to social security institutions (mostly for public pensions, as the health care system is in rough equilibrium) equalled 2.5 per cent of GDP. On unchanged policies, this deficit could rise to 5.7 per cent of GDP by the year 2020.[61] The sources of the problems are well known: low retirement ages, incoherent contribution levels relative to benefits, low premium collection rates, ineffective sanctions for late premium payments and political interference in writing-off past premium arrears.

The system also suffers from administrative deficiencies, and existing legislation is weak and overly complex.

Modifications to the existing social security legislation are under way. The draft law mainly consists of increasing the retirement age (for new retirees) and lengthening contribution periods. Minimum retirement ages of 50 years for women and 55 for men are being proposed with a long transitional period. On balance, these propositions are helpful first steps to stem rising social security deficits.[62] But they fall far short of putting the system on to a viable actuarial basis. This would require much higher minimum retirement ages and/or a tight linking between contribution levels and benefits,[63] as well as the encouragement of private pension schemes.[64]

### *Financial market regulations*

Following the 1994 financial crisis, specific measures (described in last year's OECD Survey of Turkey) were taken to improve regulatory control and prudential supervision of Turkey's relatively underdeveloped financial system. Deposit insurance with full coverage was extended to all savings deposits for real persons in domestic and foreign currencies in 1994 following the failure of three small banks.[65] Banks' net open foreign exchange positions were limited to 50 per cent of their capital base in 1996. Most of Turkey's larger banks have achieved the BIS's recommended 8 per cent capital adequacy rule, although some smaller banks have not yet met these standards.[66] State-owned banks have a large number of non-performing or subsidised loans in their loan portfolios, necessitating large, on-going Treasury transfers to cover these losses and to maintain an adequate capital base. ETIBANK was sold in January 1997 (following the 1996 sale of Sümerbank), and tenders were accepted in a public auction for two other banks in January 1997.

In November 1996, the government enacted a law on the prevention of money laundering. The legislation makes it a crime to launder the proceeds of a range of serious offences and contains provisions dealing with seizure, confiscation and controlled delivery of illegal funds. The law establishes two boards, one of which will deal with operational matters relating to the prevention of money laundering, while the other will address policy issues.[67] Given the adoption of the new law, the Financial Action Task Force (FATF) decided to lift the application of Recommendation 21 to Turkey.[68] A bill was presented to Parliament at

end-1996 proposing the closure of all gambling casinos (to eliminate a possible means of laundering illicit funds, even though casinos are in principle open only to foreigners). Tighter banking regulations were also introduced in January 1997 geared towards preventing money laundering *via* anonymous bank accounts and non-bearer bonds.

In summary, progress in raising regulatory and prudential supervision standards has been slow and remains below the norm for OECD countries, even though the volatility of the economy and its potential exposure to shocks would normally suggest the need for tighter prudential standards. In particular, some commercial banks have excessive holdings of government bills. This could leave them vulnerable to a shock from, say, a sharp rise in interest rates provoked by a political crisis and a currency run. No regulatory system is immune to such shocks, and some commercial banks have started to move towards minimising such risks by sensible asset diversification.

## Other areas of reform

Slow progress is being made in other areas of structural reform. In particular, legislation in some key areas (such as the special consumption tax) awaits legislative approval. The bill to set up an unemployment insurance scheme was presented before the dissolution of the last Parliament, and the new government has not yet prepared a replacement. And efforts to improve the efficiency of general government and the devolution of greater authority to local government has made slow progress.

Although competition legislation was passed in late 1995 as part of the requirements of the EU Customs Union, setting-up of the Competition Board to implement legislation has been slow. Indeed, the EU levied anti-dumping duties on Turkish textile exports because of these delays. However, the government has recently appointed individuals to serve on this Board and operations began in late February. Similarly, the government has not yet announced what type of regulatory control mechanisms it will put in place, once the privatisations of Telekom and electricity generation are realised. A number of options are available. But judging by OECD country experience, price caps based on the RPI minus X approach (pioneered by the United Kingdom) would appear to have a number of advantages over the US target rate of return method.[69]

### *Implementing the OECD Jobs Strategy*

The OECD Jobs Study sets out a strategy for improving the ability of OECD economies to cope with structural change. These seek to enhance the ability of OECD economies to adjust, to adapt, and to increase their capacity to innovate, be creative and create jobs. The last OECD Survey of Turkey assessed the follow-up on the general structural policy recommendations of the OECD Jobs Strategy. The relevance of many of these recommendations is more limited for Turkey than for most OECD countries. In particular, the recommendations for increasing wage flexibility, reducing wage and labour costs, and reforming employment security legislation and benefits systems are irrelevant for Turkey's informal sector (though they may have some relevance for parts of Turkey's formal sector). The principal requirements for better labour market performance in Turkey focused on:

- improving the overall macreconomic performance of the economy, notably controlling high deficits and inflation;
- improving labour force skills and competencies;
- strengthening product market competition;
- enhancing the creation and diffusion of knowledge.

Some promising signs of change emerged in late 1996. In particular, significant strides were made in speeding privatisation, with implications for enhancing product market competition. This has been accompanied by a drop in real interest rates which will help to reduce chronic fiscal deficits and inflation. A draft law for social security reform awaits parliamentary approval. But much more needs to be done to implement other aspects of the Jobs Strategy, notably through upgrading Turkey's human capital.

## Concluding comments

Slow microeconomic reform is perhaps the central reason for Turkey's chronic fiscal deficits, high inflation and macroeconomic instability. To a large extent, this has reflected the ability of special interest groups to block reform, despite the longer-term benefits of reform for the community at large. Building support for reform is not easy. But it is surely exacerbated by Turkey's highly skewed income distribution. Opening up the economy to much more competition,

increasing the transparency of the costs of government intervention, as well as clearly earmarking the cost savings of reform for priority areas (such as raising Turkey's low basic health and education standards) are key ways of building social cohesion. Another would be to establish a fair and equitable tax system, which encourages production and saving, rather than speculation and rentier activities. Greater incentives are also needed to encourage integration of unrecorded activities into the formal economy, for example through improving government services and encouraging registered private pension schemes. Such a balanced reform programme could receive considerable and broadly based public support.

## Notes

1. Expenditure-based GDP figures are unavailable for 1996, owing to statistical changes related to EU Customs Union, which have delayed the compilation of trade data and expenditure-based national account estimates.
2. Beyond the near term, fiscal expansions have usually had very small effects on the real economy but boosted the inflation level.
3. Data on average domestic debt maturity is not available, but currently maturity on *new* debt issues (around thirteen months) provides a relatively accurate proxy for changes in average debt maturity (around ten months) inferred from the average debt redemption ratio (see Chapter II, Figure 11.
4. The unrecorded economy in Turkey could represent some 20 to 30 per cent of the formal economy (based on crude cross-country comparisons of real consumption data and other indicators of consumer welfare (see *e.g.* OECD 1996a, Tables 1.1 and 1.6)). This means that standard macroeconomic ratios using GDP as the denominator (such as the PSBR, tax revenue and current account) are biased upward. A key issue is whether growth in the unrecorded economy parallels that in the formal economy. The informal sector may well have grown more rapidly owing to its higher supply-side flexibility. This could be one reason for the economy's resilience to on-going financial crises.
5. Inertia appears to reflect contract lags, notably for wages in large corporations and the public sector. In the past, public sector wages (and some product prices) were indexed every six months to historical price movements. These adjustments are now initially made on the basis of official inflation forecasts, which are often lower than actual outcomes. Also, large companies are almost completely ''dollarised'', and may adjust their local currency prices in discrete steps (say from 4 to 5 per cent a month) to avoid adjustment costs. Inertia also has its costs, as it becomes more difficult for policy to lower inflation quickly. In fact, the October announcement of a planned zero PSBR for 1997 apparently had little immediate effect on financial market expectations of inflation.
6. M2, the closest but still imperfect measure of transaction-based money demand, rose by slightly more than 100 per cent in 1996, implying an increase in demand for real balances in domestic currency. As well, reverse currency substitution in favour of Turkish lira deposits increased M2 growth by about 8 per cent in 1996.
7. Inflation is also influenced by excess demand and costs, but these channels are obscured when money supply growth is high. Institutional arrangements have similarly impacted on inflation trends. *Ex post* indexation also introduces a degree of ''seasonality'' into monthly inflation figures, with January figures typically higher than the rest of the year. The timing of adjust-

ments to goods and services produced by State Economic Enterprises also contributes to erratic monthly inflation readings.

8. This trade could make up 20 per cent of total exports; its size is largely unknown, although there is partial evidence concerning the commodity structure of such trade.

9. The currency composition of this debt in the first quarter of 1996 was US dollar 34 per cent; Deutschemark 35 per cent; Japanese Yen 19 per cent, with the rest in EU currencies.

10. The range of forecasts from private sector forecasters, some international agencies and official projections for the 1996 PSBR ranged from 7½ to over 15 per cent of GDP. For inflation, estimates ranged from 65 per cent to 100 per cent. In both cases, the distribution of forecasts was highly skewed towards higher deficits and inflation.

11. This includes approximately 1½ per cent of GDP each year in additional revenue from the partial sale of Turkish Telekom. Part of the surplus represents privatisation revenues from the partial sale of Turkish Telekom which unusually enters into budget revenues. See Chapter II for details on the treatment of privatisation in the budget.

12. See, for example, Fatih Özatay (1996).

13. The consolidated budget covers most of central government spending and revenues. The PSBR is a broader measure, covering borrowing by local administrations, State Economic Enterprises (SEEs), social security institutions and ''extra-budgetary funds''.

14. Interest costs were broadly steady between 1994 and 1995 at 6 per cent of GDP, but jumped to around 10 per cent in 1996, as political uncertainty generated high interest rates and necessitated greater resort to short-term debt financing.

15. Improved market conditions, fewer price controls, and modest advances towards corporatising SEEs before privatisation have resulted in substantial savings. In 1993, transfers to SEEs were 1.3 per cent of GDP, but since 1995 they have averaged less than 0.5 per cent of GDP. Only limited progress, however, has been made in restructuring large chronic loss makers in the coal mining, railway and postal sectors.

16. These included payments to local administrations, some financial SEEs and extra-budgetary funds.

17. Part of this maturity lengthening is expected through increased issues of foreign exchange denominated Treasury bonds which have a maturity of three years and were issued at 260 basis points above LIBOR. Some $2 billion was raised in 1996, allowing a scaled-down frequency and volume of domestic Treasury bill auctions later in the year. However, the government now incurs substantial exchange rate risk; a major real exchange rate depreciation would result in considerably higher financing costs. The Treasury has also issued 2-year domestic bonds indexed to the CPI to broaden the set of instruments available to financial institutions and individuals.

18. These include incentives to encourage the repatriation of foreign exchange deposits held by Turkish correspondent banks and remittances from expatriate workers, and a centralised cash management system for government and SEEs.

19. Net foreign assets in 1996 increased by TL 518 trillion while net domestic assets declined by TL 75 trillion.

20. The maximum amount that can be financed directly from Central Bank advances was lowered, as scheduled, from 15 per cent of the change in budget appropriations in 1995 to 10 and 6 per cent in 1996 and 1997, respectively. The Central Bank advance limit for 1996, including the amount permitted by the Supplementary Budget Law was TL 229 trillion. In fact, this limit was not exhausted. The Central Bank Advance Debt Stock reached TL 371 trillion at the end of 1996.

21. Currency substitution is one component of the OECD Secretariat's Financial Market Stress Index. A discussion of how this index is constructed and its usefulness is provided in Annex II.

22. The current real exchange rate appears basically consistent with economic fundamentals, and there have been few problems in attracting foreign capital inflows. International reserves have risen steadily since the 1994 financial crisis, with the exception of a three-month period prior to the December 1995 election. Foreign reserves rose sharply in 1996 once political stability was restored and in response to high interest rates, reaching a record level of some $18 billion by end-December 1996.

23. Partial indicators provide mounting evidence that these costs are large and getting larger. See also Dornbusch (1993) on the costs of high inflation.

24. Reserve money to GDP has fallen gradually from some 7½ per cent a decade ago to below 5 per cent in 1996. This compares with an OECD average of around 10 per cent of GDP. The downward trend has been even more pronounced with M2.

25. Chapter III discusses what impact a 1 per cent of GDP boost on spending on health would have for infant mortality rates and life expectancy.

26. If, for example, tax revenue falls short of target (or a target range), the authorities, by law, would be compelled to bridge the gap, increasing taxes or lowering expenditures. Removing policy discretion, once a medium term fiscal plan is implemented, could provide the private sector with a strong signal that announced objectives will closely match future outcomes. At a minimum, the traditional use of supplementary budgets to validate budget overruns should be restricted to events such as natural disasters, to impose harder budget constraints.

27. For example, real supply shocks can change potential growth, implying a different policy stance. How different depends on the nature of the supply shock. If it is permanent, such as a diminution of the capital stock, potential output is reduced and the size and scope of expansionary fiscal policy is scaled down. But if the supply shock is temporary, for example a drought, it would also have a negative effect on economic activity, reducing government revenue and increasing expenditures. However, since the shock is temporary, so are the consequences. In this case, a fiscal rule that imposed, for example, a balanced budget outcome in each year would unnecessarily deepen swings in economic activity.

28. For further details, see OECD (1996*b*).

29. For a detailed discussion on how to implement a currency board, see Hanke *et al.* (1993).

30. World Bank estimates show that Turkey has had a mediocre record in attracting foreign capital relative to the dynamic Asian and some Latin American economies. Private capital flows into Turkey in 1994 totalled $1.5 billion, of which $608 million were in foreign direct investment, $1 059 million in portfolio equity, and negative debt flows of $137 million. Official capital flows were a negative of $295 million. In 1994, total private capital inflows

into developing countries reached $158.8 billion. Of this, 53 per cent went to Asia, notably to the high-performing Asian economies (China, Indonesia, Korea, Malaysia, Philippines, Thailand). Large inflows into South Asia and Latin America were also recorded. For all developing countries, total capital flows represented 3.93 per cent of GDP, of which private capital represented 76.6 per cent of the total. For Turkey the comparable figures were 0.94 and 124 per cent, respectively. See World Bank (1996), p. 84.

31. See Rodrik (1996), pp. 9-39, and the Editors' Introduction, *Journal of Policy Reform*, Vol. I, Issue 1, 1996.

32. These are based on broadly based (26 400 households) stratified, multistage samples, with breakdowns by urban and rural areas.

33. The Gini coefficient is a measure of the area under the curve showing what the cumulative distribution of income across households would be if income were perfectly evenly distributed, and the curve showing the cumulative distribution of observed household incomes (the Lorenz curve). A value of zero implies absolutely equal income per head; a reading of unity means that one individual receives 100 per cent of national income. Gini estimates for Turkey are based on quintile data. This might lead to an aggregation bias when there is substantial dispersion within the top and bottom deciles. Hence, estimates based on percentile data might well reveal even higher levels of inequality.

34. In 1994 the top quintile received 54.9 per cent of income up 5 points from 1987, while the bottom two quintiles received 13.5 per cent of income down 1.3 percentage points.

35. Turkey's income distribution is not unusual for a developing country experiencing rapid structural change, see United Nations (1996), *ibid*., p. 59. Sri Lanka's reported Gini coefficient of 0.35 in 1970 rose sharply to 0.51 in 1990. In 1979, China had a lower Gini coefficient (0.33) than many East Asian countries (0.39 on average according to Rodrik, 1996, p. 20). The Gini estimate for China rose to 0.38 by 1988, and has probably risen even more sharply since, especially in the coastal areas. Similar patterns of rising inequality have been reported in Mexico and Chile.

36. Data provided by the Korean National Statistical Office, 1996.

37. It is impossible to judge the ''appropriateness'' of income distribution in any country. Indeed, the absence of longitudinal information on household incomes makes an analysis of mobility between different income quintiles over time impossible for Turkey. Nonetheless, overall average income per capita has been rising rapidly over the past decades and should also be considered in forming any judgement.

38. For details, see United Nations (1996).

39. In 1993, data for Turkey were reported as follows: life expectancy at birth 67.4 years; adult literacy rate 81.1 per cent; combined first, second and third level gross enrolment rate 62 per cent; and real GDP per capita $4 210.

40. Turkey's richest urban area Mugla (0.906 in 1990) placed it at the lower end of the high development countries' spectrum (*e.g.* with Greece), while its poorest urban areas in Van and Diyarbakir (0.501) fell into the medium development grouping (*e.g.* with Algeria). Similarly, Turkey's richest rural area in Izmir (0.790) would fall in the medium grouping (*e.g.* with Bahrain). But its poorest rural areas in Van, Bitlis and Mus had 1990 readings (of around 0.22) similar to some of the most destitute countries in Africa (Togo and Liberia). Hence,

Turkey's overall HDI index must be seen within the context of large urban and rural, as well as east-west differences.

41. These crude cross-country estimates are only suggestive, in part because the causal forces are unclear. The regression of H&E spending on economic growth typically shows a stronger relation than the other way round. For details see United Nations (1996), p. 113. Similarly a 1 percentage point increase in per capita income could reduce the life expectancy shortfall by two years, and the child mortality rate by 16 points. These estimates are typical of the very high rates of return to raising basic health and education standards from low initial levels, as well as the feedback effects from higher economic growth on human capital.

42. Cereals, tobacco, tea and sugar beet are the main products receiving price support.

43. Irrigation will expand rapidly once the necessary infrastructure is in place. Yields on irrigated land are typically three times higher compared with dry farming techniques for the same crop (*e.g.* cotton). However, the rise in agricultural value-added could be even higher, as a number of new cash crops (including higher value products such as nuts, fruits and flowers) will be introduced.

44. By end-1995, some 70 per cent of the GAP's energy potential had been realised, with the cumulative value of energy production reaching $7 billion by July 1996.

45. Tax policies since the 1980s have tended to make income distribution even more unequal. See, for example, Özlem Onaran (1996), pp. 43-63.

46. Tax numbers have been distributed to some 5.7 million persons (and will soon become a requirement for opening a bank account), improved auditing procedures are being introduced, and computerisation of the tax system is under way.

47. The withholding tax on interest income introduced in November 1996 was raised from 10 to 12 per cent in December. The proposition to include interest income into the tax base as of 1997 has been postponed until 1998.

48. The pending passage of the special consumption tax will allow the authorities to consolidate a large number of small taxes and to simplify the indirect tax code.

49. The inclusion of interest income into the tax base scheduled for 1997 (recently delayed until 1998) will be restricted to its real component.

50. The latest being the late 1996 amnesty for previously undeclared holdings of gold.

51. In the absence of a social safety net, SEEs often played the role as ''employer'' of last resort. More generally, multiple management objectives of SEEs have impeded efficiency improvements.

52. See OECD (1995), pp. 36-37.

53. For example, post offices of several countries have been corporatised with positive effects on efficiency and profitability, through better management and rational pricing practices. By contrast, few countries have succeeded in restructuring State-run railways to yield a profit, often because of duty losses for public services to remote areas. However, the United Kingdom has adopted a novel way of selling off passenger rail franchises to buyers accepting the lowest subsidies for a guaranteed level of service. In terms of improved efficiency, early results appear to be favourable. By contrast, loss-making coal mines (especially in Europe) are difficult privatisation candidates, due to their low quality reserves and high environmental

costs. However, the United Kingdom and Spain have sold off a number of mines. Following major restructuring, some of these mines are yielding a profit (albeit with a large EU subsidy), owing to the introduction of new equipment, lower staffing levels, different work practices and lower pay. But their status also depends on the future of EU coal subsidies.

54. In January 1997, the government agreed on an automatic pricing mechanism for liquid petroleum and its products linked to world prices, which should make price setting more objective and aid the planned privatisation of PETKIM and TÜPRAS, Turkey's two largest SEEs.

55. These figures do not include savings from lower subsidies, or the tax payments and dividends received from firms which are now in the private sector. Including these items would yield a figure of some $4.1 billion.

56. The aims of the Turkish programme have not always been clear to the public. At times, the government has sent out mixed signals about its intentions. Asset sales to reduce both public debt and subsidies to loss-making firms are a short-term goal. But the medium-term aims of such programmes should be to receive ''fair value'' for government assets and to raise efficiency through greater competition and rational incentive structures. Thus, the sale of the loss-making KARDEMIR steelworks for 1 lira and writing off its debt, appears to have been an effective operation. Output doubled in 1996 and the workers accepted large real wage cuts. Hence, ''privatisation'' created the conditions necessary to raise productivity and to cut costs, and the firm is now operating at a profit. By contrast, transferring a State monopoly to the private sector, without adequate regulatory controls, might raise government revenue, but do nothing to raise economic efficiency.

57. For example, the recent introduction of centralised cash management of SEEs could affect the marketability of potential privatisation candidates. A late 1996 decree to freeze the price of bread also contradicted the general philosophy towards price liberalisation established since the 1980s; and a decision to buy back some recently privatised activities in the food sector may have confused potential buyers as to the government's privatisation goals.

58. Plans for setting up an unemployment insurance system have been under discussion for years, but to date no action has been taken, although a draft bill was presented before the dissolution of the previous Parliament.

59. Tenders preparations were in progress in October 1996 for the following companies: ERDEMIR (iron and steel); SÜMER HOLDING (textiles, leather, ceramics, carpeting); TÜRK GEMI SANAYI (construction of vessels); DENIZCILIK ISLETMELERI (maritime passenger and freight); ORUS (forest products); HAVAS (airport handling services); KARADENIZ BAKIR ISLETMELERI (copper); TESTAS (electronics); PETKIM (petrochemicals); POAS (gasoline and fuel marketing); TÜPRAS (petroleum refining); ETIBANK (banking); SEK (milk and dairy products); EBK (meat and poultry); SIVAS DEMIR CELIK (steel); and a number of cement and refractory brick-ceramic factories.

60. TEKEL, the State-run tobacco and beverages monopoly is the third largest SEE. Its turnover in 1996 was some TL 200 trillion, with pre-tax profits of around TL 2 827 billion.

61. See OECD (1996*c*), p. 58.

62. The Treasury has estimated that the net effect of the draft social security law would be to save TL 92 605 billion in 1996 prices.

63. Disadvantages with this approach arise for the aged with few resources. This problem can be approached by a flat-rate, universal means-tested benefit as an equitable way of targeting those most in need. Another complication is a resources package initiative to sell Turkish expatriates retirement pension rights (to be paid in foreign currencies). Proposed conditions will be more favourable than those offered to domestic residents, raising questions of equity and overall viability.

64. Encouraging registered private pension schemes (possibly through the tax system) could also be considered. Compulsory schemes were pioneered in Chile, with very promising results, in terms of rates of return on funds invested, and the encouragement of the domestic capital market. After some initial scepticism, these innovations proved to be very popular among participants. The scheme also has a safety-net feature, with the government covering the contribution for the poor who are unable to pay.

65. In retrospect, this action may have been too strong and studies are still under way to examine how the scheme can be operated without the problem of moral hazard (*i.e.* encouraging banks to take excessive risk).

66. Most private, development and foreign banks have substantially higher capitalisation ratios than State-owned banks, and much better rates of return on capital. For a summary of the operating performance of Turkish banks, see OECD (1996*c*), p. 45.

67. However, this decision is based on the assumption that complementary regulations concerning money laundering counter-measures in the financial sector are still to be issued by the Council of Ministers within the next six months. The Financial Action Task Force will closely follow up developments in this further phase towards the adoption of a more complete anti-money laundering system in Turkey.

68. Recommendation 21 of the Task force is: ''Financial institutions should give special attention to business relations and transactions with persons, including companies and financial institutions, from countries which do not or insufficiently apply these Recommendations. Whenever these transactions have no apparent economic or visible lawful purpose, their background and purpose should, as far as possible, be examined, the findings established in writing, and be available to help supervisors, auditors and law enforcement agencies''.

69. For a description, see OECD (1996*d*).

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*Annex I*

## The inflation process

The 1995 OECD Economic Survey of Turkey reported regression results on the determinants of wholesale price inflation in Turkey. This Annex updates this work to take account of more recent developments and the newly reweighted wholesale price index. It then reports on several simulations based on the revised equation.

The same specification linking exchange rate and money supply (M2) movements to changes in the wholesale price index continues to perform well; diagnostic statistics indicate a reasonably good fit, but caution should be attached in interpreting these results, as the error terms are not normally distributed and are sensitive to differences in specification[1] (Table A1). Figure A1 plots the predicted level of wholesale price inflation and the actual outcome. Although the equation did not predict the extent of the sharp rise in 1994, it has captured the broad movements reasonably well. The parameter values are not much different from the earlier estimates and hence the key features are also broadly unchanged. However, the speed of adjustment in wholesale prices to changes in the money supply growth and exchange rates has slowed. Previously, a 1 percentage point rise in M2 would increase wholesale prices by 0.32 percentage points within four months and fully flow through after about 1½ years. Now a 1 percentage point change in M2 has the same long run impact, but it takes almost two years, and only ¼ of a percentage point flows through within a year. Moreover, the coefficient on past wholesale price inflation implies that price inertia has risen slightly compared with past estimates.

The estimated relation suggests that the OECD Secretariat's annual inflation forecast of 65 per cent in 1998 is broadly consistent with M2 money growth of 4 per cent a month and the nominal exchange rate depreciating at 3.5 per cent a month. If, however, recent high growth in M2 is maintained and the exchange rate continues to depreciate at the same pace, wholesale price inflation is more likely to rise before stabilising at close to 90 per cent per annum (Figure A2).

1. Unpublished research by the Central Bank of Turkey suggests that relating CPI movements to the narrower MI monetary aggregate and the nominal exchange also gives sensible parameter estimates and passes the main diagnostic tests. They also found that broad money had poor explanatory power for inflation (unlike the results reported above).

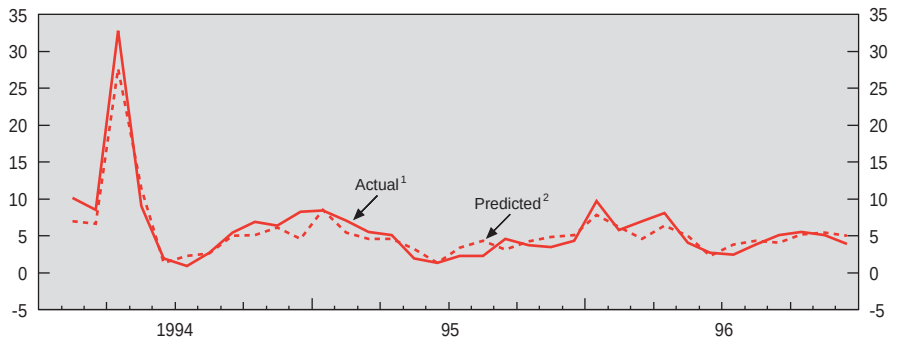
Table A1. **Regression equation for wholesale prices**[1]

| Explanatory variable | Coefficient | T-ratio |
|---|---|---|
| Constant | –0.1399 | –0.9 |
| Growth of wholesale prices (–1) | 0.2955 | 5.2 |
| Growth of exchange rate (TL/US$) | 0.1482 | 2.6 |
| Growth of M2 | 0.0979 | 2.4 |
| Growth of M2 (–1) | –0.0331 | –0.8 |
| Growth of M2 (–2) | –0.0347 | –0.9 |
| Growth of M2 (–3) | 0.0078 | 0.2 |
| Growth of M2 (–4) | 0.0835 | 2.3 |
| Log (wholesale prices/M2) (–1) | –0.0143 | –1.0 |
| Dummy for April 1994 | 0.1222 | 3.9 |
| Dummy for January | 0.0367 | 5.9 |
| Dummy for June | –0.0249 | –4.6 |
| Regression standard error | 0.0157 | |
| Diagnostic statistics[2] | | |
| Adjusted R-squared | 0.71 | |
| Serial correlation (LM Test) | 0.117 ; 0.89 | |
| Functional form (Ramsey test) | 1.504 ; 0.21 | |
| Normality (Jarque-Bera) | 53.17 ; 0.00 | |
| Heteroscedasticity (White test) | 1.079 ; 0.38 | |

*Note:* Growth of a variable is defined as the change in its logarithm.
1. Dependent variable: monthly change of wholesale prices. Period July 1986 to December 1996.
2. Diagnostic tests report the F value and its probability.
*Source:* OECD.

Figure A1. **ACTUAL AND PREDICTED MONTHLY INFLATION OUTCOMES**

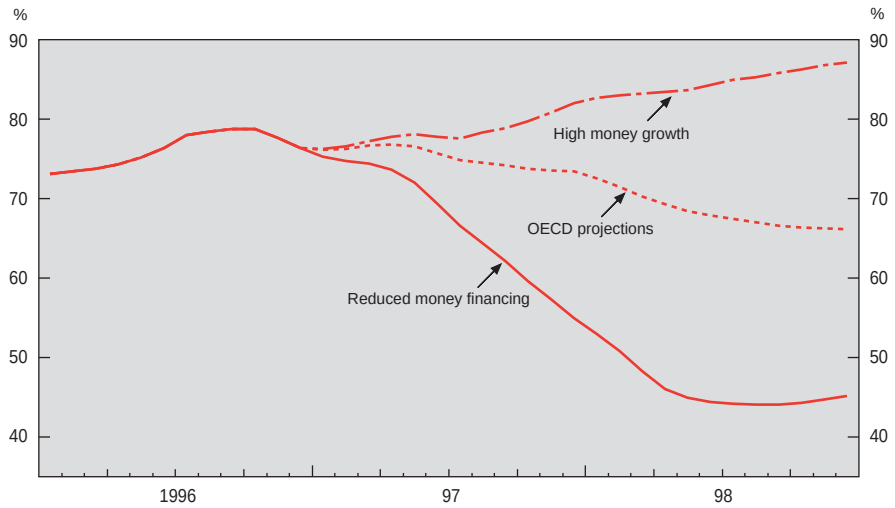
Wholesale prices




1. The regression was estimated using wholesale price data constructed using 1994 weights.
2. Predictions for January include an increase of 3.7 per cent from the seasonal dummy variable. Predictions for June include a decline of 2.5 per cent from the seasonal dummy variable.

*Source:* OECD estimates.

Figure A2. **SIMULATED ANNUAL INFLATION PATHS**




*Source:* OECD estimates.

As discussed in Chapter II, Turkey's top priority is reining in excessive fiscal deficits. Lowering the fiscal deficit would reduce inflation expectations since the risk of monetisation and hence inflation would fall. A third simulation analyses the effect of reducing the relative size of money financing of the PSBR from 1½ per cent of GDP to ½ per cent, still somewhat above the OECD average. M2 would fall by a larger amount than base money given a money multiplier of almost 5½ and then grow at a slower pace. Lower money financing would also reduce inflation expectations and hence the rate of currency depreciation. Supposing M2 subsequently rises by 3 per cent a month and the nominal exchange rate depreciates by 2½ per cent a month, annual average inflation would fall quickly to around 52 per cent by the end of 1997 and stabilise at about 45 per cent within two years. Figure A2 plots the average annual inflation path under each of these three scenarios.

*Annex II*

# Financial stress index

The Turkish economy is characterised by frequent spells of instability that put pressure on interest rates and the exchange rate, widen the budget deficit and weaken confidence. Indeed, over the first half of 1996, the absence of an effective government resulted in worsening financial market conditions and speculation of an imminent financial crisis. That scenario was based on overly simplistic and superficial projections of adverse financial market news and, with hindsight, proved excessively alarmist. This Annex describes the construction of an index of confidence, proxied using mostly financial market indicators. It is then examined as an objective basis for evaluating and assessing the broad direction of economic prospects and the balance of short-term risks.

## Index construction

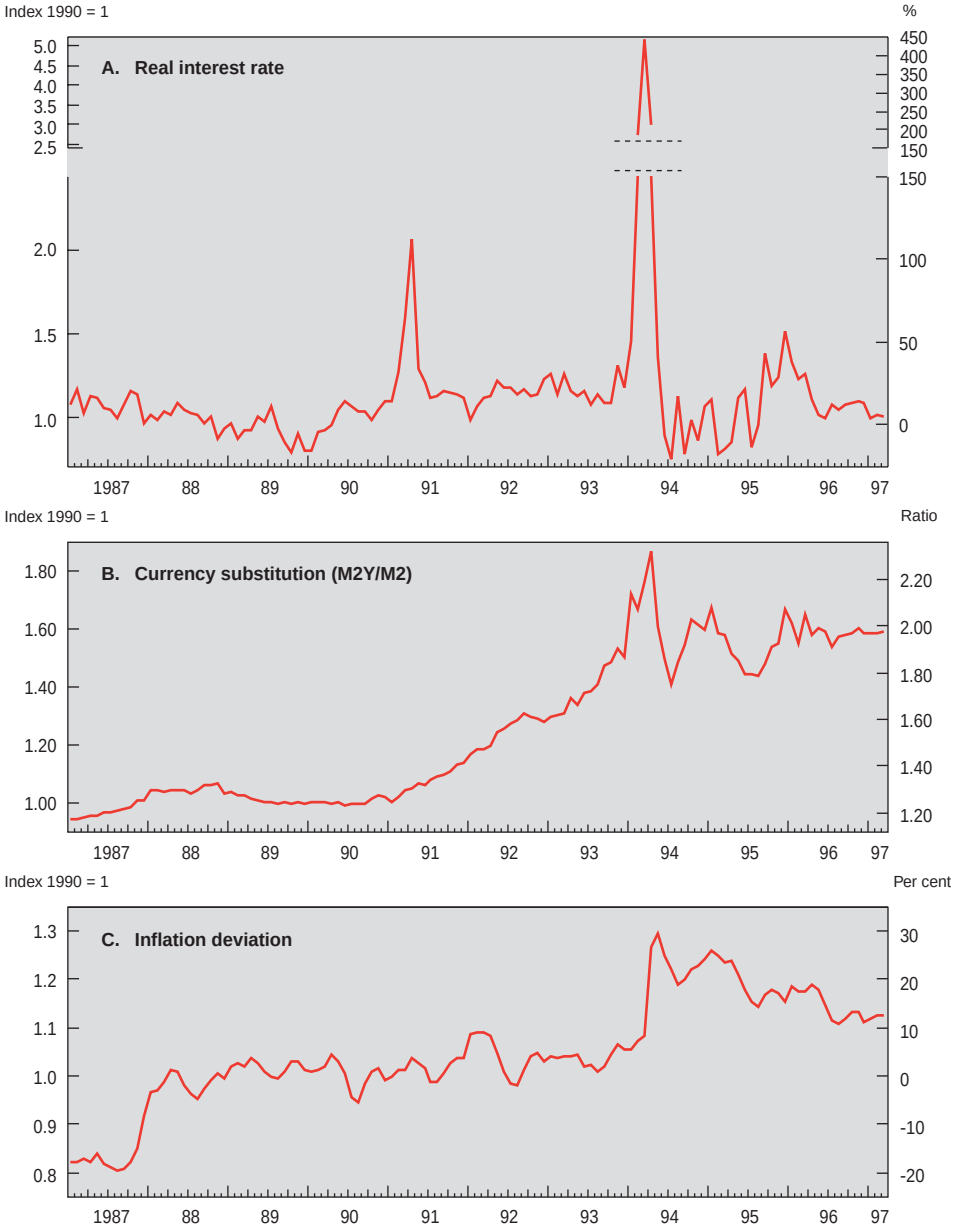
Financial markets respond quickly to political and economic developments, and hence provide a timely barometer of changes in market conditions and investor confidence. For this reason, financial data are often used to assess economic conditions in the real economy. Goldstein[1] and Sachs,[2] for example, advocate monitoring a list of key economic variables, many of which are financial, in evaluating the sustainability of economic performance, especially in emerging economies.

The index of financial market stress (FMS) presented here attempts to compile key economic information into a single number. By focusing on several indicators, a broader and less erratic picture of underlying trends is portrayed. The index is based on three variables that are readily and frequently available. These are:

- unanticipated inflation shocks measured by deviations of annual CPI inflation rates from their three-year moving average,
- foreign currency substitution, defined as the ratio of local and foreign currency deposits to local currency deposits, and
- the real interbank interest rate.[3]

All series are measured so that higher levels of the index correspond to greater financial market stress. Deviation of inflation from its three-year moving average (Figure A3) is a rough proxy for inflation surprises. When the level is above 1, the inflation rate is

Figure A3. **FINANCIAL STRESS INDEX COMPONENT SERIES**




*Source:* Central Bank of Turkey.

accelerating, and *vice versa* when it is below 1. Foreign currency substitution and real interest rates partly reflect foreign exchange and sovereign risk. Real interest rates are calculated using actual inflation, rather than expected inflation, which in Turkey is not measured. Normally, both methods give similar results, but in Turkey financial market confidence is volatile and inflation expectations can diverge significantly from measured inflation.

The next step is to amalgamate these variables into an index so that an overall measure can be derived. As with the choice of series, the weight given to each variable is necessarily *ad hoc* since economic theory provides no *a priori* guidelines. When all series were available, they have been given an equal weighting[4] and rescaled to equal 100 based on the four-year period 1988-92, when the output gap was close to zero.

The summary FMS index is shown in Figure 8, Chapter I. Several features are worth noting:

- its level has gradually risen over the past fifteen years, although this may also reflect a trend increase in the ratio following legalisation of foreign currency deposits held by Turkish residents in 1985,
- its January 1997 level fell by 5 per cent in a single month to close to its average,
- periods of high ''stress'' are shorter, compared with the early 1980s,[5]
- greater-than-usual index volatility in the first half of 1996, when political instability heightened, following inconclusive general elections in December 1995 and quick successive changes in coalition governments.

## Estimating the FMS

The FMS index captures major periods of political and financial ''stress''. In an effort to better understand what influences the level of financial market stress and as a broad consistency check on the OECD's macroeconomic forecasts presented in Chapter I, the determinants of the index were investigated using econometric analysis.

Realistically, no single equation relating economic variables can be expected to accurately explain movements in such an index. This is because stress, which is a proxy for confidence, also depends on ''political stability'' which is not easily quantifiable using time series techniques. The inability to satisfactorily model political stability introduces several major technical problems which weaken the predictive power and precision of the reported findings. Notably, missing variables are associated with mispecification and imply biased parameter estimates. The purpose of this annex, however, is not to precisely identify and quantify all the factors which impinge on confidence. Rather, it is to provide a broad framework against which the basic direction of short-term economic prospects and the balance of risks can be evaluated. Nonetheless, it is possible to specify a relationship with intuitive *a priori* results. Monthly data have been compiled based on linear extrapolation of the yearly figures. This may be the cause of some serial

correlation detected in the regression equation. The preferred regression equation was estimated for the period July 1988 to August 1996.[6] Table A2 shows the parameter values and main diagnostic statistics. The key features of this relationship are:

- a higher level of the PSBR to GDP ratio increases financial market stress,
- increasing the average maturity on new issues of domestic debt lowers stress,
- the level of currency substitution in the previous period is positively related to stress, reflecting some inertia to changing expectations.[7]

The dummy variables are proxies for episodes of unusual political shocks. The first captures the aftermath of the Iraqi/Kuwait war when a trade embargo was imposed on Iraq, previously one of Turkey's major trading partners. The second dummy in early 1994 reflects the aftermath of the government's decision to cancel Treasury bill auctions which ultimately provoked a run on the currency.

Care should be taken not to read too much into these results, since the diagnostic statistics indicate some weakness in specification. Nonetheless, the equation estimates corroborate with the main message of Chapter II and the current strategy of the government; increase average debt maturity to lower inflation expectations and boost confidence, thereby reducing the PSBR and interest rates. Indeed, the level of the stress index has dropped rapidly since the beginning of 1997 as *ex-post* real interest rates fell by around 20 percentage points.[8]

Table A2. **Regression equation for Financial Market Stress index**[1]

| Explanatory variable | Coefficient | T-ratio |
|---|---|---|
| Constant | 0.055 | 0.4 |
| New domestic debt maturity | –0.056 | –2.5 |
| PSBR to GDP ratio | 0.073 | 2.6 |
| Currency substitution (–1) | 0.503 | 10.3 |
| Dummy for Gulf War | 0.378 | 9.8 |
| Dummy cancelled Treasury auction | 0.183 | 4.7 |
| Regression standard error | 0.064 | |
| Diagnostic statistics[2] | | |
| Adjusted R-squared | 0.84 | |
| Serial correlation (LM Test) | 0.193 ; 0.66 | |
| Functional form (Ramsey test) | 33.20 ; 0.0 | |
| Normality (Jarque-Bera) | 678.76 ; 0.0 | |
| Heteroscedasticity (White test) | 13.79 ; 0.0 | |

*Note:* All variables defined in logarithmic form.
1. Dependent variable: Log of financial stress index. Period July 1988 to August 1996.
2. Diagnostic tests report the F value and its probability.
*Source:* OECD.

The recent fall in interest rates reflects a visible acceleration in privatisation results, greater confidence in the privatisation programme after the constitutional court over-ruled the challenge against the Turkish Telekom privatisation law and a significant lengthening of the average maturity of new Treasury debt sales to thirteen months, compared with five months in September 1996. Taken together, these trends if sustained should lower the current level of the FMS index by approximately 10 per cent.[9] Moreover, and bearing in mind the strong caveats, the estimated relation suggests that for each percentage point reduction in the PSBR to GDP ratio, the FMS declines by some 7.3 per cent. On this basis the government's 1997 budget programme, even if only partly achieved, should further reduce the FMS level.

## Notes

1. See Goldstein, M. *et al. (*1996).
2. See Sachs, J., A. Tornell and A. Velasce (1996).
3. The interbank market in Turkey was established in 1986. Prior to this date, interest rates were regulated and their level did not necessarily reflect the market equilibrium or respond to changing confidence. For this reason, they are not part of the FSI until 1986. Other interest rates such as the average borrowing rate in Treasury auctions are also possible and may well embody information on confidence, but a complete series is not available due to the interuption of auctions in early 1994. Nonetheless, there is a close relationship between the interbank and domestic borrowing rates.
4. Before 1986, foreign currency deposits were not legal. Consequently, the index up to 1985 is based only on the proxy for inflation surprises. Hence, comparisons between the period up to the mid-1980s and afterwards should be avoided.
5. This partly reflects the absence of data on real interest rates and currency substitution, which respond more rapidly to new information.
6. A longer time period was not possible due to the lack of historical data on average domestic debt maturity.
7. An alternative approach to capture a ''wait and see'' behaviourial pattern is to include a lagged dependent variable. This gave similar results, which is not surprising since currency substitution is a component of the stress index.
8. A similar regression was estimated for real interest rates. This showed the same significant explanatory variables, but their magnitude was greater. The coefficients on the PSBR ratio and average new debt maturity were 0.21 and –0.11, respectively.
9. Preliminary estimates based on a regression relating GDP growth to the FMS index and macro policy variables suggest that a 7.5 per cent fall in ''stress'' could increase GDP growth by 0.1 per cent.

*Annex III*

## The financeable public sector deficit

A useful measure of fiscal sustainability is the financeable budget balance.[1] This shows the level of the primary budget balance – the total deficit less debt interest payments – consistent with given ratios of government debt to GDP, base money to GDP, growth and inflation. The financeable public sector deficit is basically the government budget constraint and is defined by the following equation:

$$d/y = (g-r)b/y + (p+g)m/y + (g-r^*-e-er^*)b^*/y$$

where:

$d/y$ = primary deficit as a proportion of GDP,
$g$ = growth rate of real GDP,
$r$ = real rate of interest on debt denominated in domestic currency,
$r^*$ = real rate of interest on debt denominated in foreign currency,
$b/y$ = government debt denominated in domestic currency as a proportion of GDP,
$b^*/y$ = government debt denominated in foreign currency as a proportion of GDP,
$p$ = rate of inflation,
$m/y$ = ratio of reserve money to GDP,
$e$ = rate of depreciation of real exchange rate.

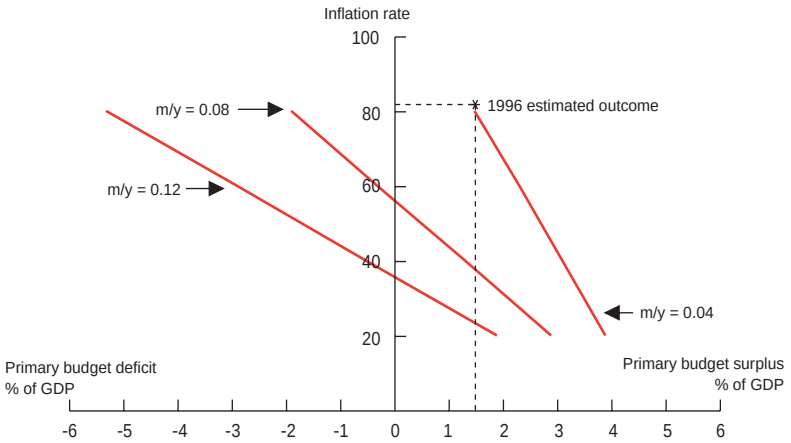
The concept is suitable for analysing steady state outcomes, since it assumes that each of the variables are at long-term trend levels. The framework, therefore, cannot provide insights on the path of each variable to a new steady state, following a shock to the system. This would require a full-scale macro model. Nonetheless, the approach offers indicative orders of adjustment required to achieve a given equilibrium of the main macroeconomic variables.

Figure A4 shows the trade-off, in the long run, between inflation and the primary budget surplus. The estimated primary budget surplus outcome for 1996 is consistent, under reasonable assumptions for the main variables and parameter values, with annual inflation of some 80 per cent. Lower inflation rates are possible if the primary budget surplus is increased (or the deficit reduced), because reliance on money finance is smaller for a given level of borrowing.

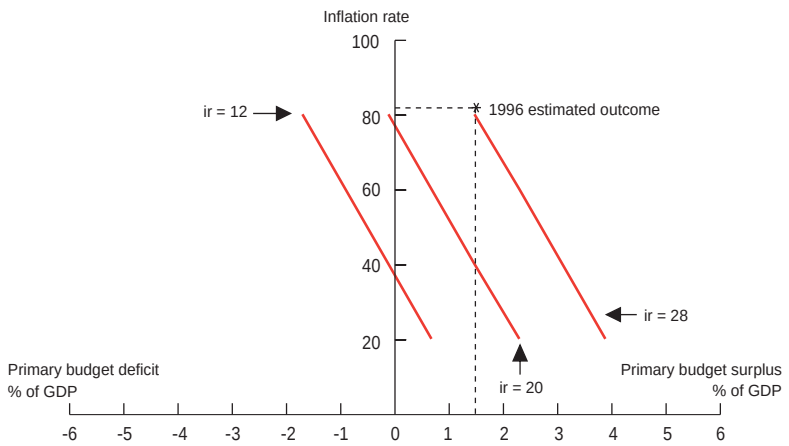
1. The analysis is partly based on Anand and Wijnbergen (1989).

Figure A4. **MEDIUM-TERM FISCAL INFLATION TRADE-OFFS**[1]

**I. The effect of money base**




**II. The effect of interest rate**




1. The relationship between inflation and the consolidated primary budget position are given for assumed parameter values. Specifically, real GDP growth of 5 per cent, real foreign interest rate of 6 per cent, domestic currency debt to GDP equivalent to 20 per cent and foreign currency debt to GDP equivalent to 30 per cent. Panel I is drawn for given values of the monetary base relative to GDP (m/y) and with the real interest rate on domestic currency debt equal to 28 per cent. Panel II shows different levels of the real domestic interest rate (ir) and monetary base equal to 4 per cent.

*Source:* OECD estimates.

The figure also illustrates the sensitivity of the results under different key assumptions. In Panel I, the long-run equilibrium between the budget outcome and inflation depends on the size of money balances relative to GDP. A smaller share requires a larger (smaller) primary budget surplus (deficit) for a given level of inflation. This is because a smaller money base reduces inflation tax revenues from money financing, and since borrowing is fixed by assumption, the shortfall must be met through a lower total financing requirement.

In Turkey, the holding of money balances relative to GDP, is less than half the OECD average. Very high inflation increases the cost, and hence reduces the demand for real balances. If economic policy was more strongly oriented towards achieving medium-term fiscal sustainability and structural reforms, confidence in the domestic currency would be enhanced. This would lead to increased demand for Turkish lira which would enable its increased supply, without putting added pressure on prices. In fact, equilibrium inflation could be reduced, since smaller seigniorage gains from a lower tax rate (inflation level) could be more than offset by the larger tax base (holdings of real balances).

The government budget constraint also depends critically on the level of real interest rates. High real interest rates on domestic currency debt reflect the risk premium required to compensate investors against the possibility of higher inflation and/or a currency devaluation. The risk tends to be greater, the higher the level of inflation and the higher the public sector borrowing requirement. A higher real interest rate also bears directly on the government's interest bill and, in this framework, the underlying level of money finance needed to sustain a constant level of debt to GDP. Consequently, policies which work towards reducing the risk premia can have a big positive effect on the steady state inflation level. Panel II of Figure A4 shows that if real interest rates were reduced by 8 percentage points from their 1996 year average level of about 20 per cent, then inflation could be halved.

Although it is interesting to evaluate various government financing scenarios assuming a constant debt share, there is no presumption that current levels should remain constant. Even if money financing falls, for one reason or another, the government could still resort to increased borrowing. The impact on inflation might be less in the short term, but in the medium term a larger primary surplus would be required to keep the debt-to-GDP ratio unchanged. Otherwise, a steadily growing debt-to-GDP ratio will raise risk premia and affect inflation expectations, which impinge strongly on the equilibrium inflation path.

The above analysis shows how drastically macro-economic outcomes in Turkey could be improved once small adjustment is achieved in a few key variables. Of course, the level of money balances and the real interest rate are not policy variables and hence not directly controllable. On the other hand, measures which improve the fiscal situation and the efficiency of resource allocation will help lower real interest rates and boost the demand for real balances. The precise impact cannot be determined from this framework, but rough orders of magnitude can be inferred.

*Annex IV*

## Medium-term fiscal strategic planning

Chapter II of this Survey attributed much of the difficulty facing the Turkish economy to unsustainably large budget deficits. Although measures taken since 1994 have helped to restore primary budget surpluses, much of the improvement has relied on temporary or one-off measures. This partly reflects a tendency to focus on fiscal plans over the coming year, without a coherent medium-term strategy. As a result, comparative analysis of the long-term effects of different policy options is not engaged and a propensity towards short-sighted *ad hoc* policy decisions develops. Yet important issues, such as fiscal sustainability and the underlying debt dynamics require a longer time horizon. This Annex evaluates the government's 1997 budget within a medium-term framework. The calculations are based on a simple budget accounting framework and hence only give approximate orders of magnitude. The technique, however, provides a consistent dynamic framework to evaluate alternative budget plans and their medium-term impact on the level of debt.

The first simulation (Table A3) is based on the OECD Secretariat's assumptions for fiscal and monetary policy in the medium term. It assumes that the government is committed to its ambitious balanced budget target, but because of delays in realising privatisation receipts and implementing structural reforms, consolidation will be carried out over a longer time period. Specifically, privatisation revenues are projected to rise to about 3 per cent of GDP in 1997 and 1998 and 1½ per cent of GDP thereafter, compared with an average of 0.3 per cent over the past ten years. Similarly, tax receipts are projected to rise gradually and government expenditures held broadly constant as a share of GDP.

If these developments materialise, fiscal credibility will build quickly and financial market conditions will improve, notably through lower interest rates and longer average maturity of domestic debt. And most importantly, inflation and inflation expectations would moderate as the risk of monetisation recedes. A primary budget surplus averaging around 3½ per cent of GDP over the next four years gradually reduces both the stock of outstanding debt and the risk premium required to compensate investors against the possibility of an unexpected capital loss. By the year 2000, government debt relative to GDP may have fallen 8 percentage points from its 1995 level to 39 per cent, and interest

Table A3. **OECD Secretariat central case**

| | 1995 | 1996 | 1997 | 1998 | 1999 | 2000 |
|---|---|---|---|---|---|---|
| **Assumptions** | | | | | | |
| Real GDP growth | 7.2 | 7.2 | 5.3 | 4.8 | 4.8 | 4.8 |
| Inflation (GDP deflator) | 87.0 | 78.0 | 73.0 | 65.0 | 57.0 | 50.0 |
| Real exchange-rate (% change, end year) | | 0 | 0 | 0 | 0 | 0 |
| Interest rates payable on | | | | | | |
| Non-indexed TL debt, real | 22.0 | 17.0 | 11.0 | 10.0 | 10.0 | 8.0 |
| Non-indexed TL debt, nominal | 128.0 | 108.0 | 92.0 | 91.0 | 81.0 | 69.0 |
| Foreign currency debt, real | 5.0 | 4.5 | 4.5 | 4.5 | 4.5 | 4.5 |
| Foreign currency debt, nominal | 7.0 | 6.6 | 6.6 | 6.6 | 6.6 | 6.6 |
| Consolidated budget revenues[1] (% of GDP) | 18.0 | 18.8 | 21.2 | 21.2 | 20.7 | 20.9 |
| Consolidated budget primary spending (% of GDP) | 14.6 | 16.9 | 17.2 | 17.4 | 17.6 | 17.9 |
| **Outcomes** (% of GDP) | | | | | | |
| Public sector primary balance | 1.9 | 1.0 | 3.2 | 3.3 | 2.5 | 2.1 |
| Budget interest payments | –7.1 | –10.1 | –7.6 | –7.3 | –7.1 | –6.4 |
| Public sector balance (PSBR) | –5.2 | –9.1 | –6.3 | –5.5 | –6.1 | –5.6 |
| Net lending | –5.5 | –9.1 | –8.2 | –7.0 | –7.6 | –6.9 |
| Total public sector debt | 46.9 | 46.8 | 43.0 | 40.5 | 39.9 | 39.2 |

1. Includes exceptional privatisation receipts transferred directly to the Treasury, but they are excluded from the projected PSBR and net lending figures.

*Source:* OECD.

payments represent 36 per cent of government primary spending, compared with some 60 per cent in 1996.

A second simulation (Table A4) illustrates the government's 1997 budget programme, but with ongoing fiscal consolidation achieved through spending restraint, a permanent increase in budget revenue and favourable interest rate and debt market developments. Accordingly, in 1997, tax and privatisation revenues surge and interest payments fall substantially, in line with lower interest rates and longer average debt maturity. But since about one-half of the deficit-reducing measures in 1997 are one-off in nature (privatisation, unless sustained) or post-pone expenditure (lengthening debt maturity), the impact in 1998, despite further assumed progress, is a PSBR still in the order of 3½ per cent of GDP. The primary budget surplus, including some privatisation revenue,[1] falls relative to the previous year, but still averages 3¾ per cent of GDP. The total stock

1. The proceeds from the partial sale of Telekom (and some other public assets) will, after deductions for transactions costs, be allocated to consolidated government revenue.

Table A4. **1997 budget programme followed by further progress**

| | 1995 | 1996 | 1997 | 1998 | 1999 | 2000 |
|---|---|---|---|---|---|---|
| **Assumptions** | | | | | | |
| Real GDP growth | 7.2 | 7.2 | 4.0 | 4.8 | 4.8 | 5.0 |
| Inflation (GDP deflator) | 87.0 | 78.0 | 65.0 | 60.0 | 50.0 | 40.0 |
| Real exchange-rate (% change, end year) | | 0 | 0 | 0 | 0 | 0 |
| Interest rates payable on | | | | | | |
| Non-indexed TL debt, real | 22.0 | 17.0 | 8.0 | 8.0 | 8.0 | 8.0 |
| Non-indexed TL debt, nominal | 128.0 | 108.0 | 78.0 | 82.0 | 69.0 | 57.0 |
| Foreign currency debt, real | 5.0 | 4.5 | 4.5 | 4.5 | 4.5 | 4.5 |
| Foreign currency debt, nominal | 7.0 | 6.6 | 6.6 | 6.6 | 6.6 | 6.6 |
| Consolidated budget revenues[1] (% of GDP) | 18.0 | 18.8 | 24.6 | 21.4 | 21.6 | 21.8 |
| Consolidated budget primary spending (% of GDP) | 14.6 | 16.9 | 17.3 | 17.5 | 18.0 | 18.0 |
| **Outcomes** (% of GDP) | | | | | | |
| Public sector primary balance | 1.9 | 1.0 | 6.5 | 3.6 | 3.3 | 3.7 |
| Budget interest payments | –7.1 | –10.1 | –6.9 | –6.1 | –5.3 | –4.3 |
| Public sector balance (PSBR) | –5.2 | –9.1 | –1.9 | –3.5 | –3.0 | –1.6 |
| Net lending | –5.5 | –9.1 | –3.4 | –4.5 | –4.0 | –2.6 |
| Total public sector debt | 46.9 | 46.8 | 40.3 | 36.7 | 34.2 | 31.8 |

1. Includes exceptional privatisation receipts transferred directly to the Treasury, but they are excluded from the projected PSBR and net lending figures.

*Source:* OECD.

of government debt to GDP falls sharply to around 40 per cent in 1997, and then follows a gradual downward trend reaching 32 per cent of GDP by the year 2000.

Many analysts are sceptical that the government's 1997 budget programme can be achieved. It relies on huge privatisation receipts, favourable market developments and improved tax collection rates. A third simulation (Table A5) analyses the consequences (of an admittedly extreme scenario) when none of these developments materialise. Instead, privatisation receipts are maintained at about the same level as in previous years (0.3 per cent of GDP), real interest rates do not fall, debt maturity is unchanged and tax collection rates do not improve. Under these unfavourable assumptions, the PSBR as a share of GDP increases to unsustainable levels and the primary budget surplus deteriorates. By the year 2000, the debt ratio is over 59 per cent of GDP. Such trends would ultimately spark an economic crisis, with consequences for growth and inflation.

These simulations highlight the sensitivity of the government's 1997 budget programme to different assumptions and market developments, and illustrate their impact over the medium term. Such sensitivity to underlying budget assumptions and Turkey's

Table A5. **No fiscal consolidation and less favourable market developments**

| | 1995 | 1996 | 1997 | 1998 | 1999 | 2000 |
|---|---|---|---|---|---|---|
| **Assumptions** | | | | | | |
| Real GDP growth | 7.2 | 7.5 | 5.0 | 3.0 | 3.0 | 3.0 |
| Inflation (GDP deflator) | 87.0 | 78.0 | 80.0 | 85.0 | 90.0 | 100.0 |
| Real exchange-rate (% change, end year) | | 0 | 0 | 0 | 0 | 0 |
| Interest rates payable on | 22.0 | 17.0 | 15.0 | 20.0 | 22.0 | 24.0 |
| Non-indexed TL debt, real | 128.0 | 108.0 | 107.0 | 137.0 | 148.0 | 166.0 |
| Non-indexed TL debt, nominal | 5.0 | 4.5 | 4.5 | 4.5 | 4.5 | 4.5 |
| Foreign currency debt, real | 7.0 | 6.6 | 6.6 | 6.6 | 6.6 | 6.6 |
| Foreign currency debt, nominal | | | | | | |
| Consolidated budget revenues (% of GDP) | 18.0 | 18.8 | 18.5 | 18.5 | 18.5 | 18.5 |
| Consolidated budget primary spending (% of GDP) | 14.6 | 16.9 | 17.5 | 18.0 | 18.0 | 18.5 |
| **Outcomes** (% of GDP) | | | | | | |
| Public sector primary balance | 1.9 | 1.0 | 0.2 | –0.3 | –0.3 | –0.8 |
| Budget interest payments | –7.1 | –10.1 | –10.5 | –12.2 | –13.7 | –16.0 |
| Public sector balance (PSBR) | –5.2 | –9.1 | –10.6 | –12.8 | –14.3 | –17.1 |
| Net lending | –5.5 | –9.1 | –10.9 | –13.1 | –14.6 | –16.0 |
| Total public sector debt | 46.9 | 46.8 | 47.0 | 50.1 | 54.1 | 59.1 |

*Source:* OECD.

poor fiscal track record, partly explain why markets were unimpressed by the government's zealous budget plans. Yet if policies such as those simulated in Table A4 can be introduced, Turkey's public accounts could be quickly reoriented onto a more sustainable path and establish the necessary precondition for economic growth and lower inflation.

*Annex V*

## A currency board approach to monetary policy

A currency board is an institution that rigidly follows a specific monetary policy rule. It issues base money in exchange for reserve currency (typically a major international currency) and usually on a 1:1 basis, at a specified and fixed rate. Changes in the monetary base are determined by the country's overall balance of payments position; a current account deficit not fully offset by capital inflows implies a loss of reserves which directly reduces the money base and vice versa if the overall balance is in surplus. This rule, if adhered to, gives a country a highly credible mechanism for defending a fixed exchange rate, but at the cost of abandoning its monetary sovereignty. Currency board arrangements have been most successful in reducing inflation when established in conjuncture with strong pre-commitments towards fiscal and structural reforms. This helps enhance credibility and reduce inflation expectations, which in turn facilitates a relatively speedy transition to a lower level of inflation. However, the rigidity implied by a currency board can bring its own problems.

The first currency board was introduced in Mauritius in 1849. Since then, there have been more than 70 experiences with some form of currency board arrangement.[1] They are still used in ten, mainly small countries, including Hong Kong, Estonia and Lithuania, and Argentina (see following list).

| Country | Established | Population | Currency peg |
|---|---|---|---|
| Argentina | 1991 | 33 912 994 | US dollar |
| Bermuda | 1915 | 61 158 | US dollar |
| Brunei | 1967 | 284 653 | Singapore dollar |
| Cayman Islands | 1972 | 31 790 | US dollar |
| Estonia | 1992 | 1 616 882 | Deutschmark |
| Falklands | 1899 | 2 261 | Pound Sterling |
| Faroe Islands | 1940 | 48 427 | Danish krona |
| Gibraltar | 1927 | 31 684 | Pound Sterling |
| Hong Kong | 1983 | 5 548 754 | US dollar |
| Lithuania | 1994 | 3 848 389 | US dollar |

*Source:* J. Williamson (1995).

The key distinguishing characteristic between a currency board and a central bank is that a central bank can also hold domestic assets, of which the most important is government debt. A central bank can, therefore, sterilise money creation, serve as a lender of last resort and money-finance government spending. By contrast, a currency board has no discretion as regards its monetary policy, a feature which could confer, in some countries, greater confidence and credibility and thereby lower risk premia factored into yields on government debt.

Advocates of currency boards stress two design features which promote sustained price stability. These are guaranteed fixed rate convertibility and a credible monetary policy. Currency boards can guarantee convertibility because they must hold realisable financial assets in the reserve currency at least equal to the value of the domestic currency outstanding.[2] Convertibility at a credible fixed exchange rate effectively imposes a stable nominal anchor *vis-à-vis* the reserve currency. This ultimately forces inflation in the currency board country to a level similar to that prevalent in the reserve currency country.[3]

Currency boards may also boost confidence and credibility, precursors for smooth adjustment to sustainable levels of economic growth, but it is not automatic. By removing responsibility for monetary policy a certain degree of macroeconomic discipline is imposed. For instance, it is no longer possible for a government to money-finance a fiscal deficit; if the budget is not balanced, the government has to persuade the private sector to lend to it. There is, however, no sanction on the fiscal authority to reduce fiscal imbalances financed by borrowing, although in practice, lower fiscal deficits have often resulted.

The speed at which inflation adjusts, largely depends on how quickly inflation expectations in the currency board country can be reduced. If they do not decelerate promptly, for example because credibility is low, the exchange parity steadily appreciates in real terms leading to a loss of competitiveness, a current account deficit and eventually a contraction in real output and employment growth. Adjustment will ultimately be achieved, but the costs of transition will be large, especially when the initial level of inflation and price inertia are high. Hence, it is important that the exchange rate parity be set bearing in mind fundamentals and equally important is a strong pre-commitment to address economic imbalances.

The choice of the reserve currency is also crucial and should be based on a country with low inflation and close integration with the currency board country. A major problem is that sovereign currencies are not necessarily fully compatible with optimal currency areas. A supply side shock may impact in the currency board area, but not in the country of the reserve currency. In this situation, a different exchange rate parity may be warranted, but is precluded once the currency board is established since there is no possibility of changing the exchange rate without jeopardising the board itself.

Argentina and Estonia are two recent examples of countries where the introduction of a currency board has formed an integral part of a stabilisation package and achieved success in reducing inflation. Inflation in Argentina was running at more than 1 000 per cent a year before the Peso was pegged to the dollar in 1991, and currently it is below 4 per cent. But since the pace of decline was not sufficiently rapid, Argentina now has an over-valued exchange rate, high unemployment and a substantial current account deficit. Adjustment was relatively slow in Argentina, owing to the small size of the tradeable goods sector (therefore fewer prices are set in international markets) and a temporary loss of credibility, following financial market instability in Mexico. Initially, Argentina responded to the Mexican crisis by relaxing the currency board rules, with respect to commercial bank reserves, but this worsened the situation. Confidence was only restored with support from the IMF and a renewed commitment to the original currency board rules.

The fact that no currency board has failed to honour its monetary base convertibility commitment is no guarantee against financial crises. Commercial banks will only be able to fulfil their obligations if they hold sufficiently large reserves in the reserve currency, or if they have call to sufficient credit to enable them to borrow the reserve currency if needed. If this is not possible, a financial crisis could degenerate into a panic and the currency board would have no power to intervene as lender of last resort. This risk could be reduced by establishing a separate institution, funded through the budget, that is responsible for prudential supervision and with powers to provide a limited lender of last resort facility. Another problem with currency boards is that they tend to be procyclical. When economic conditions are positive, money flows in, interest rates fall and the economy booms. But when times are bad, capital flows tend to dry up, or reverse, interest rates rise and output growth falls further.

In summary, a currency board system provides a transparent institutional framework conducive to lowering inflation to a level broadly similar to that in the reserve currency country. They offer an effective mechanism for restoring credibility and economic confidence in economic policy, when introduced as part of an overall stabilisation package, but they do not create a commitment to stability where it does not already exist; a monetary rule does not automatically lead to fiscal adjustment. The major disadvantages are the inability to act as a lender of last resort in the event of a domestic financial crisis and the potentially high transition costs if price inertia is pronounced.

## Notes

1. See Hanke, S.H., L. Jonung, and K. Schuler (1993) for a complete list.
2. Typically they aim to hold a somewhat larger value of assets than the value of their liabilities in order to guard against the risk that the market value of their assets will diminish *e.g.* due to interest rate changes in the reserve currency country.
3. Inflation rates will diverge slightly because of different productivity improvements between the countries and the growing importance of non-traded goods in the CPI basket.

*Annex VI*

## Calendar of main economic events

### 1996

**January**

Turkey enters Customs Union with the European Union. Mass Housing Fund levies and tariffs on imports from the EU abolished.

**February**

Constitutional court cancels Turkish Telekom Law.

**March**

Motherland (ANAP) and True Path (DYP) parties agree to form a coalition government. Mr. Yilmaz (ANAP) to be Prime Minister for remainder of 1996, followed by two years for Mrs. Ciller (DYP), the following year for Mr. Yilmaz, and a final year by a DYP deputy other than Mrs. Ciller.

**April**

Parliament approves budget for 1996. Consolidated budget deficit projected to be TL 861 trillion (6½ per cent of GDP), in a context of projected GDP growth of 4½ per cent, and inflation of 65 per cent in 1996.

**June**

Resignation of ANAP-DYP coalition government.

**July**

Formation of new coalition between Welfare (Refah) and True Path (DYP) parties. Mr. Erbakan (Refah) to be Prime Minister for first two years, Mrs. Ciller (DYP) for following two years.

Civil servants granted 50 per cent salary increase for second half of 1996.

Minimum wage increased by 100 per cent.

Government announces $10 billion resources package.

**August**

Compulsory savings deductions of civil servants and employers cancelled.

**September**

Government announces second $10 billion resources package.

Foreign currency denominated bonds sold by the Treasury.

**November**

10 per cent withholding tax introduced on interest revenue.

Japanese credit rating agency downgrades Turkey's credit rating of BB+ to BB.

Law on preventing money-laundering published in Official Gazette.

Third $10 billion resources package announced.

**December**

Oil flows through the Kirkuk-Yumurtalik pipeline for the first time since the UN embargo imposed on Iraq in August 1990.

Standard and Poors downgrades Turkey's credit rating from B+ to B.

Parliament ratifies 1997 balanced budget programme.

London-based credit rating agency IBCA downgrades Turkey's rating from BB- to B+.

Withholding tax on interest revenue increased to 12 per cent.

Central Bank of Turkey announces a monetary programme for the first half of 1997 consistent with 70 per cent inflation.

## 1997

**January**

Constitutional court rejects challenge against revised Turkish Telekom law (passed in August 1996).

**March**

The government accepted a list of recommendations issued by the National Security Council to maintain a secular state.

**April**

The government issued CPI index bonds.

The government announced 3 year fiscal and macroeconomic goals as a step towards establising a medium-term policy framework.

*STATISTICAL ANNEX AND STRUCTURAL INDICATORS*

Table A. **Gross domestic product, current prices**

TL billion

| | 1986 | 1987 | 1988 | 1989 | 1990 | 1991 | 1992 | 1993 | 1994 | 1995 |
|---|---|---|---|---|---|---|---|---|---|---|
| Private consumption | 34 394 | 51 019 | 82 050 | 149 140 | 269 562 | 444 871 | 760 256 | 1 369 339 | 2 706 262 | 5 485 245 |
| Government consumption | 4 592 | 5 845 | 9 837 | 21 240 | 43 083 | 77 895 | 140 584 | 258 084 | 450 605 | 837 243 |
| Gross fixed capital investment | 12 745 | 18 491 | 33 738 | 51 837 | 89 892 | 148 268 | 255 640 | 518 743 | 932 379 | 1 812 289 |
| Construction | 6 354 | 11 727 | 22 559 | 36 103 | 57 388 | 94 283 | 158 970 | 298 850 | 590 586 | 972 699 |
| Non-housing | 3 585 | 5 305 | 8 790 | 14 854 | 24 936 | 42 173 | 66 531 | 113 481 | 202 230 | 323 564 |
| Housing | 2 769 | 6 422 | 13 769 | 21 249 | 32 452 | 52 110 | 92 439 | 185 369 | 388 356 | 649 135 |
| Machinery and equipment | 6 391 | 6 764 | 11 179 | 15 734 | 32 504 | 53 985 | 96 670 | 219 893 | 341 793 | 839 590 |
| Increase in stocks | 409 | 687 | –1 247 | 1 522 | 5 792 | –6 973 | 2 454 | 21 619 | –121 416 | 98 105 |
| **Total domestic demand** | 52 140 | 76 042 | 124 378 | 223 739 | 408 329 | 664 061 | 1 158 934 | 2 167 785 | 3 967 830 | 8 232 882 |
| Exports of goods and services | 7 043 | 11 642 | 24 106 | 36 833 | 52 215 | 87 215 | 157 360 | 270 997 | 826 379 | 1 544 077 |
| Imports of goods and services | 8 104 | 13 269 | 22 683 | 40 420 | 69 042 | 104 819 | 189 646 | 383 358 | 788 530 | 1 890 238 |
| Statistical discrepancy | 0 | 306 | 3 424 | 7 172 | 1 558 | –16 340 | –33 279 | –73 557 | –137 251 | –124 266 |
| **Gross domestic product** | 51 079 | 74 721 | 129 225 | 227 324 | 393 060 | 630 117 | 1 093 369 | 1 981 867 | 3 868 428 | 7 762 455 |

*Note:* In this annex, all GDP data refer to the new series of the National Accounts as published by the State Institute of Statistics.
*Source:* State Institute of Statistics, *Gross National Product*, and OECD, *National Accounts*.

Table B. **Gross domestic product, constant prices**

1987 prices, TL billion

| | 1986 | 1987 | 1988 | 1989 | 1990 | 1991 | 1992 | 1993 | 1994 | 1995 |
|---|---|---|---|---|---|---|---|---|---|---|
| Private consumption | 51 179 | 51 019 | 51 638 | 51 105 | 57 803 | 59 366 | 61 281 | 66 545 | 62 962 | 66 628 |
| Government consumption | 5 341 | 5 845 | 5 783 | 5 830 | 6 297 | 6 528 | 6 765 | 7 344 | 6 938 | 7 411 |
| Gross fixed capital investment | 12 742 | 18 491 | 18 299 | 18 701 | 21 670 | 21 531 | 22 946 | 28 940 | 24 117 | 26 314 |
| Construction | 8 778 | 11 727 | 11 688 | 12 331 | 12 543 | 12 139 | 12 813 | 13 913 | 13 935 | 13 536 |
| Non-housing | 4 814 | 5 305 | 4 471 | 5 112 | 5 556 | 5 416 | 5 402 | 5 280 | 4 749 | 4 530 |
| Housing | 3 964 | 6 422 | 7 217 | 7 219 | 6 987 | 6 723 | 7 411 | 8 633 | 9 186 | 9 006 |
| Machinery and equipment | 3 964 | 6 764 | 6 611 | 6 370 | 9 127 | 9 392 | 10 133 | 15 027 | 10 182 | 12 778 |
| Increase in stocks | 563 | 687 | –693 | 520 | 1 513 | –939 | 402 | 1 486 | –2 925 | 1 372 |
| **Total domestic demand** | 69 825 | 76 042 | 75 027 | 76 156 | 87 283 | 86 486 | 91 394 | 104 315 | 91 092 | 101 725 |
| Exports of goods and services | 9 212 | 11 642 | 13 786 | 13 751 | 14 101 | 14 627 | 16 236 | 17 484 | 20 138 | 21 746 |
| Imports of goods and services | 10 788 | 13 269 | 12 670 | 13 543 | 18 014 | 17 074 | 18 938 | 25 715 | 20 090 | 26 033 |
| Statistical discrepancy | 0 | 306 | 163 | 134 | 208 | 314 | 709 | 507 | 181 | 450 |
| **Gross domestic product** | 68 249 | 74 721 | 76 306 | 76 498 | 83 578 | 84 353 | 89 401 | 96 591 | 91 321 | 97 888 |

*Source:* State Institute of Statistics, *Gross National Product*, and OECD, *National Accounts.*

Table C. **Gross domestic product by kind of activity**

TL billion

| | 1987 | 1988 | 1989 | 1990 | 1991 | 1992 | 1993 | 1994 | 1995 |
|---|---|---|---|---|---|---|---|---|---|
| | Current prices | | | | | | | | |
| Agriculture, forestry, fishing | 13 314 | 22 303 | 37 704 | 68 692 | 96 074 | 163 827 | 305 525 | 598 169 | 1 218 178 |
| Mining | 1 475 | 2 357 | 4 625 | 6 269 | 9 762 | 14 946 | 21 814 | 54 099 | 98 545 |
| Manufacturing | 16 319 | 29 664 | 52 561 | 86 307 | 139 709 | 236 573 | 412 408 | 853 488 | 1 751 681 |
| Electricity, gas and water | 1 482 | 2 829 | 4 408 | 7 745 | 13 839 | 28 602 | 51 450 | 112 181 | 192 169 |
| Construction | 5 452 | 9 998 | 15 904 | 24 746 | 44 139 | 74 509 | 145 834 | 263 720 | 426 215 |
| Wholesale and retail trade, restaurants and hotels | 14 850 | 25 699 | 42 653 | 74 912 | 117 433 | 202 369 | 368 385 | 760 919 | 1 587 691 |
| Transport, storage and communication | 8 660 | 15 245 | 26 317 | 46 490 | 74 561 | 133 338 | 236 860 | 514 110 | 981 070 |
| Financial institutions | 6 672 | 10 137 | 14 889 | 25 878 | 49 287 | 84 708 | 152 631 | 242 929 | 571 759 |
| Community, social and personal services | 1 736 | 3 198 | 7 544 | 14 415 | 23 006 | 39 577 | 71 449 | 142 795 | 287 000 |
| Producers of government services | 3 789 | 6 363 | 15 535 | 32 525 | 61 051 | 111 841 | 203 922 | 344 530 | 619 785 |
| Private non-profit institutions | 319 | 535 | 891 | 1 521 | 2 332 | 3 553 | 6 015 | 9 070 | 14 577 |
| Imputed bank service change | 1 997 | 3 349 | 2 562 | 9 838 | 23 282 | 41 188 | 75 654 | 163 471 | 270 344 |
| Import duties | 2 652 | 4 246 | 6 854 | 13 397 | 22 206 | 40 713 | 81 229 | 135 892 | 284 130 |
| **Gross domestic product at factor cost** | 74 722 | 129 225 | 227 324 | 393 060 | 630 117 | 1 093 368 | 1 981 867 | 3 868 429 | 7 762 456 |
| | Percentage volume change, 1987 prices | | | | | | | | |
| Agriculture, forestry, fishing | 0.4 | 7.8 | –7.6 | 6.8 | –0.9 | 4.3 | –1.3 | –0.7 | 2.0 |
| Mining | 2.5 | –4.6 | 13.0 | –2.5 | 4.5 | 0.3 | –6.4 | 8.0 | –6.9 |
| Manufacturing | 10.1 | 1.6 | 3.0 | 9.7 | 2.4 | 5.8 | 9.3 | –7.6 | 13.9 |
| Electricity, gas and water | 5.8 | 10.4 | 13.9 | 8.6 | 4.5 | 11.8 | 8.9 | 3.4 | 9.6 |
| Construction | 14.9 | –5.4 | 6.1 | –1.1 | 1.1 | 6.2 | 7.9 | –2.0 | –4.7 |
| Wholesale and retail trade, restaurants and hotels | 19.0 | 3.5 | –2.3 | 12.3 | –0.7 | 6.9 | 11.6 | –7.6 | 11.6 |
| Transport, storage and communication | 10.2 | 1.2 | 3.2 | 11.9 | –0.4 | 8.1 | 10.8 | –2.0 | 5.7 |
| Financial institutions | 3.6 | 1.6 | 2.6 | 2.3 | 1.8 | 0.9 | 1.7 | 1.4 | 1.5 |
| Community, social and personal services | 9.1 | 2.3 | 0.3 | 8.1 | 0.9 | 5.5 | 6.9 | –4.3 | 7.3 |
| Producers of government services | –0.2 | 1.9 | 1.2 | 2.9 | 2.4 | 3.4 | 1.8 | 0.8 | 2.5 |
| Private non-profit institutions | 12.6 | 1.9 | 1.8 | 10.3 | 3.5 | 2.2 | 3.0 | –2.5 | –1.3 |
| Imputed bank service change | 3.8 | 4.1 | 2.1 | 1.9 | 0.2 | –2.3 | –0.6 | –1.8 | –0.3 |
| Import duties | 28.2 | –10.3 | –2.6 | 48.3 | 4.1 | 11.3 | 32.8 | –35.2 | 11.5 |
| **Gross domestic product at factor cost** | 9.5 | 2.1 | 0.3 | 9.3 | 0.9 | 6.0 | 8.0 | –5.5 | 7.2 |

*Source:* State Institute of Statistics, *Gross National Product*, and OECD, *National Accounts*.

Table D. **Industrial production**

Percentage changes from a year earlier
Index 1992 = 100

| | 1991 | 1992 | 1993 | 1994 | 1995 | 1996 | 1996 | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | | | | | | | I | II | III | IV |
| **Total industry** | **3.1** | **5.3** | **5.9** | **–6.2** | **8.6** | **5.9** | **9.2** | **5.1** | **2.8** | **6.8** |
| **Mining** | **7.7** | **–2.3** | **–9.3** | **9.3** | **0.1** | **3.8** | **3.8** | **3.4** | **9.8** | **–1.8** |
| **Energy** | **3.9** | **12.4** | **9.7** | **6.2** | **9.8** | **10.9** | **13.9** | **8.7** | **8.5** | **11.2** |
| **Manufacturing** | **2.6** | **4.5** | **6.4** | **–8.6** | **9.0** | **5.3** | **8.7** | **4.7** | **1.5** | **6.6** |
| *By manufacturing sector* | | | | | | | | | | |
| Foods, beverages, tobacco | 9.4 | 4.6 | 1.1 | –1.5 | 2.2 | 4.6 | –0.6 | 8.1 | –8.2 | –5.7 |
| Textile, clothing, leather | –7.0 | 1.1 | 0.4 | –6.7 | 0.9 | 4.6 | 3.4 | 2.1 | 7.6 | 8.9 |
| Paper and printing | –19.8 | 17.8 | –18.2 | 14.8 | 16.6 | –26.2 | –18.0 | 3.5 | –13.0 | –13.8 |
| Chemicals, petroleum | –2.0 | 2.6 | 9.2 | –1.0 | 8.9 | –1.7 | 11.2 | 7.4 | 5.6 | –1.5 |
| Non-metallic mineral products | 3.9 | 8.0 | 7.0 | –4.9 | 10.7 | 6.7 | 14.0 | 1.9 | 4.2 | 3.2 |
| Basic metal industry | –0.9 | 6.2 | 8.9 | 2.8 | 0.5 | 16.7 | –17.4 | –3.6 | 1.0 | 14.5 |
| Machinery and transport equipment | 15.3 | 6.0 | 14.2 | –31.7 | 24.7 | 18.2 | 41.3 | 22.5 | 18.7 | 12.6 |

*Source:* State Institute of Statistics, *Turkish Economy and Analysis* and *Monthly Production Index*.

Table E. **Prices**[1]

Annual percentage changes

| | Wholesale prices | | | | | | | Consumer prices | |
|---|---|---|---|---|---|---|---|---|---|
| | General index | | | Agriculture | Mining | Manufacturing industry | Energy | General | Food |
| | Total | Public | Private | | | | | | |
| | Base year 1987 = 100 | | | | | | | | |
| **Old series** | | | | | | | | | |
| (1987 weights) | (100) | (27.74) | (72.26) | (23.03) | (2.54) | (69.80) | (4.62) | (100) | (32.10) |
| 1988 | 70.5 | 70.3 | 70.5 | 44.1 | 64.1 | 81.5 | 40.9 | 73.7 | 83.2 |
| 1989 | 64.0 | 64.2 | 63.9 | 71.7 | 65.0 | 61.6 | 69.2 | 63.2 | 69.3 |
| 1990 | 52.3 | 56.7 | 50.6 | 70.6 | 48.7 | 46.9 | 56.5 | 60.3 | 64.3 |
| 1991 | 55.3 | 61.3 | 53.0 | 50.8 | 63.2 | 55.3 | 75.1 | 66.0 | 67.1 |
| 1992 | 62.1 | 65.2 | 60.8 | 62.7 | 61.6 | 55.3 | 97.7 | 70.1 | 71.3 |
| 1993 | 58.4 | 54.5 | 60.1 | 62.2 | 56.7 | 56.6 | 67.8 | 66.1 | 63.5 |
| 1994 | 120.7 | 122.5 | 119.9 | 97.8 | 132.8 | 129.4 | 102.3 | 106.3 | 110.0 |
| 1995 | 88.5 | 77.0 | 93.4 | 118.7 | 76.6 | 83.4 | 47.8 | 93.6 | 97.3 |
| | Base year 1994 = 100 | | | | | | | | |
| **New series** | | | | | | | | | |
| (1994 weights) | (100) | (23.17) | (76.83) | (22.22) | (2.47) | (71.12) | (4.19) | (100) | (31.09) |
| 1995 | 86.0 | 76.8 | 88.8 | 107.8 | 85.6 | 81.0 | 56.4 | 88.0 | 92.3 |
| 1996 | 75.9 | 81.9 | 74.3 | 86.5 | 89.3 | 70.4 | 101.7 | 80.4 | 72.2 |
| 1996 I | 64.4 | 61.3 | 65.3 | 75.7 | 75.9 | 59.3 | 76.7 | 78.3 | 68.9 |
| II | 73.3 | 77.0 | 72.2 | 82.5 | 81.7 | 68.2 | 98.6 | 82.2 | 77.5 |
| III | 78.4 | 85.1 | 76.5 | 92.0 | 95.2 | 71.8 | 104.6 | 80.8 | 72.1 |
| IV | 84.5 | 99.4 | 80.4 | 93.1 | 99.3 | 79.0 | 122.1 | 79.9 | 70.5 |
| 1997 I | 77.8 | 84.0 | 76.0 | 81.5 | 89.1 | 75.1 | 92.7 | 76.9 | 75.5 |

1. In January 1996, the State Institute of Statistics introduced new weights for both wholesale and consumer price indices, and shifted the base year from 1987 to 1994.

*Source:* State Institute of Statistics, *Wholesale and Consumer Price Indices Monthly Bulletin*.

Table F. **Imports by commodities**

$ million

| | 1986 | 1987 | 1988 | 1989 | 1990 | 1991 | 1992 | 1993 | 1994 | 1995 |
|---|---|---|---|---|---|---|---|---|---|---|
| **SITC classification** | | | | | | | | | | |
| 0. Food and live animals | 261 | 369 | 180 | 697 | 1 179 | 466 | 594 | 839 | 465 | 1 482 |
| 1. Beverages and tobacco | 125 | 192 | 189 | 225 | 346 | 381 | 330 | 336 | 153 | 173 |
| 2. Crude materials, inedible, except fuels | 834 | 1 322 | 1 353 | 1 602 | 1 680 | 1 614 | 1 872 | 2 489 | 2 272 | 3 536 |
| 3. Mineral fuels, lubricants and related materials | 2 192 | 3 172 | 3 062 | 3 258 | 4 641 | 3 773 | 3 782 | 3 990 | 3 838 | 4 619 |
| 4. Animal and vegetable oils, fats and waxes | 141 | 145 | 227 | 307 | 297 | 393 | 375 | 403 | 454 | 631 |
| 5. Chemicals and related products, n.e.s. | 1 585 | 2 146 | 2 215 | 2 321 | 2 830 | 2 852 | 3 092 | 3 527 | 3 186 | 5 350 |
| 6. Manufactured goods classified chiefly by material | 1 512 | 2 341 | 2 436 | 2 795 | 3 372 | 3 295 | 3 606 | 5 026 | 4 065 | 6 675 |
| 7. Machinery and transport equipment | 4 035 | 4 054 | 4 234 | 4 095 | 7 030 | 7 168 | 8 043 | 11 228 | 7 658 | 11 492 |
| 8. Miscellanous manufactured articles | 327 | 421 | 442 | 485 | 905 | 990 | 1 105 | 1 461 | 1 091 | 1 750 |
| 9. Commodities and transactions not classified elsewhere | 9 | 1 | 2 | 4 | 22 | 114 | 73 | 131 | 87 | 2 |
| **Total** | 11 020 | 14 163 | 14 340 | 15 789 | 22 302 | 21 047 | 22 871 | 29 429 | 23 270 | 35 709 |

*Source:* OECD, *Foreign Trade by Commodities,* Series C.

Table G. **Exports by commodities**

$ million

| | 1986 | 1987 | 1988 | 1989 | 1990 | 1991 | 1992 | 1993 | 1994 | 1995 |
|---|---|---|---|---|---|---|---|---|---|---|
| **SITC classification** | | | | | | | | | | |
| 0. Food and live animals | 1 864 | 2 163 | 2 484 | 2 015 | 2 302 | 2 728 | 2 760 | 2 794 | 3 298 | 3 420 |
| 1. Beverages and tobacco | 278 | 324 | 278 | 493 | 455 | 593 | 356 | 466 | 471 | 468 |
| 2. Crude materials, inedible, except fuels | 604 | 517 | 777 | 837 | 750 | 681 | 503 | 555 | 605 | 776 |
| 3. Mineral fuels, lubricants and related materials | 185 | 238 | 335 | 260 | 298 | 292 | 235 | 178 | 246 | 289 |
| 4. Animal and vegetable oils, fats and waxes | 80 | 83 | 86 | 153 | 139 | 197 | 215 | 187 | 182 | 326 |
| 5. Chemicals and related products, n.e.s. | 410 | 675 | 950 | 936 | 745 | 603 | 629 | 609 | 730 | 890 |
| 6. Manufactured goods classified chiefly by material | 2 206 | 2 669 | 3 503 | 3 391 | 3 841 | 3 717 | 4 155 | 4 485 | 5 684 | 6 228 |
| 7. Machinery and transport equipment | 415 | 1 085 | 748 | 587 | 853 | 1 016 | 1 290 | 1 292 | 1 720 | 2 406 |
| 8. Miscellanous manufactured articles | 1 400 | 2 411 | 2 497 | 2 949 | 3 567 | 3 758 | 4 561 | 4 775 | 5 160 | 6 828 |
| 9. Commodities and transactions not classified elsewhere | 15 | 24 | 4 | 7 | 7 | 8 | 10 | 9 | 9 | 5 |
| **Total** | 7 457 | 10 190 | 11 662 | 11 627 | 12 957 | 13 593 | 14 715 | 15 349 | 18 105 | 21 636 |

*Source:* OECD, *Foreign Trade by Commodities,* Series C.

Table H. **Geographic distribution of foreign trade**

$ million, monthly averages

| | Imports | | | | | | Exports | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | 1990 | 1991 | 1992 | 1993 | 1994 | 1995 | 1990 | 1991 | 1992 | 1993 | 1994 | 1995 |
| OECD countries | 14 896 | 14 741 | 15 995 | 21 022 | 15 839 | 24 403 | 9 067 | 9 269 | 9 761 | 9 504 | 11 283 | 13 827 |
| EU countries | 9 924 | 9 897 | 10 657 | 13 874 | 10 916 | 16 862 | 7 188 | 7 347 | 7 934 | 7 603 | 8 689 | 11 077 |
| *of which:* | | | | | | | | | | | | |
| France | 1 340 | 1 227 | 1 351 | 1 952 | 1 458 | 1996 | 737 | 689 | 809 | 771 | 855 | 1 033 |
| Germany | 3 523 | 3 232 | 3 754 | 4 533 | 3 646 | 5 548 | 3 076 | 3 413 | 3 660 | 3 654 | 3 969 | 5 034 |
| Italy | 1 727 | 1 845 | 1 919 | 2 558 | 2 008 | 3 193 | 1 106 | 972 | 943 | 750 | 1 035 | 1 456 |
| United Kingdom | 1 014 | 1 166 | 1 187 | 1 546 | 1 170 | 1 830 | 744 | 676 | 796 | 835 | 893 | 1 134 |
| Other OECD countries | 4 971 | 4 844 | 5 338 | 7 148 | 4 924 | 7 541 | 1 879 | 1 922 | 1 827 | 1 902 | 2 594 | 2 750 |
| *of which:* | | | | | | | | | | | | |
| Japan | 1 120 | 1 092 | 1 113 | 1 621 | 968 | 1 400 | 239 | 226 | 162 | 158 | 187 | 180 |
| Switzerland | 537 | 489 | 688 | 651 | 473 | 816 | 293 | 246 | 223 | 216 | 240 | 238 |
| United States | 2 282 | 2 255 | 2 601 | 3 351 | 2 429 | 3 724 | 968 | 913 | 865 | 986 | 1 534 | 1 513 |
| Central and Eastern European countries | 1 627 | 1 591 | 1 910 | 634 | 498 | 897 | 695 | 877 | 1 004 | 329 | 401 | 628 |
| Middle East and North Africa | 3 659 | 2 981 | 3 238 | 3 240 | 3 191 | 3 857 | 2 452 | 2 694 | 2 763 | 2 743 | 2 989 | 3 234 |
| *of which:* | | | | | | | | | | | | |
| Iran | 492 | 91 | 365 | 667 | 692 | 689 | 495 | 487 | 455 | 290 | 250 | 266 |
| Iraq | 1 047 | 0 | 1 | 0 | 0 | 0 | 215 | 122 | 212 | 160 | 141 | 119 |
| Kuwait | 54 | 0 | 68 | 84 | 77 | 97 | 92 | 16 | 66 | 104 | 128 | 119 |
| Libya | 487 | 281 | 445 | 131 | 320 | 385 | 221 | 237 | 247 | 246 | 180 | 238 |
| Saudi Arabia | 724 | 1 829 | 1 665 | 1 500 | 1 229 | 1 383 | 338 | 485 | 486 | 652 | 611 | 467 |
| Other countries | 2 121 | 1 734 | 1 729 | 4 534 | 3 743 | 6 550 | 744 | 753 | 1 186 | 2 773 | 3 434 | 3 910 |
| **Total** | 22 302 | 21 047 | 22 871 | 29 429 | 23 271 | 35 708 | 12 957 | 13 593 | 14 715 | 15 349 | 18 106 | 21 598 |

*Source:* OECD, *Monthly Statistics of Foreign Trade*, Series A.

Table I. **Balance of payments**

$ million

| | 1987 | 1988 | 1989 | 1990 | 1991 | 1992 | 1993 | 1994 | 1995 |
|---|---|---|---|---|---|---|---|---|---|
| Exports | 10 322 | 11 929 | 11 780 | 13 026 | 13 667 | 14 891 | 15 611 | 18 390 | 21 975 |
| Imports | 13 551 | 13 706 | 15 999 | 22 581 | 21 007 | 23 081 | 29 771 | 22 606 | 35 187 |
| **Trade balance** | –3 229 | –1 777 | –4 219 | –9 555 | –7 340 | –8 190 | –14 160 | –4 216 | –13 212 |
| Services | 33 | 1 214 | 1 622 | 2 437 | 2 499 | 3 157 | 4 014 | 3 755 | 6 377 |
| Balance of goods and services | –3 196 | –563 | –2 597 | –7 118 | –4 849 | –5 033 | –10 201 | –461 | –6 835 |
| Private transfers, net | 2 066 | 1 827 | 3 135 | 3 349 | 2 854 | 3 147 | 3 035 | 2 709 | 3 425 |
| Official transfers, net | 324 | 332 | 423 | 1 144 | 2 245 | 912 | 733 | 383 | 1 071 |
| **Current balance** | –806 | 1 596 | 961 | –2 625 | 250 | –974 | –6 433 | 2 631 | –2 339 |
| Long-term capital | 1 841 | 1 323 | 1 364 | 1 037 | 623 | 2 252 | 5 909 | 933 | 2 417 |
| Private, net | 1 388 | 2 037 | 2 456 | 1 847 | 1 562 | 3 351 | 6 839 | 2 394 | 2 954 |
| Official, net | 453 | –714 | –1 092 | –810 | –939 | –1 099 | –930 | –1 461 | –537 |
| **Basic balance** | 1 035 | 2 919 | 2 325 | –1 588 | 873 | 1 278 | –524 | 3 564 | 78 |
| Non-monetary short-term private capital, net | –542 | –351 | 23 | 1 362 | 37 | 1 641 | 1 850 | –947 | 2 117 |
| Non-monetary short-term official capital, net | 305 | –895 | –526 | 359 | –322 | 136 | 133 | . . | . . |
| Errors and omissions | –506 | 515 | 971 | –468 | 948 | –1 190 | –2 222 | 1 769 | 2 275 |
| **Balance on non-monetary transactions** | 292 | 2 188 | 2 793 | –335 | 1 536 | 1 865 | –763 | 4 386 | 4 470 |
| Private monetary institutions short-term capital | 287 | –1 035 | –81 | 1 279 | –2 735 | –381 | 1 071 | –4 180 | 188 |
| Assets | –434 | –1 046 | –370 | –769 | –2 595 | –2 474 | –3 231 | 2 591 | –1 512 |
| Liabilities | 721 | 11 | 289 | 2 048 | –140 | 2 093 | 4 302 | –6 771 | 1 700 |
| **Net transactions of monetary authorities** | 579 | 1 153 | 2 712 | 944 | –1 199 | 1 484 | 308 | 206 | 4 658 |
| Use of IMF credit | –443 | –432 | –238 | –48 | 0 | 0 | 0 | 340 | 347 |
| Miscellaneous official accounts | 1 | 1 | –3 | –1 | 2 | 0 | 0 | 0 | 0 |
| Allocation of SDRs | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| **Change in reserves** | 137 | 722 | 2 471 | 895 | –1 197 | 1 484 | 308 | 546 | 5 005 |
| Gold | 0 | 0 | –14 | 114 | 25 | 0 | –6 | –79 | –27 |
| Currency assets | 137 | 721 | 2 485 | 781 | –1 223 | 1 484 | 314 | 625 | 5 032 |
| Reserve position in IMF | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| Special drawing rights | 0 | 1 | 0 | 0 | 1 | 0 | 0 | 0 | 0 |

*Source:* OECD.

Table J. **External trade indicators**

| | | Exchange rate TL per $ | Effective exchange rate | Terms of trade | Goods and services | |
|---|---|---|---|---|---|---|
| | | | | | Exports | Imports |
| | | | 1987 = 100 | | 1987 prices, TL billion | |
| 1980 | | 76.0 | 977.1 | 101.9 | 3 184 | 7 024 |
| 1981 | | 110.2 | 803.3 | 101.8 | 5 205 | 7 902 |
| 1982 | | 160.7 | 610.2 | 101.8 | 6 976 | 8 554 |
| 1983 | | 223.7 | 473.3 | 101.8 | 7 891 | 10 002 |
| 1984 | | 363.5 | 319.4 | 101.8 | 9 898 | 11 975 |
| 1985 | | 519.6 | 231.8 | 101.8 | 9 707 | 11 183 |
| 1986 | | 669.0 | 145.6 | 101.8 | 9 212 | 10 788 |
| 1987 | | 854.6 | 100.0 | 100.0 | 11 642 | 13 267 |
| 1988 | | 1 419.4 | 59.1 | 97.7 | 13 786 | 12 670 |
| 1989 | | 2 120.0 | 41.0 | 89.7 | 13 751 | 13 543 |
| 1990 | | 2 606.5 | 30.2 | 96.6 | 14 102 | 18 014 |
| 1991 | | 4 168.9 | 19.5 | 97.1 | 14 627 | 17 074 |
| 1992 | | 6 860.6 | 11.4 | 96.8 | 16 236 | 18 938 |
| 1993 | | 10 965.6 | 7.7 | 104.0 | 17 484 | 25 715 |
| 1994 | | 29 778.2 | 3.0 | 104.6 | 20 138 | 20 090 |
| 1995 | | 45 738.4 | 1.7 | 97.8 | 21 746 | 26 033 |
| 1996 | | 81 281.0 | 1.0 | .. | .. | .. |
| 1996 | Q 1 | 64 317.2 | 1.2 | 86.8 | 26 041 | 29 539 |
| | Q 2 | 76 387.3 | 1.0 | 91.1 | 25 608 | 30 486 |
| | Q 3 | 85 492.8 | 0.9 | .. | .. | .. |
| | Q 4 | 98 926.7 | 0.8 | .. | .. | .. |
| 1997 | Q 1 | 118 660.2 | 0.7 | .. | .. | .. |

*Source:* OECD, *National Accounts* and *Main Economic Indicators*.

Table K. **External debt of Turkey**[1]

Disbursed debt – end of period, in $ million

| | 1987 | 1988 | 1989 | 1990 | 1991 | 1992 | 1993 | 1994 | 1995 | 1996 Sept. |
|---|---|---|---|---|---|---|---|---|---|---|
| **Medium- and long-term debt** | 32 605 | 34 305 | 36 006 | 39 536 | 41 372 | 42 932 | 48 823 | 54 291 | 57 577 | 58 808 |
| Multilateral organisations | 9 802 | 9 192 | 8 740 | 9 564 | 10 069 | 9 160 | 8 674 | 9 183 | 9 081 | 8 293 |
| IMF | 770 | 299 | 48 | 0 | 0 | 0 | 0 | 344 | 573 | 663 |
| World Bank, IDA, IFC | 6 550 | 6 421 | 6 137 | 6 435 | 6 540 | 5 761 | 5 440 | 5 380 | 5 191 | 4 695 |
| European Investment Bank | 675 | 583 | 561 | 604 | 602 | 463 | 250 | 264 | 86 | 70 |
| European Resettlement Fund | 1 757 | 1 836 | 1 918 | 2 439 | 2 859 | 2 880 | 2 952 | 3 065 | 3 114 | 2 739 |
| Islamic Development Bank | 15 | 22 | 51 | 68 | 54 | 40 | 15 | 117 | 108 | 118 |
| OPEC Fund | 25 | 20 | 15 | 10 | 5 | 3 | 2 | 0 | 0 | 0 |
| International Fund for Agricultural Development | 10 | 11 | 10 | 8 | 9 | 13 | 15 | 13 | 9 | 8 |
| Bilateral credits | 11 680 | 11 382 | 11 431 | 12 984 | 14 587 | 15 035 | 18 153 | 20 678 | 21 558 | 22 564 |
| OECD countries | 10 086 | 10 038 | 9 992 | 11 652 | 13 169 | 13 542 | 16 607 | 19 001 | 19 552 | 20 108 |
| OPEC countries | 1 066 | 886 | 697 | 564 | 438 | 363 | 317 | 236 | 247 | 216 |
| Other countries | 528 | 458 | 742 | 768 | 980 | 1 130 | 1 229 | 1 441 | 1 759 | 2 240 |
| Commercial banks | 6 391 | 8 891 | 10 269 | 10 721 | 10 992 | 12 956 | 15 706 | 16 113 | 16 532 | 17 134 |
| Private lenders | 4 732 | 4 840 | 5 566 | 6 267 | 5 724 | 5 781 | 6 290 | 8 317 | 10 406 | 10 817 |
| Dresdner Bank scheme | 4 569 | 4 723 | 5 500 | 6 255 | 5 713 | 5 771 | 6 282 | 8 308 | 10 397 | 10 808 |
| **Short-term debt** | 7 623 | 6 417 | 5 745 | 9 500 | 9 117 | 12 660 | 18 533 | 11 310 | 15 701 | 19 234 |
| Commercial banks | 3 725 | 2 950 | 1 841 | 3 845 | 4 144 | 6 490 | 9 526 | 2 901 | 4 263 | 4 599 |
| Private lenders | 3 898 | 3 467 | 3 904 | 5 655 | 4 973 | 6 170 | 9 007 | 8 409 | 11 438 | 14 635 |
| Foreign exchange deposits | 2 619 | 2 433 | 2 795 | 3 976 | 2 982 | 2 594 | 3 097 | 3 266 | 4 471 | 5 233 |
| **Total debt** | 40 228 | 40 722 | 41 751 | 49 036 | 50 489 | 55 592 | 67 356 | 65 601 | 73 278 | 78 042 |
| *Memorandum items (per cent)* | | | | | | | | | | |
| Total debt/GDP | 46.1 | 44.8 | 39.0 | 32.5 | 33.4 | 35.0 | 37.3 | 50.4 | 43.1 | .. |
| Medium- and long-term debt/GDP | 37.4 | 37.7 | 33.6 | 26.2 | 27.4 | 27.0 | 27.1 | 41.7 | 33.9 | .. |
| Short-term debt/GDP | 8.7 | 7.1 | 5.4 | 6.3 | 6.0 | 8.0 | 10.3 | 8.7 | 9.2 | .. |
| Short-term debt/total debt | 18.9 | 15.8 | 13.8 | 19.4 | 18.1 | 22.8 | 27.5 | 17.2 | 21.4 | .. |
| Total debt/foreign exchange revenues | 242.3 | 205.7 | 189.4 | 193.6 | 195.3 | 195.4 | 221.3 | 200.1 | 176.6 | .. |
| Total debt by borrower | | | | | | | | | | |
| General government | 52.3 | 56.8 | 57.3 | 52.2 | 54.3 | 51.2 | 45.7 | 51.9 | 47.3 | 44.2 |
| SEEs | 9.2 | 9.8 | 9.9 | 12.6 | 10.2 | 9.2 | 8.1 | 8.4 | 6.6 | 5.7 |
| Central Bank | 23.9 | 20.6 | 18.9 | 16.6 | 14.0 | 12.1 | 10.8 | 14.4 | 15.7 | 15.2 |
| Private sector | 14.6 | 12.8 | 13.9 | 18.6 | 21.5 | 27.5 | 35.4 | 25.3 | 30.5 | 34.9 |

1. The Turkish authorities have issued a new series of external debt statistics, starting from 1984. Revised series reflect the adjustment for valuation changes in World Bank loans arising from the World Bank's currency pool system and the reclassification of the Dresdner Bank accounts according to maturities. Foreign Military Sales (FMS) refinancing credits are also included. In 1988, $1 503 million and in 1989 $403 million FMS loans were rescheduled by a group of US banks under US Treasury guarantee. Other military debt is excluded.

*Source:* Data provided by the Under-Secretariat of Treasury and Central Bank of Turkey.

Table L. **Money and banking**

TL billion, end of period

| | 1989 | 1990 | 1991 | 1992 | 1993 | 1994 | 1995 | 1996 |
|---|---|---|---|---|---|---|---|---|
| **Money supply** | | | | | | | | |
| Notes and coins | 6 840 | 11 378 | 17 449 | 30 389 | 51 645 | 102 328 | 189 542 | 354 901 |
| Sight deposits | 12 718 | 20 020 | 29 344 | 47 952 | 77 442 | 128 519 | 206 505 | 476 514 |
| M1 | 19 558 | 31 398 | 46 793 | 78 341 | 129 087 | 230 847 | 396 047 | 831 415 |
| Time deposits | 27 582 | 40 172 | 70 325 | 112 395 | 153 355 | 399 501 | 874 376 | 1 970 260 |
| M2 | 47 139 | 71 570 | 117 118 | 190 736 | 282 442 | 630 348 | 1 270 423 | 2 801 675 |
| Foreign exchange deposits | 14 135 | 21 793 | 50 936 | 103 234 | 190 617 | 565 005 | 1 355 094 | 2 702 722 |
| M2Y | 61 274 | 93 363 | 168 054 | 293 970 | 473 059 | 1 195 353 | 2 625 517 | 5 504 397 |
| **Central Bank** | | | | | | | | |
| Total assets | 48 988 | 60 987 | 96 789 | 177 244 | 285 801 | 693 005 | 1 421 112 | 2 678 682 |
| Foreign assets | 17 948 | 25 583 | 38 736 | 75 758 | 128 126 | 368 701 | 911 817 | 2 048 611 |
| Domestic assets | 31 040 | 35 404 | 58 053 | 101 486 | 157 675 | 324 304 | 509 295 | 630 071 |
| Cash credits | 10 892 | 10 644 | 28 199 | 72 044 | 127 344 | 226 488 | 478 750 | 802 399 |
| Credit to public sector | 7 860 | 5 324 | 22 904 | 62 602 | 108 482 | 214 161 | 466 496 | 794 814 |
| Credit to private sector | 3 032 | 5 320 | 5 295 | 9 442 | 18 862 | 12 327 | 12 254 | 7 585 |
| Other items | –1 058 | –1 648 | –2 575 | –5 293 | –1 593 | –35 989 | –14 467 | –171 329 |
| Devaluation account | 21 206 | 26 408 | 32 429 | 34 735 | 31 924 | 133 805 | 45 012 | –999 |
| Total liabilities | 48 988 | 60 987 | 96 789 | 177 244 | 285 801 | 693 005 | 1 421 112 | 2 678 682 |
| Reserve money | 17 035 | 23 871 | 37 244 | 61 195 | 101 721 | 185 738 | 343 484 | 618 329 |
| Monetary base | 17 365 | 22 944 | 42 828 | 82 974 | 123 556 | 186 876 | 359 410 | 620 902 |
| Central bank money | 18 528 | 23 837 | 43 993 | 87 837 | 128 113 | 193 140 | 372 794 | 641 945 |
| Foreign currency liabilities | 30 460 | 37 150 | 52 796 | 89 407 | 157 688 | 499 865 | 1 048 318 | 2 036 737 |
| **Deposit money banks** | | | | | | | | |
| Deposits[1] | 61 648 | 93 931 | 164 669 | 296 151 | 522 500 | 1 203 149 | 2 543 787 | |
| Credits | 39 357 | 69 287 | 106 491 | 195 182 | 363 026 | 630 583 | 1 433 121 | |
| **Total bank credits** | | | | | | | | |
| **(net of Central Bank advances to banks)** | 43 580 | 74 659 | 130 796 | 244 420 | 453 771 | 773 943 | 1 622 660 | |
| Central bank | 3 506 | 4 449 | 18 454 | 42 584 | 82 936 | 148 208 | 193 521 | |
| Deposit money banks | 36 522 | 65 198 | 101 452 | 185 419 | 342 182 | 575 107 | 1 342 332 | |
| Investment banks | 3 552 | 5 012 | 10 890 | 16 418 | 28 653 | 50 629 | 86 807 | |

1. Including interbank and foreign currency deposits.

*Source:* Central Bank of Turkey, *Quarterly Bulletin*.

Table M. **Public sector borrowing**

| | 1988 | 1989 | 1990 | 1991 | 1992 | 1993 | 1994 | 1995 |
|---|---|---|---|---|---|---|---|---|
| Public sector deficit (TL billion) | –6 235 | –12 283 | –29 324 | –64 469 | –116 582 | –239 793 | –305 668 | –425 575 |
| General government | –3 430 | –7 863 | –14 338 | –44 526 | –80 269 | –190 868 | –250 798 | –442 503 |
| State economic enterprises (SEEs) | –2 805 | –4 420 | –14 986 | –19 943 | –36 313 | –48 925 | –54 870 | 16 928 |
| Public sector deficit/GDP | –4.8 | –5.4 | –7.5 | –10.2 | –10.7 | –12.1 | –7.9 | –5.5 |
| General government | –2.7 | –3.5 | –3.6 | –7.1 | –7.3 | –9.6 | –6.5 | –5.7 |
| Central government | –3.0 | –3.4 | –3.1 | –5.3 | –4.3 | –6.8 | –3.9 | –4.1 |
| Local administrations | –0.4 | –0.2 | 0.0 | –0.3 | –0.8 | –0.7 | –0.4 | –0.4 |
| Revolving funds | 0.2 | 0.4 | 0.3 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Extra-budgetary funds[1] | 0.5 | –0.2 | –0.9 | –1.5 | –2.2 | –2.1 | –2.2 | –1.1 |
| SEEs[2] | –2.2 | –1.9 | –3.8 | –3.2 | –3.3 | –2.5 | –1.4 | 0.2 |
| Sources of financing (per cent of total) | | | | | | | | |
| Central Bank | 0.5 | 0.2 | 0.1 | 1.7 | 1.6 | 2.7 | 1.3 | 1.2 |
| Foreign borrowing, net[3] | 0.2 | –0.1 | 0.0 | 0.3 | 0.4 | 1.0 | –1.7 | –1.0 |
| Domestic borrowing, net[3] | 2.7 | 3.3 | 2.6 | 4.1 | 5.2 | 5.3 | 5.8 | 4.9 |
| Unidentified | 1.4 | 2.0 | 4.8 | 4.1 | 3.5 | 3.1 | 2.5 | 0.4 |
| *Memorandum items:* | | | | | | | | |
| Public sector debt/GDP | 58.0 | 50.5 | 39.5 | 41.4 | 42.8 | 41.8 | 57.6 | 46.9 |
| Domestic | 22.0 | 18.4 | 14.5 | 15.5 | 17.8 | 18.0 | 20.7 | 17.5 |
| Foreign | 36.0 | 32.1 | 25.0 | 25.9 | 25.0 | 23.8 | 37.0 | 29.4 |
| SEEs | | | | | | | | |
| Domestic | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. |
| Foreign | 4.4 | 4.1 | 3.2 | 3.4 | 3.2 | 3.0 | 4.2 | 2.8 |

1. Including State economic enterprises in the process of privatisation.
2. Including non-financial SEEs.
3. Consolidated budget.

*Source:* Under-Secretariat of Treasury, *1996 External Debt Bulletin* and *Treasury Monthly Indicators*.

Table N. **Consolidated budget**

TL billion

| | 1990 | 1991 | 1992 | 1993 | 1994 | 1995 | 1996 |
|---|---|---|---|---|---|---|---|
| **Revenue** | 55 239 | 96 747 | 174 224 | 351 392 | 745 116 | 1 394 023 | 2 738 148 |
| Tax revenue | 45 400 | 78 643 | 141 602 | 264 273 | 587 760 | 1 084 350 | 2 248 422 |
| Non-tax revenue | 9 839 | 18 104 | 32 622 | 87 119 | 157 356 | 309 673 | 489 726 |
| **Expenditure** | 67 193 | 130 263 | 221 658 | 485 249 | 897 296 | 1 710 646 | 3 955 888 |
| Current personnel expenditure | 26 465 | 49 291 | 94 076 | 169 511 | 273 062 | 502 600 | 974 071 |
| Other current expenditure | 6 915 | 11 112 | 20 145 | 35 318 | 73 407 | 141 549 | 310 812 |
| Investment | 8 902 | 17 146 | 29 239 | 53 161 | 72 788 | 91 777 | 255 244 |
| Transfers | 24 911 | 52 714 | 78 198 | 227 259 | 478 039 | 974 720 | 2 415 761 |
| *of which:* | | | | | | | |
| SEEs | 1 265 | 12 191 | 8 145 | 25 850 | 21 850 | 45 500 | .. |
| Interest payment | 13 966 | 24 073 | 40 298 | 116 470 | 298 284 | 576 100 | 1 497 000 |
| **Budget balance** | –11 954 | –33 516 | –47 434 | –133 857 | –152 180 | –316 623 | –1 217 740 |
| Deferred payments | 1 161 | 3 555 | –778 | 10 905 | 20 092 | 52 057 | 16 325 |
| Advance payments | –1 561 | –3 465 | –11 227 | –3 151 | –19 837 | –29 737 | –45 931 |
| **Cash balance** | –12 354 | –33 426 | –59 439 | –126 103 | –151 925 | –294 303 | –1 247 346 |
| Foreign borrowing (net) | 41 | 1 921 | 4 038 | 21 062 | –67 174 | –81 238 | –134 411 |
| Domestic borrowing (net) | 7 942 | 2 279 | 15 408 | 30 135 | –70 339 | 85 657 | 274 040 |
| Short-term borrowing (net) | 2 263 | 23 508 | 41 372 | 75 251 | 296 074 | 291 941 | 1 021 142 |
| Central Bank | 331 | 10 719 | 17 394 | 53 010 | 51 857 | 94 723 | 228 953 |
| Treasury bills | 1 932 | 12 789 | 23 978 | 22 241 | 244 217 | 197 218 | 792 189 |
| Other borrowing[1] | 2 109 | 5 718 | –1 379 | –345 | –6 636 | –2 057 | 86 575 |

1. Including errors and omissions and change in cash/bank.

*Source:* Under-Secretariat of Treasury, *Treasury Monthly Indicators*.

Table O. **Central government budget revenue**

TL billion

| | 1988 | 1989 | 1990 | 1991 | 1992 | 1993 | 1994 | 1995 |
|---|---|---|---|---|---|---|---|---|
| Taxes on income | 6 919 | 13 469 | 23 246 | 40 419 | 70 134 | 125 793 | 278 074 | 451 461 |
| Taxes on wealth | 147 | 177 | 411 | 675 | 1 258 | 2 531 | 5 659 | 8 844 |
| Taxes on goods and services | 4 487 | 7 639 | 13 667 | 24 678 | 47 341 | 89 447 | 214 353 | 430 431 |
| Taxes on foreign trade | 2 672 | 4 245 | 8 057 | 12 864 | 22 849 | 46 213 | 89 650 | 194 647 |
| Abolished taxes | 7 | 18 | 18 | 7 | 20 | 289 | 24 | 32 |
| **Total tax revenue** | 14 232 | 25 548 | 45 399 | 78 643 | 141 602 | 264 273 | 587 760 | 1 085 415 |
| Non-tax regular revenue | 1 353 | 2 439 | 4 267 | 3 927 | 7 649 | 17 636 | 48 365 | 79 016 |
| Special revenue and funds | 1 228 | 1 950 | 5 401 | 13 803 | 24 899 | 68 936 | 106 374 | 217 753 |
| **Total non-tax revenue** | 2 581 | 4 389 | 9 668 | 17 730 | 32 548 | 86 572 | 154 739 | 296 769 |
| Annex budget revenue | 351 | 440 | 1 506 | 2 711 | 3 920 | 6 488 | 9 116 | 21 887 |
| **Total consolidated budget revenue** | 17 164 | 30 377 | 56 573 | 99 084 | 178 070 | 357 333 | 751 615 | 1 404 071 |

*Source:* Under-Secretariat of Treasury; State Institute of Statistics, *Monthly Bulletin of Statistics.*

*BASIC STATISTICS:*

*INTERNATIONAL COMPARISONS*

## BASIC STATISTICS: INTERNATIONAL COMPARISONS

| | Units | Reference period[1] | Australia | Austria | Belgium | Canada | Denmark | Finland | France | Germany | Greece |
|---|---|---|---|---|---|---|---|---|---|---|---|
| **Population** | | | | | | | | | | | |
| Total | Thousands | 1994 | 17 840 | 8 031 | 10 124 | 29 251 | 5 206 | 5 088 | 57 960 | 81 407 | 10 430 |
| Inhabitants per sq. km | Number | 1994 | 2 | 96 | 332 | 3 | 121 | 15 | 106 | 228 | 79 |
| Net average annual increase over previous 10 years | % | 1994 | 1.4 | 0.6 | 0.3 | 1.6 | 0.2 | 0.4 | 0.5 | 2.9 | 0.5 |
| **Employment** | | | | | | | | | | | |
| Total civilian employment (TCE)[2] | Thousands | 1994 | 7 680 (93) | 3 737 | 3 724 (92) | 13 292 | 2 508 | 2 015 | 21 781 (93) | 35 894 | 3 790 |
| *of which:* Agriculture | % of TCE | 1994 | 5.3 (93) | 7.2 | 2.6 (92) | 4.1 | 5.1 | 8.3 | 5.1 (93) | 3.3 | 20.8 |
| Industry | % of TCE | 1994 | 23.7 (93) | 33.2 | 27.7 (92) | 22.6 | 26.8 | 26.8 | 27.7 (93) | 37.6 | 23.6 |
| Services | % of TCE | 1994 | 71 (93) | 59.6 | 69.7 (92) | 73.3 | 68.1 | 64.9 | 67.2 (93) | 59.1 | 55.5 |
| **Gross domestic product (GDP)** | | | | | | | | | | | |
| At current prices and current exchange rates | Bill. US$ | 1994 | 331.6 | 198.1 | 227.9 | 544 | 146.7 | 97.2 | 1 328.5 | 1 832.3 | 73.1 (93) |
| Per capita | US$ | 1994 | 18 588 | 24 670 | 22 515 | 18 598 | 28 181 | 19 106 | 22 944 | 27 826 | 7 051 (93) |
| At current prices using current PPP's[3] | Bill. US$ | 1994 | 327.9 | 162.3 | 204.2 | 596.7 | 107 | 82.5 | 1 111.8 | 1 601.7 | 118 |
| Per capita | US$ | 1994 | 18 382 | 20 210 | 20 166 | 20 401 | 20 546 | 16 208 | 19 201 | 24 325 | 1 450 |
| Average annual volume growth over previous 5 years | % | 1994 | 2.2 | 2.5 | 1.6 | 1.1 | 1.9 | –1.6 | 1.1 | 2.6 | 1.4 (93) |
| **Gross fixed capital formation (GFCF)** | % of GDP | 1994 | 21.4 | 24.8 | 17.4 | 18.7 | 14.8 | 14.3 | 18.1 | 18.5 | 17.4 (93) |
| *of which:* Machinery and equipment | % of GDP | 1993 | 9.8 | 8.7 | 7.8 | 6.2 | 7.2 | 5.90 | 8.10 | 7.5 | 7.8 |
| Residential construction | % of GDP | 1993 | 5.2 | 6.3 | 4.6 | 6.1 | 2.9 | 3.7 | 4.9 | 6.5 | 3.6 |
| Average annual volume growth over previous 5 years | % | 1994 | 0.8 | 3.7 | 0.4 | –0.1 | –2.8 | –12.9 | –1 | 0.8 | 2.7 (93) |
| **Gross saving ratio**[4] | % of GDP | 1994 | 16.8 | 25.3 | 22 | 16 | 17 | 16.6 | 19 | 21 | 15.5 (93) |
| **General government** | | | | | | | | | | | |
| Current expenditure on goods and services | % of GDP | 1994 | 17.5 | 18.8 | 15 | 20.2 | 25.3 | 22.4 | 19.6 | 17.7 | 19.1 (93) |
| Current disbursements[5] | % of GDP | 1993 | 36.9 | 48.4 | 55.3 | 49 | 61.1 | 58.9 | 51.5 | 45.6 | 51.2 |
| Current receipts | % of GDP | 1993 | 33.5 | 48.6 | 50.1 | 43 | 58.3 | 52.5 | 46.8 | 45.7 | 40.2 |
| **Net official development assistance** | % of GNP | 1993 | 0.34 | 0.31 | 0.41 | 0.46 | 1.03 | 0.76 | 0.66 | 0.44 | .. |
| **Indicators of living standards** | | | | | | | | | | | |
| Private consumption per capita using current PPP's[3] | US$ | 1993 | 10 803 | 10 546 | 12 090 | 11 863 | 10 042 | 8 814 | 11 395 | 10 733 | 6 367 |
| Passenger cars, per 1 000 inhabitants | Number | 1990 | 430 | 382 | 387 | 469 | 311 | 386 | 413 | 480[8] | 169 |
| Telephones, per 1 000 inhabitants | Number | 1991 | 464 | 432 | 410 | 586 | 577 | 544 | 511 | 420[8] | 413 |
| Television sets, per 1 000 inhabitants | Number | 1991 | 480 | 478 | 451 | 639 | 536 | 501 | 407 | 556[8] | 197 |
| Doctors, per 1 000 inhabitants | Number | 1993 | 2.2 (91) | 2.3 | 3.7 | 2.2 | 2.8 (92) | 2.6 (92) | 2.8 | 3.2 (92) | 3.8 (92) |
| Infant mortality per 1 000 live births | Number | | 6.1 | 6.5 | 8 | 6.8 | 5.4 | 4.4 | 6.5 | 5.8 | 8.5 |
| **Wages and prices** (average annual increase over previous 5 years) | | | | | | | | | | | |
| Wages (earnings or rates according to availability) | % | 1994 | 3 | 5.5 | 3.7 | 3.3 | 3.5 | 4.8 | 3.5 | 5.2 | 14.6 |
| Consumer prices | % | 1994 | 3 | 3.4 | 2.8 | 2.8 | 2.1 | 3.3 | 2.5 | 3.3 | 16.2 |
| **Foreign trade** | | | | | | | | | | | |
| Exports of goods, fob* | Mill. US$ | 1994 | 47 363 | 44 881 | 137 259[7] | 165 358 | 41 850 | 29 514 | 235 337 | 422 243 | 8 958 |
| As % of GDP | % | 1994 | 14.3 | 22.7 | 60.2 | 30.4 | 28.5 | 30.4 | 17.7 | 23 | 11.5 (93) |
| Average annual increase over previous 5 years | % | 1994 | 5 | 6.7 | 6.5 | 7.1 | 8.3 | 4.9 | 5.6 | 4.4 | 3.4 |
| Imports of goods, cif* | Mill. US$ | 1994 | 49 731 | 55 071 | 126 006[7] | 148 297 | 35 932 | 23 091 | 220 508 | 376 566 | 21 111 |
| As % of GDP | % | 1994 | 15 | 27.8 | 55.3 | 27.3 | 24.5 | 23.8 | 16.6 | 20.6 | 30.1 (93) |
| Average annual increase over previous 5 years | % | 1994 | 4 | 7.2 | 5 | 5.4 | 6.1 | –1.3 | 3.5 | 6.9 | 5.4 |
| **Total official reserves**[6] | Mill. SDRs | 1994 | 7 730 | 11 523 | 9 505[7] | 8 416 | 6 203 | 7 304 | 17 986 | 52 994 | 9 924 |
| As ratio of average monthly imports of goods | Ratio | 1994 | 1.9 | 2.5 | 0.9 | 0.7 | 2.1 | 3.8 | 1 | 1.7 | 5.6 |

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. Gold included in reserves is valued at 35 SDRs per ounce. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.
9. Refers to the public sector including public enterprises.
10. Including non-residential construction.

*Sources:* Population and Employment: OECD, *Labour Force Statistics*. GDP, GFCF, and General Government: OECD, *National Accounts*, Vol. I and *OECD Economic Outlook*, Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators*. Foreign trade: OECD, *Monthly Foreign Trade Statistics*, series A. Total official reserves: IMF, *International Financial Statistics*.

## BASIC STATISTICS: INTERNATIONAL COMPARISONS *(cont'd)*

| | Units | Reference period[1] | Iceland | Ireland | Italy | Japan | Luxembourg | Mexico | Netherlands | New Zealand |
|---|---|---|---|---|---|---|---|---|---|---|
| **Population** | | | | | | | | | | |
| Total | Thousands | 1994 | 267 | 3 571 | 57 190 | 124 960 | 398 | 93 010 | 15 382 | 3 526 |
| Inhabitants per sq. km | Number | 1994 | 3 | 51 | 190 | 331 | 153 | 47 | 377 | 13 |
| Net average annual increase over previous 10 years | % | 1994 | 1.1 | 0.1 | 0 | 0.4 | 0.8 | 2 | 0.6 | 0.8 |
| **Employment** | | | | | | | | | | |
| Total civilian employment (TCE)[2] | Thousands | 1994 | 138 | 1 168 (93) | 20 152 (93) | 64 530 | 162 (91) | 32 439 | 6 631 | 1 560 |
| *of which:* Agriculture | % of TCE | 1994 | 9.4 | 12.7 (93) | 7.5 (93) | 5.8 | 3.7 (91) | 25.8 | 4 | 10.4 |
| Industry | % of TCE | 1994 | 26.1 | 27.7 (93) | 33 (93) | 34 | 31.5 (91) | 22.2 | 23 | 25 |
| Services | % of TCE | 1994 | 65.2 | 59.7 (93) | 59.6 (93) | 60.2 | 64.8 (91) | 52.1 | 73 | 64.6 |
| **Gross domestic product (GDP)** | | | | | | | | | | |
| At current prices and current exchange rates | Bill. US$ | 1994 | 6.2 | 52 | 1 017.8 | 4 590 | 10.6 (92) | 371.2 | 334.3 | 51.2 |
| Per capita | US$ | 1994 | 23 199 | 14 550 | 17 796 | 36 732 | 27 073 (92) | 3 991 | 21 733 | 14 513 |
| At current prices using current PPP's[3] | Bill. US$ | 1994 | 5.1 | 54.3 | 1 068.4 | 2 593.7 | 11.7 | 673.3 | 285.9 | 57.3 |
| Per capita | US$ | 1994 | 19 271 | 15 212 | 18 681 | 20 756 | 29 454 | 7 239 | 18 589 | 16 248 |
| Average annual volume growth over previous 5 years | % | 1994 | 0.6 | 4.7 | 1 | 2.1 | 4.1 (92) | 3 | 2.3 | 2.5 |
| **Gross fixed capital formation (GFCF)** | % of GDP | 1994 | 15.2 | 15.1 | 16.4 | 28.6 | 20.4 (93) | 20.7 | 19.3 | 20 |
| *of which:* Machinery and equipment | % of GDP | 1993 | 3.9 | 6.3 | 7.4 | 11.5 | .. | 9.4 | 8.6 | 9.3 |
| Residential construction | % of GDP | 1993 | 4.4 | 4.1 | 5.3 | 5.4 | .. | 4.9 | 5.1 | 4.9 |
| Average annual volume growth over previous 5 years | % | 1994 | –4 | 1 | –2.3 | 1.4 | 6.5 (92) | 7.7 | 0.4 | 5.8 |
| **Gross saving ratio**[4] | % of GDP | 1994 | 16.9 | 19.5 | 18.8 | 31.2 | 60.2 (92) | 15.1 | 24.4 | 20.7 |
| **General government** | | | | | | | | | | |
| Current expenditure on goods and services | % of GDP | 1994 | 20.6 | 16 | 17.1 | 9.8 | 17.1 (92) | 11.8[9] | 14.2 | 14.7 |
| Current disbursements[5] | % of GDP | 1993 | 34.9 | .. | 53.2 | 26.9 | .. | .. | 55.4 | .. |
| Current receipts | % of GDP | 1993 | 35.9 | .. | 47.1 | 32.9 | .. | .. | 54.5 | .. |
| **Net official development assistance** | % of GNP | 1993 | .. | 0.15 | 0.42 | 0.27 | 0.34 (92) | .. | 0.88 | 0.22 |
| **Indicators of living standards** | | | | | | | | | | |
| Private consumption per capita using current PPP's[3] | US$ | 1993 | 11 546 | 7 750 | 11 029 | 11 791 | 15 545 | 4 853 | 10 726 | 9 266 |
| Passenger cars, per 1 000 inhabitants | Number | 1990 | 464 | 228 | 478 | 282 | 470 | 85 | 356 | 440 |
| Telephones, per 1 000 inhabitants | Number | 1991 | 527 | 300 | 400 | 454 | 511 | 70 | 477 | 436 |
| Television sets, per 1 000 inhabitants | Number | 1991 | 319 | 276 | 421 | 613 | 267 | 148 | 485 | 443 |
| Doctors, per 1 000 inhabitants | Number | 1993 | 3 | 1.7 (92) | 1.7 (91) | 1.7 (92) | 2.1 (92) | 1 | 2.5 (90) | 2 |
| Infant mortality per 1 000 live births | Number | | 4.8 | 5.9 | 7.3 | 4.5 (92) | 8.5 (92) | 18 | 6.3 | 7.3 |
| **Wages and prices** (average annual increase over previous 5 years) | | | | | | | | | | |
| Wages (earnings or rates according to availability) | % | 1994 | .. | 4.6 | 5.9 | 2.4 | .. | 5.3 | 3.2 | 2.1 |
| Consumer prices | % | 1994 | 6.3 | 2.7 | 5.2 | 2 | 3.1 | 16.1 | 2.8 | 2.5 |
| **Foreign trade** | | | | | | | | | | |
| Exports of goods, fob* | Mill. US$ | 1994 | 1 628 | 34 125 | 189 802 | 396 149 | .. | 60 882 | 155 084 | 12 169 |
| As % of GDP | % | 1994 | 26.3 | 65.7 | 18.6 | 8.6 | .. | 16.4 | 46.4 | 23.8 |
| Average annual increase over previous 5 years | % | 1994 | 2.7 | 10.5 | 6.2 | 7.6 | .. | 21.7 | 7.6 | 6.5 |
| Imports of goods, cif* | Mill. US$ | 1994 | 1 464 | 25 812 | 167 690 | 274 916 | .. | 79 346 | 139 800 | 11 859 |
| As % of GDP | % | 1994 | 23.6 | 49.7 | 16.5 | 6 | .. | 21.4 | 41.8 | 23.2 |
| Average annual increase over previous 5 years | % | 1994 | 0.7 | 8.1 | 1.9 | 5.5 | .. | 25.5 | 6.1 | 6.1 |
| **Total official reserves**[6] | Mill. SDRs | 1994 | 201 | 4 189 | 22 102 | 86 214 | .. | 4 301 | 23 655 | 2 540 |
| As ratio of average monthly imports of goods | Ratio | 1994 | 1.6 | 1.9 | 1.6 | 3.8 | .. | 0.7 | 2 | 2.6 |

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. Gold included in reserves is valued at 35 SDRs per ounce. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.
9. Refers to the public sector including public enterprises.
10. Including non-residential construction.

*Sources:* Population and Employment: OECD, *Labour Force Statistics*. GDP, GFCF, and General Government: OECD, *National Accounts*, Vol. I and *OECD Economic Outlook*, Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators*. Foreign trade: OECD, *Monthly Foreign Trade Statistics*, series A. Total official reserves: IMF, *International Financial Statistics*.

## BASIC STATISTICS: INTERNATIONAL COMPARISONS *(cont'd)*

| | Units | Reference period[1] | Norway | Portugal | Spain | Sweden | Switzerland | Turkey | United Kingdom | United States |
|---|---|---|---|---|---|---|---|---|---|---|
| **Population** | | | | | | | | | | |
| Total | Thousands | 1994 | 4 337 | 9 900 | 39 150 | 8 781 | 6 994 | 60 573 | 58 375 | 260 651 |
| Inhabitants per sq. km | Number | 1994 | 13 | 107 | 78 | 20 | 169 | 78 | 238 | 28 |
| Net average annual increase over previous 10 years | % | 1994 | 0.5 | –0.1 | 0.2 | 0.5 | 0.7 | 2.1 | 0.3 | 1 |
| **Employment** | | | | | | | | | | |
| Total civilian employment (TCE)[2] | Thousands | 1994 | 1970 (93) | 4 372 | 11 760 | 3 926 | 3 772 | 19 664 | 25 044 (93) | 123 060 |
| *of which:* Agriculture | % of TCE | 1994 | 5.6 (93) | 11.5 | 9.8 | 3.4 | 4 | 44.8 | 2.2 (93) | 2.9 |
| Industry | % of TCE | 1994 | 23.1 (93) | 32.8 | 30.1 | 25 | 28.8 | 22.2 | 26.2 (93) | 24 |
| Services | % of TCE | 1994 | 71.3 (93) | 55.7 | 60.2 | 71.6 | 67.2 | 33 | 71.6 (93) | 73.1 |
| **Gross domestic product (GDP)** | | | | | | | | | | |
| At current prices and current exchange rates | Bill. US$ | 1994 | 103.4 (93) | 87 | 482.4 | 196.6 | 257.3 | 130.7 | 1 019.5 | 6 649.8 |
| Per capita | US$ | 1994 | 23 984 (93) | 8 792 | 12 321 | 22 389 | 36 790 | 2 157 | 17 468 | 25 512 |
| At current prices using current PPP's[3] | Bill. US$ | 1994 | 95.3 | 122 | 531.7 | 153 | 167.4 | 319.3 | 1 030.2 | 6 649.8 |
| Per capita | US$ | 1994 | 21 968 | 12 335 | 13 581 | 17 422 | 23 942 | 5 271 | 17 650 | 25 512 |
| Average annual volume growth over previous 5 years | % | 1994 | 2.1 (93) | 1.4 | 1.5 | –0.3 | 0.5 | 3.6 | 0.8 | 2.1 |
| **Gross fixed capital formation (GFCF)** | % of GDP | 1994 | 22 (93) | 25.7 | 19.8 | 13.7 | 22.8 | 24.5 | 15 | 17.2 |
| *of which:* Machinery and equipment | % of GDP | 1993 | .. | .. | 5.7 | 5.7 | 7.5 | 10.3 | 7.3 | 7.7 |
| Residential construction | % of GDP | 1993 | .. | .. | 4.1 | 4 | 14.9[10] | 9.1 | 3.1 | 4 |
| Average annual volume growth over previous 5 years | % | 1994 | –3.93 | 2.7 | –1.2 | –7.6 | –0.4 | 5.1 | –2.1 | 4.6 |
| **Gross saving ratio**[4] | % of GDP | 1994 | 21.9 (93) | 24.2 | 18.8 | 13.7 | 29.3 | 22.5 | 13.5 | 16.2 |
| **General government** | | | | | | | | | | |
| Current expenditure on goods and services | % of GDP | 1994 | 22.1 (93) | 17.2 | 16.9 | 27.3 | 14.1 | 11.7 | 21.6 | 16.4 |
| Current disbursements[5] | % of GDP | 1993 | .. | .. | 43.7 | 67.3 | 36.7 | .. | 42.7 | 35.8 |
| Current disbursements[5] | % of GDP | 1993 | .. | .. | 40.1 | 59 | 36 | .. | 36.8 | 31.7 |
| Current receipts | % of GDP | 1993 | 1.23 | 0.36 | 0.32 | 1.33 | 0.49 | .. | 0.34 | 0.19 |
| **Net official development assistance** | % of GNP | 1993 | 9 826 | 7 780 | 8 412 | 9 240 | 13 730 | 3 617 | 10 942 | 16 444 |
| **Indicators of living standards** | | | | | | | | | | |
| Private consumption per capita using current PPP's[3] | US$ | 1993 | 378 | 260 | 307 | 418 | 441 | 29 | 361 | 568 |
| Passenger cars, per 1 000 inhabitants | Number | 1990 | 515 | 273 | 340 | 687 | 603 | 143 | 445 | 553 |
| Telephones, per 1 000 inhabitants | Number | 1991 | 423 | 187 | 400 | 468 | 406 | 175 | 434 | 814 |
| Television sets, per 1 000 inhabitants | Number | 1991 | 3.2 (92) | 2.9 | 4.1 | 3 | 3 | 0.9 | 1.5 (92) | 2.3 (92) |
| Doctors, per 1 000 inhabitants | Number | 1993 | 5 | 8.7 | 7.6 | 4.8 | 5.6 | 52.6 | 6.6 | 8.5 (92) |
| Infant mortality per 1 000 live births | Number | | 4 | .. | 7.2 | 5.4 | .. | .. | 6.7 | 2.8 |
| **Wages and prices** (average annual increase over previous 5 years) | | | | | | | | | | |
| Wages (earnings or rates according to availability) | % | 1994 | 2.7 | 9 | 5.6 | 5.7 | 3.9 | 73 | 4.6 | 3.6 |
| Consumer prices | % | 1994 | 34 645 | 17 072 | 73 129 | 61 122 | 70 467 | 18 456 | 205 170 | 512 627 |
| **Foreign trade** | | | | | | | | | | |
| Exports of goods, fob* | Mill. US$ | 1994 | 30.9 (93) | 19.6 | 15.2 | 31.1 | 27.4 | 14.1 | 20.1 | 7.7 |
| As % of GDP | % | 1994 | 5 | 6.1 | 10.5 | 3.4 | 6.4 | 9.5 | 6.1 | 7.1 |
| Average annual increase over previous 5 years | % | 1994 | 27 345 | 25 967 | 92 182 | 51 730 | 68 126 | 22 976 | 227 026 | 663 256 |
| Imports of goods, cif* | Mill. US$ | 1994 | 23.3 (93) | 29.9 | 19.1 | 26.3 | 26.5 | 17.6 | 22.3 | 10 |
| As % of GDP | % | 1994 | 2.9 | 6.6 | 5.2 | 1 | 3.2 | 37.9 | 2.8 | 7 |
| Average annual increase over previous 5 years | % | 1994 | 13 033 | 10 627 | 28 475 | 15 929 | 23 790 | 4 911 | 28 094 | 43 350 |
| **Total official reserves**[6] | Mill. SDRs | 1994 | 5.7 | 4.9 | 3.7 | 3.7 | 4.2 | 2.6 | 1.5 | 0.8 |

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. Gold included in reserves is valued at 35 SDRs per ounce. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.
9. Refers to the public sector including public enterprises.
10. Including non-residential construction.

*Sources:* Population and Employment: OECD, *Labour Force Statistics*. GDP, GFCF, and General Government: OECD, *National Accounts*, Vol. I and *OECD Economic Outlook*, Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators*. Foreign trade: OECD, *Monthly Foreign Trade Statistics*, series A. Total official reserves: IMF, *International Financial Statistics*.

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